



PUBLIC

Document Version: 2605 – 2026-05

Invoicing and Payment Process Guide

SAP Ariba Buying and Invoicing

SAP Ariba Invoice Management

SAP Ariba Contract Invoicing



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Invoicing and Payment Process Guide

This guide is for SAP Ariba buyer users and administrators seeking a general understanding of workflows and processes for invoices and payments.

Buyers process invoices from suppliers in order to pay for goods and services.

This guide applies to:

- SAP Ariba Buying and Invoicing
- SAP Ariba Invoice Management
- SAP Ariba Contract Invoicing

Related Guides

[Creating and Managing Invoices](#)

[Reconciling Invoices](#)

[Managing Payment Documents](#)

[Invoicing Data Import and Administration Guide](#)

[Tax and Charge Configuration](#)

[Managing Contract Compliance](#)

Invoicing and Payment Workflow in SAP Ariba Solutions

Although your company's specific invoice workflow depends on your site's configuration and your company's business processes, SAP Ariba invoicing solutions SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management support a common general process.

1. Depending on your site enablement options and the invoice process flow configured for your site, an invoice is created:
 - In your external ERP system and loaded into your SAP Ariba solution through SAP Business Network. This option is only available if your solution includes SAP Ariba Invoice Management.
 - By the supplier on SAP Business Network and transmitted to your SAP Ariba solution.
 - Manually by a user in your site using a paper invoice sent by a supplier.
 - Manually by a supplier punching into your site from their SAP Business Network account to create a contract-based invoice.
 - By an invoice conversion service (ICS) provider that converts paper invoices to electronic format and sends them through SAP Business Network to your site.
 - Automatically by SAP Ariba Buying and Invoicing for procurement transactions from supplier locations that are enabled for Evaluated Receipt Settlement (ERS) and automatic invoicing.

When an invoice is submitted in any of these ways, your SAP Ariba invoicing solution creates an approvable invoice document.

2. When the invoice is approved, two associated approvable documents are automatically created:
 - An invoice reconciliation (IR) document, which invoice exception handlers use to resolve any discrepancies between the invoice, associated orders or contracts, and receipts, to validate accounting and other information.
 - A payment request document, which is used to generate a payment once the invoice is reconciled.
3. If any advance payments have been made for the purchase orders corresponding to the invoice, a payment manager is added to the approval flow of the invoice reconciliation document. The payment manager adjusts these advance payments against the invoice.
4. The automatic reconciliation processor tries to match the IR to existing purchase orders, contracts, and receipts, and then validates them according to your site's configuration. At this point, one of the following two processes occurs:
 - If there are no discrepancies in the IR, or if the discrepancies are within your company's pre-configured tolerances, the IR is sent directly to the responsible group or person for approval to pay the supplier.
 - If there are unacceptable discrepancies in the IR, they are displayed as exceptions on the IR document and must be manually reconciled. One or more exception handlers resolve exceptions, and the IR is sent to the responsible group or person for approval to pay the supplier.

If your site is configured to handle final approval of the IR, the invoice moves to **Reconciled** status at this point. If your site is configured to send the IR for final reconciliation and approval in your ERP system, the invoice moves to **Reconciling** status until that final approval is received.

5. After the invoice is reconciled, the payment is scheduled through the payment request.

Related Information

[Invoice and Invoice Reconciliation Status Flow \[page 95\]](#)

[Payment Document Status Flow \[page 92\]](#)

[Advance Payment Status Flow \[page 99\]](#)

Advance Payment Workflow

The following steps explain the workflow for advance payments. SAP Ariba Buying and Invoicing can be configured to support header-level and line-level advance payments.

1. A user creates a requisition for material items. A purchase order is generated after the requisition is fully approved.
2. A payment agent or payment manager creates and submits an advance payment document for the purchase order. The status of the advance payment document changes from **Composing** to **Submitted**.
3. SAP Ariba Buying and Invoicing generates an approval flow for the advance payment document if the approval process for advance payments is enabled.
4. Approvers approve the advance payment document. The status of the advance payment document changes to **Approved**.
5. The approved advance payment document is exported to the external systems in one of the following ways:
 - SAP Ariba Buying and Invoicing exports the advance payment documents to external systems using the web services channel.
 - A customer administrator exports the advance payment documents to a CSV file, which is used to import the advance payment documents into the external systems.
6. SAP Ariba Buying and Invoicing receives the ERP payment request ID for the exported advance payment documents, in one of the following ways:
 - The external system sends the payment request IDs to SAP Ariba Buying and Invoicing using the web services channel.
 - The customer administrator imports advance payment IDs generated by the external system, using CSV files.

The status of the advance payment documents changes to **Paying**.

7. The external system processes the payment and sends the remittance information to SAP Ariba Buying and Invoicing.
8. SAP Ariba Buying and Invoicing changes the status of the advance payment document to **Paid** when the entire payment is made for it. (For line-level advance payments, the status changes to **Paid** when the payment is processed for all line items on the advance payment document.)
Alternatively, if the site is not integrated with an external system, the payment manager manually marks an advance payment in **Approved** or **Paying** state as **Paid** by clicking the **Force Pay** button on the advance payment page.
9. The supplier sends an invoice to the buyer.
10. SAP Ariba Buying and Invoicing generates an invoice reconciliation document for the invoice.
11. The payment manager adjusts the advance payment amount against the invoice amount in the invoice reconciliation document.
12. The invoice manager reconciles the invoice.
13. SAP Ariba Buying and Invoicing generates a payment request for the reconciled invoice. This payment request file has information about the advance payments adjusted against the invoice.
The amount of the payment request is the total approved invoice amount, not the total invoice amount minus the advance payment. The ERP system handles the deduction when processing the payment. Also, payment requests on the invoice **Reference** tab don't indicate the use of advance payments.
14. The system exports the payment request to the external system for payment processing.

Line-item credit memos and advance payments

If the supplier sends a line-item credit memo against an invoice that was adjusted for an advance payment, SAP Ariba Buying and Invoicing doesn't reverse the adjustment. There are no accumulator adjustments for advance payments. Accumulators on invoices, credit memos, and IR documents have nothing to do with advance payments.

Related Information

[Advance Payment Status Flow \[page 99\]](#)

Contract-Based Invoicing

In contract-based invoicing, suppliers punch into your SAP Ariba invoicing solution to create invoices based on the contracts you have with them.

In contract-based invoicing, suppliers create invoices from no release item-level, commodity-level, customer catalog-level, or supplier-level contract by punching into your site from SAP Business Network. Your site must be configured to allow contract-based invoicing. If it is, suppliers use the contract-based invoicing workflow to create an invoice for all contracts except for blanket purchase orders that do not allow contract invoicing.

When suppliers create contract-based invoices, they can enter an optional email address in the **Sold To Email Address** field. This address is used to set the **Requester (On Behalf Of)** on the invoice and invoice reconciliation documents. This field is validated, and suppliers cannot submit an invoice with an invalid **Sold To Email Address** value.

There are two different ways suppliers can create contract-based invoices, and the method they use depends on your site's configuration:

- In collaborative invoicing, suppliers punch into your site from SAP Business Network to create the invoice.
- In SAP Business Network-validated contract invoicing, suppliers create the invoice in their SAP Business Network accounts and punch into your site only to retrieve the contract and add contract lines.

Contract-Based Invoicing from Blanket Purchase Orders

Suppliers can create contract-based invoices against blanket purchase order contracts in some cases.

With blanket purchase order contracts (BPOs), contract agents must specify the **Allow invoicing against the contract** option in order to allow contract-based invoicing. If this option is not specified, suppliers can create invoices using PO-Flip (purchase order-to-invoice flip) on SAP Business Network for no-release order item-level BPOs. For no-release order supplier-, commodity-, or customer catalog-level BPOs, they must create a non-PO invoice on SAP Business Network and provide the contract ID as a reference.

[SAP Business Network-Validated Contract Invoicing Workflow \[page 11\]](#)

SAP Business Network-Validated Contract Invoicing Workflow

In SAP Business Network-validated contract invoicing, suppliers create invoices on SAP Business Network but punch into the SAP Ariba invoicing solution to retrieve the contract and add items.

The following general steps describe the supplier workflow for SAP Business Network-validated contract invoicing, which must be enabled in your site.

- Suppliers initiate the contract-based invoice creation from SAP Business Network by selecting the customer for which they are creating the invoice.

- SAP Business Network automatically transfers the supplier to your invoicing site, where the supplier selects the contract and enters the invoice number, invoice date, and the **Sold To Email Address** (email of the person who requested the goods or services). Depending on the contract specifications, the **Sold To Email Address** might be defaulted from the contact person on the contract.
- The supplier user is then returned to their familiar **Create Invoice** page to enter additional invoice header information.
- To add items to the invoice, the supplier is again transferred to your site to select the items from the customer catalog. If allowed, they can also add non-catalog items.
- Depending on the contract configuration, the supplier might enter accounting information.
- The invoice line items are validated against the contract line items, and the contract's pricing terms are applied. If any discrepancies are found, the supplier receives an error message prompting them to correct the information.
- The supplier is returned to SAP Business Network.
- If the supplier needs to make changes to any of the line items on the invoice, they are transferred back to your site.
- If allowed by your SAP Business Network business rules, the supplier can change the unit price on the invoice. This effectively overrides the pricing terms defined in the contract for the items. For example, if a customer catalog-level contract is defined with a 10% discount for all items, and the supplier changes the unit price of an item on the invoice, that price will be the final price used on the invoice. Depending on your invoice exceptions configuration and tolerance settings, this situation might lead to an invoice exception that will require an exception handler to resolve the discrepancy before the invoice can be approved for payment.
- On SAP Business Network, the supplier completes the invoice by adding other header fields and adds any comments, attachments, tax, shipping documents, or special handling line items either at the invoice header or at the line item level.
- Before the supplier submits the invoice, they can always return to your site to retrieve additional items, change a contract header field such as the **Sold To Email Address**, or edit or delete existing line items on the invoice.
- When the supplier submits the invoice, SAP Business Network validates it against the invoicing business rules set in your SAP Business Network account, adds a digital signature if required, and sends it to your site for reconciliation.

Parent topic: [Contract-Based Invoicing \[page 11\]](#)

Services Invoicing

Services invoicing is a set of features and a workflow that allow your company to track, manage, and approve how suppliers fulfill and invoice orders for services.

[Services Invoicing Workflow in SAP Ariba Solutions \[page 13\]](#)

[Comparison of Services Invoicing Features in SAP Ariba Solutions \[page 14\]](#)

[Service Orders \[page 17\]](#)

[Service Sheets and Service Sheet Validation \[page 19\]](#)

[Service Invoices \[page 20\]](#)

Services Invoicing Workflow in SAP Ariba Solutions

The services invoicing workflow involves the following general steps between the buyer and supplier.

1. Depending on the SAP Ariba solution, one of the following buyer actions apply:
 - (SAP Ariba Invoice Management) The buyer sends an approved purchase order with at least one service line (a line that requires a service sheet) from an integrated ERP system to SAP Business Network. SAP Business Network receives the order, sends it to the supplier, and sends a copy order to SAP Ariba Invoice Management. The copy order triggers updates to accumulators on any associated contracts.
 - (SAP Ariba Buying and Invoicing) The buyer creates a service requisition for a service item (an item that requires a service sheet). After the requisition is fully approved, SAP Ariba Buying and Invoicing sends an approved purchase order to the supplier.
2. On the SAP Business Network, the supplier optionally confirms the purchase order and then creates a service sheet for it. The supplier can add items to the service sheet in the following circumstances:
 - If your site is configured for supplier punchin, the supplier can punch in to add contract/catalog items. If your site allows it, the supplier can also add non-catalog items in the service sheet shopping cart during punchin. Your site might also allow suppliers to edit accounting information for those items.
 - If your site is not configured for supplier punchin, but your SAP Business Network buyer account business rule settings allow it, the supplier can add ad hoc items to the service sheet on the SAP Business Network.
3. On the SAP Business Network, the supplier submits the service sheet and, if it passes validation, it enters the approval flow.
4. If necessary, the approvers in the approval flow edit accounting information for service sheet lines and approve the service sheet.
5. (If approval in an external ERP system is not required) Approvers approve the service sheet and the status of the service sheet changes to **Processed**. The SAP Ariba solution sends a status update to SAP Business Network.
6. (If approval in an external ERP system is required) One of the following actions is applicable:
 - (For SAP Ariba Buying and Invoicing) After approval, SAP Ariba Buying and Invoicing sends the approved service sheet to the ERP system for external approval and the status of the service sheet changes to **Awaiting External Approval**. After approval in the ERP system, the status of the service sheet changes to **Processed** and SAP Ariba Buying and Invoicing sends a status update to SAP Business Network.

- (For SAP Ariba Invoice Management) After approval, SAP Ariba Invoice Management sends the service sheet to the external ERP system for external approval and the status of the service sheet changes to **Awaiting External Approval**. The ERP system sends a status update to SAP Business Network, which sends the status update back to Ariba Invoice Professional. The service sheet status is then **Processed**.
7. On SAP Business Network, the supplier invoices one or more approved service sheets. SAP Business Network sends the invoice to the SAP Ariba invoicing solution, where the invoice follows the regular [invoicing and payment process \[page 7\]](#).

If a service sheet is rejected at any point before it is fully approved, either during validation or by an approver in the SAP Ariba solution or the external ERP system, the supplier can edit and resubmit the rejected service sheet on the SAP Business Network using a different service sheet number. At that point, the SAP Business Network sends the service sheet back to the SAP Ariba solution and it enters the validation and approval process again.

Parent topic: [Services Invoicing \[page 13\]](#)

Related Information

[Comparison of Services Invoicing Features in SAP Ariba Solutions \[page 14\]](#)

[Service Orders \[page 17\]](#)

[Service Sheets and Service Sheet Validation \[page 19\]](#)

[Service Invoices \[page 20\]](#)

[Invoice and Invoice Reconciliation Status Flow \[page 95\]](#)

Comparison of Services Invoicing Features in SAP Ariba Solutions

SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management support supplier punchin and full service sheet validation and approval, while SAP Ariba Contract Invoicing supports supplier punchin and more limited validation for service sheet creation.

Services invoicing includes item matching between orders, customer catalogs and contracts; order accumulation against contracts; and service sheet accumulation against orders. These features keep orders and invoices within contract limits, within budget, and using contract pricing.

The following table briefly describes the different services invoicing features provided by each SAP Ariba solution:

Feature	SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management		Notes
	SAP Ariba Contract Invoicing		
Service orders			

SAP Ariba Buying and Invoicing and SAP Ariba Invoice			
Feature	SAP Ariba Contract Invoicing	Management	Notes
Support for service orders with planned or unplanned service lines	X	X	For SAP Ariba Invoice Management, service orders are always created in integrated ERP systems
Service Sheets			
Support for service sheets	X	X	Service sheet tolerances and rules are set in the SAP Business Network buyer account
Suppliers can add non-catalog (unplanned) items to service sheets via punchin from SAP Business Network	X	X	Set using configuration parameters in the SAP Ariba invoicing solution
Suppliers can add file attachments to service sheets	X	X	Service sheet rules are set in the SAP Business Network buyer account and a site configuration parameter is enabled for the SAP Ariba solution.
Service sheet price validation against matching contracts and customer catalogs	X	X	
Service sheet quantity and amount tolerances for planned items	X	X	Set using transaction rules in the SAP Business Network buyer account
Service sheet price tolerances for planned items on service purchase orders	X	X	Set using transaction rules in the SAP Business Network buyer account
Service sheet price tolerances for unplanned items added from contracts or customer catalogs	X	X	Set using configuration parameters in the SAP Ariba solution

SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management			
Feature	SAP Ariba Contract Invoicing	Management	Notes
Workflow routing (including email notifications) for:		X	
- Service sheet approvals to accounts payable or business users - Expired contracts - Invalid commodity codes or units of measure on service sheets			
Invoices			
Suppliers can submit contract invoices (including contract validation for automated suppliers)	X	X	Validation for automated suppliers in SAP Ariba Contract Invoicing is through contract exceptions set to auto-reject
Suppliers can submit contract invoices based on blanket purchase orders (including contract validation for automated suppliers)	X	X	Validation for automated suppliers in SAP Ariba Contract Invoicing is through contract exceptions set to auto-reject
Suppliers can submit service invoices created from service sheets	X	X	
Buyers can submit contract-based invoices		X	
Workflow routing (including email notifications) for:		X	
- Invoice exception types against purchase orders - Invoice exceptions to accounts payable and business users - Invoice approvals to accounts payable or business users			
Other			

Feature	SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management		Notes
	SAP Ariba Contract Invoicing	Management	
Analytical reporting, including prepackaged and custom reports		X	
Field Engineer, Field Service Administrator, Service Sheet Editor, and Reporting Manager global user groups		X	
Data import task for importing contracts as CSV files	X	X	
Accounting master data and default accounting		X	
Support for multi-ERP configurations	X	X	Requires additional SAP Ariba services

Parent topic: [Services Invoicing \[page 13\]](#)

Related Information

[Services Invoicing Workflow in SAP Ariba Solutions \[page 13\]](#)

[Service Orders \[page 17\]](#)

[Service Sheets and Service Sheet Validation \[page 19\]](#)

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[Contract-Based Invoicing \[page 11\]](#)

[Non-PO Invoicing \[page 34\]](#)

Service Orders

Service orders are purchase orders that include at least one line that requires a service sheet.

Service orders have special characteristics such as maximum amounts, contract matching, and planned or unplanned service lines.

Maximum Amounts for Service Order Lines

Service orders can include a maximum amount at the line level. Maximum amounts are budgeting tools that allow suppliers to exceed the regular line amount by a specific amount (if the maximum amount is higher than the line amount), or can enforce the line amount (if the maximum amount is the same as the line amount). Maximum amounts are always hidden from suppliers on SAP Business Network but are visible to members of the **Field Engineer** group in your SAP Ariba Buying and Invoicing solution. Suppliers are not able to submit service sheets that exceed a line's maximum amount.

Note

(If your site is not enabled for external approvals for service sheets) For service orders that do not include a maximum amount for a line item, SAP Ariba Buying and Invoicing considers the order line-item amount as the maximum amount to determine whether suppliers can submit service sheets.

Contract Matching for Service Orders

SAP Ariba Buying and Invoicing matches service orders only to associated contracts, determine whether or not order line items match existing customer catalogs for the contract, and identify them as customer catalog or non-catalog items.

Planned and Unplanned Service Order Lines

Service lines can be planned, meaning that they describe specific pieces of work and have set quantities and amounts. For service orders associated with a release contracts, all planned lines that match the contract accumulate against that contract at the header and line level.

Service lines can also be unplanned, meaning that they have a mandatory minimum amount but are otherwise open-ended. For unplanned lines, all accumulation against purchase order limits are calculated based on subtotals; there is no checking on unit price or quantities.

Note

You can enable the **Validate service sheet maximum amount limit against unplanned items only** (`Application.ServiceSheet.SupportServiceOrdersMaxAmountForUnplannedItemsOnly`) parameter to validate the service sheet maximum amount limit against unplanned service items only. For more information, see [Validate service sheet maximum amount limit against unplanned items only](#).

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[Services Invoicing Workflow in SAP Ariba Solutions \[page 13\]](#)

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Service Sheets and Service Sheet Validation

A service sheet is a document that suppliers performing a service create in order to describe that service. After a supplier submits a service sheet, it is validated and must be approved in the SAP Ariba solution or an integrated ERP system.

Suppliers can only invoice service orders based on approved service sheets.

SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management solutions support full validation and approval of service sheets. SAP Ariba Contract Invoicing only validates service sheets for contract and customer catalog pricing. SAP Ariba invoicing solutions automatically reject service sheets during validation for the following reasons:

- The associated order does not exist, or does exist but is in a state other than **Ordered** or **Ordered with Errors**.
- The service sheet includes an item from a contract but the price exceeds configured tolerances for the contract or customer catalog price.
- The service sheet references a different contract than the associated order.
- The release contract associated with the order has expired after the order was made but before the service sheet was submitted, or the release contract associated with the service sheet has expired after the item was added to the service sheet but before it was submitted. In SAP Ariba Procurement solutions, you can configure contract exceptions to route the service sheet to exception managers for handling rather than automatically rejecting it.
- The service sheet contains non-catalog items and your site is not configured to allow suppliers to add non-catalog items to service sheets.
- The service sheet is not associated with a contract but contains a customer catalog item, and the price is higher than tolerances configured for the catalog price.

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Service Invoices

Service invoices are based on approved service sheets for service orders and there must be at least one approved service sheet.

Typically, suppliers create service invoices in their SAP Business Network accounts and submit those invoices through SAP Business Network, but users can also create service invoices directly in the SAP Ariba invoicing solution.

After a service invoice is approved, the SAP Ariba invoicing solution creates an invoice reconciliation document for the invoice and the invoice reconciliation document moves through the reconciliation process defined for invoices in your site.

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Invoicing Process for Brazil

The invoicing process for Brazil enables buyers in Brazil to view invoices in their standard SEFAZ-approved formats and to export invoice attachments to the external systems. It also enables buyers to view correction information received for invoices.

Brazilian tax authority Secretaria da Fazenda (SEFAZ) mandates legal compliance on all commercial transactions between suppliers and buyers. SEFAZ also mandates the use of defined standard electronic invoices to standardize the transaction documents used between the tax authority and the tax payers (suppliers and buyers).

To enable buyers to adhere to SEFAZ's requirements, SAP Ariba provides the following invoicing capabilities to buyers in Brazil:

- View the following types of electronic invoices:
 - **Nota Fiscal Eletrônica (NFe)**: Goods invoice
 - **Conhecimento de Transporte (CTe)**: Shipping, handling, and transportation invoice
 - **Nota Fiscal de Serviço Eletrônica (NFSe)**: Services invoice
- View the following invoice attachments:
 - **XML**: The SEFAZ-approved electronic invoice in XML format is attached to the invoice and invoice reconciliation document.
 - **PDF**: This is a human-readable, simplified representation of a Brazilian electronic invoice and contains essential transaction details such as sender, recipient and numeric barcode. The PDF format of an NFe is called **Documento Auxiliar do Nota Fiscal Eletrônica (DANFe)**, that for a CTe is called **Documento Auxiliar do Conhecimento de Transporte (DACTe)**, while that for an NFSe is called **Documento Auxiliar do Nota Fiscal de Serviço Eletrônica (DANFSe)**. This format is displayed as an attachment as well as a thumbnail in the invoice and invoice reconciliation document.
- Receive an email notification when an electronic invoice addendum, known as **Carta de Correção Eletrônica (CCe)**, is received for the invoice. The correction letter describes some auxiliary changes (changes that do not alter the tax, quantity or total amount) required to the submitted invoice. This email notification is sent to the requester of the invoice. If the requester's information is not available, the notification is sent to the **Invoice Administrator** and **Invoice Manager** groups.
- View the change description extracted from the CCe in the **Invoice Addendum** section in invoice and invoice reconciliation documents.
- View the XML file for the CCe and other attachments sent for the CCe in the **Invoice Addendum** section in invoice and invoice reconciliation documents.
- Export the invoice attachments to the external system, as part of the payment requests generated for the reconciled invoice. This is supported only for the Web Services channel.

Related Information

[Workflow for the Invoicing Process for Brazil \[page 22\]](#)

Workflow for the Invoicing Process for Brazil

The workflow for the electronic invoicing process of Brazil is very similar to the general invoicing workflow. Some additional steps are required to adhere to SEFAZ's invoicing requirements and to handle correction letters received for invoices.

Workflow for Invoice Attachments

The following steps describe the workflow for viewing electronic invoices and their attachments:

1. SAP Business Network sends an invoice along with its SEFAZ-approved XML and PDF formats attached to it to the buyer's external ERP system.
2. Users can review the attachments in the **Attachments** section. The PDF format is also displayed as a thumbnail in the header section of the invoice.
3. After the invoice is approved, the invoice reconciliation document for the invoice is generated and the invoice attachments is copied to the invoice reconciliation document.
4. Users who have the required permissions resolve the invoice exceptions, if any, and reconcile the invoice.
5. The SAP Ariba invoicing solution generates a payment request for the reconciled invoice.
6. The payment request along with the invoice attachments is exported to the external system for payment.

Workflow for Correction Letters

The following steps describe the workflow for correction letters received for invoices:

1. Suppliers submit a correction letter (CCe) for an invoice to SAP Business Network. The CCe can contain two attachments – the original CCe in its XML format and the CCe in its PDF format. Though the CCe contains a description of the changes required to the invoice, the invoice itself does not get modified when a CCe is received.
2. SAP Business Network extracts the change description from the CCe and creates a notification request document in cXML format. This notification request contains the original XML format of the CCe as an attachment and any other attachments that are part of the CCe.
3. SAP Business Network sends this notification request to the SAP Ariba invoicing solution.
4. The SAP Ariba invoicing solution extracts the change description and attachments from the notification request and displays them in the **Invoice Addendum** section of the invoice.
5. The SAP Ariba invoicing solution sends an email notification to the requester of the invoice. If the requester's contact information is not available, an email is sent to the **Invoice Administrator** and **Invoice Manager** groups.
6. The SAP Ariba invoicing solution generates an invoice reconciliation document for the invoice. The invoice addendum is copied to the invoice reconciliation document.
7. Users who have the required permissions resolve the invoice exceptions, if any, and reconcile the invoice.
8. The SAP Ariba invoicing solution generates a payment request for the reconciled invoice.

9. The payment request along with all the invoice attachments is exported to the external system for payment. The invoice attachments exported to the external system include the attachments of the CCe.

For information on viewing invoice attachments and addendums, see [Finding Invoices](#).

Related Information

[Invoicing and Payment Workflow in SAP Ariba Solutions \[page 7\]](#)

[Invoicing Process for Brazil \[page 21\]](#)

Invoicing Process for Japan

The tax authority in Japan will follow a new invoicing method called as TEKIKAKU SEIKYUSHO TOU HOZON HOUSHIKI, and it is effective October 1, 2023. SAP Ariba Buying and Invoicing now provides an enhanced method for tax calculation to support the new invoicing method in Japan. Thus, invoices created in both these systems will have the tax summarization calculated at the header level during invoice creation. The tax rounding (round up, round half-up, round down) occurs only once per tax rate in a single invoice.

Supplier organizations need to register with the tax authority in Japan. The tax authority issues a unique ID for each supplier called as Tax Registration Number. This Tax Registration Number enables the buyers and suppliers using the SAP Ariba Buying and Invoicing systems to continue business transactions and identify the business transactions with qualified invoices to claim VAT returns.

During invoice creation, the tax summarization of the taxes captured at the line level are displayed at the header level. Individual items in the invoice are grouped based on the tax type.

For example, in an invoice, the tax rate for the first two line items is SalesTax_8% and the tax rate for the next two line items is SalesTax_10. The tax summarization displays two header level tax lines for the four line items. Each line indicates the calculation based on each tax type.

Suppliers who are registered with the Japanese tax authority will have a Tax Registration Number. The SAP Ariba Buying and Invoicing system qualifies a supplier as a qualified supplier if the Tax Registration Number is displayed on the invoice. Ensure that you as a buyer update the supplier master data into the system.

Prerequisite

- Buyer Prerequisite
 - The parameter **EnableJapanConsumptionTax** (`Application.Procure.EnableJapanConsumptionTax`) must be set to Yes. This parameter is self-service.
 - If you are using SAP ERP, then the tax codes used in the ERP system and SAP Ariba Buying and Invoicing system must be the same. For more information, see SAP Note [3067001](#). If you are using additional tax codes in your ERP system based on the purchase to differentiate your purchases between a Qualified Supplier and a nonqualified supplier, then you need to create a custom field named **Qualified Supplier** in SAP Ariba Buying and Invoicing to switch tax code automatically based on the record existence/non-existence in Supplier Tax Registration Number master and then you need to update the following configuration files into the system for transactions.

Note

Contact your SAP Ariba administrator to import the configuration files.

- CurrencyInfo.csv, click [here \[page 27\]](#) to view a sample file.
- TaxType.csv, click [here \[page 27\]](#) to view a sample file.
- TaxTypeMap.csv, click [here \[page 28\]](#) to view a sample file.

- TaxCodeLookup.csv, click [here \[page 28\]](#) to view a sample file. You need to have one additional customization column in the TaxCodeLookUp file to identify the qualified supplier.
- TaxCodeLookupFieldMapping.csv, click [here \[page 29\]](#) to view a sample file.

Note

If you do not want to differentiate your transaction with a Qualified Supplier and a nonqualified supplier, you do not need to update the configuration files.

- The tax type has unique tax rates. Ensure that the tax type and tax rates are preconfigured in the SAP Ariba Buying and Invoicing system.
- You must have a custom field created in the system to identify a qualified and a non-qualified supplier. For more information, contact your [SAP Customer Success Partner](#) or you can create the custom field as mentioned below.

Note

Incase of a non-qualified supplier, you do not need to create the custom field.

For documentation purpose, the custom field is named as **Qualified Supplier**. You can customize the name of the field as required.

- **Supplier GST ID** - In a PO-FLIP scenario, the value of this field is copied from the invoice document sent from the supplier.
In ERS and paper invoice scenario, the value of this field is copied from the Supplier Tax Registration master data in SAP Ariba Buying and Invoicing. In this case, you can populate the supplier's Tax Registration Number by selecting the supplier contact details. You can edit the value in this field only when using the paper invoice scenario.
The **Supplier GST ID** field is available under the ► **Header Information** ► **GST Details** ► section of the invoice creation page once you enable the parameter **EnableJapanConsumptionTax** (`Application.Procure.EnableJapanConsumptionTax`).
- **Qualified Supplier** - This custom field appears in all the line items. The system displays **Yes** if the supplier Tax Registration Number exists in the **SellerTaxRegistrationNumber** field. Else, the system displays **No**.

Restrictions

- SAP Ariba restricts adding different tax rates for the same tax type at the header level by default. Review the prerequisites to configure tax type and rate for header level usage.

Workflow of Invoices

The following description explains how the taxes are handled in the SAP Ariba Buying and Invoicing system.

- **Scenario 1 - Paper / Self-billing invoices**
You need to copy all the tax details from the paper invoice into the system and then add the header level taxes manually.

- Scenario 2 - ERS invoices
The system summarizes the tax calculations automatically at the header level and the taxes are group based on the tax type.

Note

The tax type have unique tax rates.

- Scenario 3 - Invoices originating from SAP Business Network
The summary of the taxes of a SAP Business Network invoice gets copied to header level taxes on the SAP Ariba Buying and Invoicing invoice.

Overview of User Interface Changes

Once you enable the parameter **EnableJapanConsumptionTax** (`Application.Procure.EnableJapanConsumptionTax`), the following fields are displayed:

- **Seller Tax Registration Number** - Displays the Tax Registration Number of the supplier on the **Requisition** creation page.

Create Non-Catalog Item

Print Add to Cart Cancel

Purch Org: **201 (Pur Org 201)**

Full Description: * Enter a description for this item.

Commodity Code: * (no value)

Material Group: * (no value)

Item Category: * (no value)

Account Type: * (no value)

Quantity: 1

Unit of Measure: each

Price: * ¥0 JPY

Additional Pricing Details ⓘ

Amount: ¥0 JPY

Update Amount

SellerTaxRegistrationNumber:

Supplier Information

Vendor: (No Preference)

Contact: (no value) [select]

- **Supplier GST ID** - Displays the Tax Registration Number of the supplier on the **Invoice** creation page under the **Header Information > GST Details** section.

Type: ☐ Non-PO
☒ PO-Based
☐ Contract-Based

Supplier: *

Supplier Contact: (no value) [select]

Supplier Invoice #:

Invoice Date: Fri, 30 Jun, 2023

Purchase Orders: *

On Behalf Of:

Company Code:

WHT Base Amount: JPY

My Labels: [Apply Label...](#) ⓘ

[GST Details](#)

Buyer GST ID:

Tax Invoice Number:

Payment Terms: (no value) [select]

Ship From: (no value)

Plant: ZJP1 (JP Tokyo Plant - IS-Auto)

Aomi, 1-2-3

Koto-ku 13 1350064

Japan

Remit To Address: (no value)

Deliver To: * Chad Noll

Supplier GST ID:

Header Taxes, Charges, and Discount

Name	Type	Tax Rate	Amount	Accounting	Details
No Items					

Delete Add Update

Contact your Designated Support Contacts (DSCs) to submit a ticket/case in SAP Ariba Connect or SAP for me to Ariba Product Support to make the Seller Tax Registration Number field visible on the line-item level of PR, PO, Invoice, and Invoice reconciliation documents. This field displays the Tax Registration Number copied from the supplier Tax Registration master data in SAP Ariba Buying and Invoicing system for ERS and on the invoice creation page. The Seller Tax Registration Number field will be overwritten by the Supplier GST ID value for Invoices created in SAP Business Network.

Related Links

- [Tax Invoicing in Japan](#) in SAP Business Network.

Sample Currency Information File

The following table lists the fields in the CurrencyInfo.csv file:

AmountPrecision	PricePrecision	Rounding	TaxRounding	Currency	Precision
0	0	ROUNDFOOR	ROUNDFOOR	JPY	0

Sample Tax Type File

The table below describes the fields in the TaxType.csv file required to create tax components or to add taxes to invoices. This file can be used for all variants.

UniqueName	Name	Category
SalesTax_8	SalesTax 8 percent	2
SalesTax_10	SalesTax 10 percent	2

Sample Tax Type Map File

The table below describes the fields in the TaxTypeMap.csv file required to successfully exchange purchase orders and invoices between SAP Ariba Buying and Invoicing and SAP Business Network. This file can be used for all variants.

Name	TaxLineType
SalesTax_8	SalesTax_8
SalesTax_10	SalesTax_10

Sample Tax Code LookUps

The table below describes the fields in the TaxCodeLookup.csv file required to import tax code lookups for Japan. Additional customizable fields can be added to this file.

Commodity-Code	ShipFrom-Country	ShipToCountry	TaxCode-Country	TaxCode	IsAccrual	Rank	cus_QualifiedSupplier
007	JP	JP	JP	V6	No	1	No
007	JP	JP	JP	J2	No	2	Yes
017	JP	JP	JP	V6	No	1	No
017	JP	JP	JP	J2	No	2	Yes
R1133	JP	JP	JP	V6	No	1	No
R1133	JP	JP	JP	J2	No	2	Yes
004	JP	JP	JP	V2	No	1	No
004	JP	JP	JP	J1	No	2	Yes

Commodity-Code	ShipFrom-Country	ShipToCountry	TaxCode-Country	TaxCode	IsAccrual	Rank	cus_QualifiedSupplier
00105	JP	JP	JP	V2	No	1	No
00105	JP	JP	JP	J1	No	2	Yes
00305	JP	JP	JP	V2	No	1	No
00305	JP	JP	JP	J1	No	2	Yes
00707	JP	JP	JP	V2	No	1	No
00707	JP	JP	JP	J1	No	2	Yes

Sample Tax Code Lookup Field Map

The table below describes the fields in the TaxCodeLookupFieldMapping.csv file required to import tax code lookup field maps. This file can be used for all ERP systems.

FieldName	DottedFieldPath	LineItemType
cus_QualifiedSupplier	cus_QualifiedSupplier	ariba.purchasing.core.ReqLineItem
cus_QualifiedSupplier	cus_QualifiedSupplier	ariba.invoicing.core.InvoiceLineItem
cus_QualifiedSupplier	cus_QualifiedSupplier	ariba.invoicing.core.InvoiceReconciliationLineItem

Sample Supplier Tax Registration Number File

The following table lists the fields in the SupplierTaxRegistration.csv file.

Country	Supplier	TaxRegistrationNumber
JP	SU_INTERNAL6932	JPJWOODMAN926
JP	0000000101	JPJCN9260R001

Italy SDI Invoices

SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management can be configured to allow Accounts Payable (AP) to edit Italy SDI invoices before the invoice reconciliation document is created. Authorized users can edit invoice header details and can add items, allowances, charges, taxes and tax amounts, and withholding tax. In addition, to facilitate accounting, administrators can assign a default requester for SDI invoices that don't have one already.

Members of the following groups can edit submitted SDI invoices: **Invoice Administrator, Invoice Agent, Invoice Editor, Invoice Manager, Invoice Specialist.**

[Workflow for SDI Invoices \[page 30\]](#)

[Adding an Approval Rule for SDI Invoices \[page 31\]](#)

Workflow for SDI Invoices

This high-level workflow for Italy SDI invoices starts with the supplier submitting the invoice and ends with the creation of the invoice reconciliation (IR) document.

The workflow assumes the following:

- The administrator has configured a default requester for SDI invoices that don't have a requester specified.
 - The invoice approval process routes invoices from Italy to approvers who can edit SDI invoices as needed.
1. The supplier from Italy submits an invoice to SDI.
 2. SDI sends the FatturaPA XML document to TrustWeaver, which converts it to cXML format.
 3. cXML document is sent to SAP Business Network.
 4. SAP Business Network sends the following:
 - cXML invoice that SAP Business Network received from Trust Weaver
 - The FatturaPA XML invoice that SDI sent to TrustWeaver and TrustWeaver sent toSAP Business Network
 - The SDI delivery receipt
 - A PDF file of the invoice, generated in one of the following ways:
 - By TrustWeaver, based on the FatturaPA XML that TrustWeaver received from SDI
 - By SAP Business Network, based on the cXML that SAP Business Network received from TrustWeaver
 5. If no requester is specified, the invoicing solution adds a default requester, and adds the purchasing unit or business unit based on the default requester.
 6. The invoicing solution routes the invoice to an approver who can edit invoices.
 7. The approver opens the invoice, views the attachment, edits the invoice as needed, and submits the invoice.
 8. When the invoice is fully approved, an IR document is created.
 9. From this point onward, the invoicing process continues as usual.

Related Information

[Adding an Approval Rule for SDI Invoices \[page 31\]](#)

Adding an Approval Rule for SDI Invoices

You can configure your invoice approval process to route SDI invoices to users who can edit them.

Prerequisites

Members of the **Customer Administrator** or **Invoice Administrator** group can perform this task.

Context

You add an approval rule with a **Field Match** condition based on the `TaxInvoiceFormat` field of the invoice.

Procedure

1. From the dashboard, choose ► **Manage** ► **Approval Processes** ►.
2. Find the approval process for invoices, open it, and click **Edit**.
3. Add an approval rule.
4. In the **Condition** section, create a **Field Match** condition.
5. Select the field to use.

For SDI invoices, use the `Invoice.TaxInvoiceFormat` field.
6. Select the value to match.

For SDI invoices, enter **FPR** as the value to match.
7. In the **Action** section of the approval process editor, define the approvers to add for SDI invoices.
8. Save, check in, and activate the approval process.

Evaluated Receipt Settlement and Automatic Invoicing

The evaluated receipt settlement (ERS) feature enables buyers to settle goods receipts without receiving invoices from suppliers. This helps to reduce invoice variances and close purchasing transactions more quickly.

This feature is supported in SAP Ariba Buying and Invoicing.

The ERS feature enables automatic creation of invoices after goods receipt transactions are fully approved. SAP Ariba Buying and Invoicing creates invoices using the information on purchase orders, no-release order contracts, and goods receipts. This reduces invoice variances and makes the invoicing process more efficient by ensuring that invoices are based on goods received.

SAP Ariba Buying and Invoicing also creates partial invoices if goods are received in batches. For example, if a buyer ordered 15 items and received 10 items, SAP Ariba Buying and Invoicing creates an invoice for 10 items. SAP Ariba Buying and Invoicing creates another invoice after the remaining five items are received at a later date. For transactions pertaining to returned goods and receipt adjustments using negative quantities, SAP Ariba Buying and Invoicing creates credit memos.

When ERS is enabled for no-release order contracts, SAP Ariba Buying and Invoicing creates invoices for recurring and fixed fee payments for items, such as rents and advances on specific dates, based on the payment frequency and billing dates configured on the contracts. For details about ERS for no-release contracts, look for the topic about automatic creation of contract-based invoices for evaluated receipt settlement, in the guide [Managing Contract Compliance](#).

ERS is controlled by the site configuration parameter **Generate invoices for evaluated receipt settlement**(`Application.Procure.EnableERS`) (enabled for self-service).

Contracts That Consist a Mix of ERS and Non-ERS Items

Your site might allow users to create manual invoices for non-ERS items and automatic invoices for ERS items for contracts that consist a mix of ERS and non-ERS items. This capability is controlled by a feature toggle that SAP Ariba sets.

Source of Data for Automatically-Generated Invoices

The SAP Ariba Buying and Invoicing generates invoices using the information in the following documents:

- Purchase orders: The SAP Ariba Buying and Invoicing inherits information, such as price, tax codes, charges, and payment terms, that are specified for line items on purchase orders. All taxes for invoices are generated automatically from receipts that are based on taxes specified on the associated purchase orders. Allowances for invoices that are generated automatically from receipts are also associated with the information on the purchase orders.

- No-release order contracts: Similar to purchase orders, the SAP Ariba Buying and Invoicing inherits information such as price, tax codes, and payment terms that are specified for each line item on the contract. In addition, invoices for recurring and fixed fee payments are automatically created based on the pricing terms and dates that you schedule on the contracts.
- Goods receipts: The quantity value on the receipt is copied automatically to the invoice.

Evaluated Receipt Settlement Workflow

The following is a high-level workflow for automatic creation of invoices when line items on purchase orders and no-release order contracts are marked for ERS transactions:

1. A preparer creates a requisition or a contract request for items that need to be procured from ERS-approved suppliers.
(For contract requests) The preparer configures the **Fixed and Recurring Fees** details to specify the date at which items are delivered and the frequency at which services are rendered.
2. SAP Ariba Buying and Invoicing includes a member of the **Purchasing Manager** or the **Contract Manager** group as an approver in the approval flow.
3. The **Purchasing Manager** or **Contract Manager** group approver performs the following actions:
 1. (For contract requests) Edits the details for fixed and recurring fee items to ensure that the **Auto Invoice** field is set to **Yes**.
 2. Edits the details for each line item on the requisition or the contract request to ensure that the **ERS Allowed** field is set to **Yes**, and then approves the requisition or contract request.
4. Other approvers identified in the approval flow approve the requisition or contract request.
5. SAP Ariba Buying and Invoicing creates a purchase order or a no-release order contract.
6. The supplier receives the order and ships the items to the buyer.
7. The buyer receives the items and approves the receipt transactions.
8. (For material items) Depending on the quantity of items received, SAP Ariba Buying and Invoicing generates invoices and credit memos with reference to the receipt:
 - If items are fully received, SAP Ariba Buying and Invoicing automatically creates an invoice and the transaction is passed for payment.
 - For items received in batches, SAP Ariba Buying and Invoicing automatically creates separate invoices for each batch based on the accepted quantity of items, and the invoices are passed for payment.
 - For line items on a receipt with negative values for the amount accepted, SAP Ariba Buying and Invoicing automatically creates a line-item credit memo.
9. (For fixed and recurring fee items on no-release order contracts) Depending on the frequency and billing date specified on the contract, SAP Ariba Buying and Invoicing automatically creates an invoice for fixed and recurring fee items on the scheduled date.

Non-PO Invoicing

Non-PO invoices are invoices that are not based on a purchase order. If suppliers send paper invoices, invoice entry users create electronic non-PO invoices in the SAP Ariba invoicing solution. If your business rules allow, suppliers can also create non-PO invoices in SAP Business Network.

Users in your site create non-PO invoices by clicking **Create > Non-PO Invoice** on the dashboard. SAP Ariba invoicing solutions always treat these invoices as non-PO invoices.

Suppliers create non-PO invoices using the **Create Non-PO Invoice** task in their SAP Business Network accounts to submit an invoice through SAP Business Network. However, your SAP Ariba invoicing solution treats these invoices as non-PO invoices or PO-based invoices depending on the values the supplier enters in the following fields:

- **Sales Order #** only: treated as a non-PO invoice
- **Customer Order #**:
 - Treated as a non-PO invoice if the value in the **Customer Order #** field does not match an existing purchase order on SAP Business Network.
 - Treated as a PO-based invoice if the value in the **Customer Order #** field matches an existing purchase order on SAP Business Network.
- **Contract #** (valid or invalid): treated as a contract-based invoice. If the contract ID is invalid, the invoice triggers an **Invoice Unmatched** exception.

ⓘ Note

SAP Business Network requires suppliers to enter an email address (**Sold To**) only if they enter a value in the **Sales Order #** field. If suppliers submit an invoice with an invalid **Customer Order #** value and without a valid email address, your SAP Ariba invoicing solution auto-rejects the invoice by default.

In analytical reports on invoices, when suppliers submit an invoice through SAP Business Network with no specific order information (the **Sales Order #**, **Customer Order #**, and **Contract #** fields are all blank), that invoice has the **Invoice Type** of **Non-PO**. If the supplier submits an invoice with a **Customer Order #** value that does not match an existing purchase order on SAP Business Network, that invoice has the **Invoice Type** of **Customer Order**.

ERP Invoice Copies

ERP invoice copies are information-only copies of invoices that are processed and reconciled in an external ERP system, sent to SAP Business Network, and copied to SAP Ariba Invoice Management so that you can see all of your company's invoicing activity in it.

ERP invoice copies are always information-only. The ERP system is always the source of truth for ERP invoice copies, including status updates. They do not have any approval flows or reconciliation activities in SAP Ariba Invoice Management. However, by providing information about invoice activity in integrated ERP systems, they allow you to see and run reports on invoices across all of your company's invoicing activity in SAP Ariba Invoice Management. ERP invoice copies are matched to related contracts, purchase orders, and payments, which are linked from the ERP invoice copy's **Invoice** page.

ERP invoice copies are automatically approved when they are received and are not editable. You can print and add attachments and comments to ERP invoice copies and their corresponding invoice reconciliations. You cannot perform any other actions on them.

You can search for ERP invoice copies by choosing **ERP Invoice Copy** on the **Invoice Origin Type** search filter.

ⓘ Note

Invoices from SAP Fieldglass are considered ERP invoice copies, but their origin type is **Fieldglass Invoice Copy**.

You can't copy ERP invoice copies (including SAP Fieldglass invoices) from search results. In addition, the invoice page for ERP invoice copies doesn't include the **Copy** button.

In analytical reports, the **Invoice Origin Type** field shows **ERP Invoice Copy** for ERP invoice copies and **Unclassified** for all other invoices.

Invoice Cancellation by Suppliers

Suppliers can request to cancel invoices that are sent through SAP Business Network.

A cancel invoice request is an approvable document that changes the status of the corresponding invoice reconciliation document, the original invoice, and the payment request. Suppliers can submit cancel invoice requests if the invoice is still in the process of being reconciled (the status of the corresponding invoice reconciliation is **Reconciling**). They cannot cancel invoices that have already been reconciled (the status of the corresponding invoice reconciliation is **Reconciled**).

The cancel invoice request, as an approvable document, must also go through an approval process; the invoice is not canceled until approval of the request is final. During the approval process, the status of the original invoice document and the corresponding invoice reconciliation are both **Canceling**. If the cancel invoice request is finally approved, the invoice is successfully canceled, the associated invoice, IR, and payment request all change status to **Canceled** and all purchase order and contract accumulators associated with the original invoice are reversed. If the cancel invoice request is rejected, there is no change to invoice, invoice reconciliation, or payment request status or to accumulators, and the SAP Ariba invoicing solution sends an update to SAP Business Network so that the invoice status there is no longer **Canceled**.

Related Information

[Invoice and Invoice Reconciliation Status Flow \[page 95\]](#)

[Cancellation of Approved Invoices in the ERP System](#)

Taxes on Invoices

SAP Ariba invoicing solutions support indirect taxes and withholding taxes on invoices.

Indirect and Withholding Taxes

Indirect Taxes: Indirect taxes are taxes levied on goods or services, paid by the buyer to the supplier who in turn pays them to the tax authorities. Examples of indirect taxes are Value Added Tax (VAT), sales tax, and excise duty. Indirect taxes are added to the invoice amount.

Withholding Taxes: In certain countries/regions, withholding tax is required for self-employed suppliers and is generally paid by the buying organization to the state or federal government tax authorities on behalf of the supplier. The tax percentage rate or tax amount must be entered as a negative number on invoices and a positive number on credit memos.

If an invoice contains indirect taxes and withholding taxes, the invoice summary displays the indirect tax amount and withholding tax amount separately; however, the total tax amount excludes withholding tax. The **Payable to Supplier** value is calculated by deducting the withholding tax amount from the gross amount of the invoice.

Taxes on Invoices Received from SAP Business Network

When SAP Business Network sends an invoice containing taxes to the SAP Ariba invoicing solution, the tax types applied on the invoice in SAP Business Network are replaced by the tax types defined in the SAP Ariba invoicing solution based on the tax type mappings defined. If a tax type on the invoice cannot be mapped to a tax type defined in the SAP Ariba invoicing solution, the tax type is set to a default tax type defined for the site.

Taxes on Invoices Created in SAP Ariba Invoicing Solutions

By default, when you create a PO-based invoice in your SAP Ariba invoicing solution, the taxes on the purchase order are not copied to the invoice. You need to apply taxes on the invoice manually based on the paper invoice received from the supplier. SAP Ariba can configure your site to copy tax, charge, and discount information from the purchase order by enabling feature SINV-6818: PO-based defaulting of taxes, charges, and discounts on manual invoices.

You can apply indirect and withholding taxes on invoices either at the header level or at the line-item level, but not at both. For example, if you apply a withholding tax on the invoice at the header level, you cannot apply any withholding taxes at the line-item level, but you can still apply indirect taxes at the line-item level.

At the header-level, you can apply taxes using only tax types. At the line-item level, you can apply taxes using both tax types and tax codes, provided you use the same way of applying taxes for all line items; that is, you cannot apply tax types on some line items and tax codes on others. If you use tax codes, you can apply up to one indirect tax

code and one withholding tax code on a line item. If you use tax types, though you can apply multiple tax types at the header level or on a line item, you cannot apply the same tax type more than once. For withholding tax types, you must specify a negative tax amount. This withholding tax amount is deducted from the invoice amount and tracked separately in the payment request generated for the invoice.

When invoices are sent to SAP Business Network, the tax types on the invoices are replaced by the tax types used in SAP Business Network based on the tax type mappings defined.

VAT Compliance and Support for 0% VAT Rate

Invoices sent through SAP Business Network can contain VAT details at the header and line-item level. VAT information is displayed in the **VAT Details** area of invoice headers and in line item details. Invoices that contain VAT taxes might be also be digitally signed. You can view digital signatures by clicking **View Certificate** in the header.

Suppliers who submit invoices on SAP Business Network can indicate that a VAT rate is zero rated or exempt using the **Exempt Detail** field. Zero rated goods or services are taxable, but the tax rate is 0%. Exempt goods and services are exempt from taxation.

Your SAP Business Network buyer account administrator can make the **Exempt Detail** field mandatory or optional for suppliers using the **Require explanation for zero-rate VAT** invoice rule in your SAP Business Network buyer account. When this rule is enabled, suppliers are forced to provide a reason for a 0% VAT rate. The **Exempt Detail** field is not available for reporting.

Buyer-Payable Taxes

SAP Ariba uses the term buyer-payable tax for item taxes that the buyer pays directly to tax authorities. Depending on the situation, buyer-payable taxes can also be referred to as direct-pay taxes, self-assessed taxes, or use taxes.

Buyers and suppliers typically have an understanding of the situations in which an item tax is a buyer-payable tax. Often, the buyer's ship-to location determines this. Suppliers don't usually invoice for taxes the buyer pays directly because buyers don't owe suppliers for them.

On sites using **Enhanced third-party tax calculation for invoicing** (`Application.Procure.EnhancedTaxCalculationInExternalSystems`), the tax calculation engine determines whether a tax is a buyer-payable tax during invoice reconciliation. Buyers accrue buyer-payable taxes.

For details about buyer-payable taxes, see the [Tax and Charge Configuration](#) guide.

Related Information

[Tax and Charge Exception Calculations \[page 70\]](#)

[PO-Based Defaulting of Taxes, Charges, and Discounts on Manual Invoices \[page 41\]](#)

[Invoices from SAP Central Invoice Management \[page 61\]](#)

Charges and Discounts on Invoices

SAP Ariba invoicing solutions support charges and discounts on invoices at the header level as well as at the line-item level.

Charges and Discounts on Invoices Received from SAP Business Network

When an invoice containing charges is received from SAP Business Network, the charge types applied on the invoice are replaced by the charge types defined in the SAP Ariba invoicing solution based on the charge type mappings defined. If a charge type applied on the invoice is not mapped to any charge type in the SAP Ariba invoicing solution, the default charge type **Other Charges** is used with the SAP Business Network charge type appended to it. For example, if a charge of type Priority Delivery is applied on the invoice in SAP Business Network and this charge type is not mapped to any charge type in the SAP Ariba invoicing solution, then the charge type for the charge is displayed as **Other Charges** - Priority Delivery.

Discounts are applied to invoices in SAP Business Network either as discounts or as allowances with type as discount. In both cases, the SAP Ariba invoicing solution consumes the applied discount as a discount. The SAP Ariba invoicing solution rejects an invoice if multiple discounts or allowances are applied on a line item or at the header level in an invoice.

Charges and Discounts on Invoices Created in SAP Ariba Invoicing Solutions

By default, when you create a PO-based invoice in your SAP Ariba invoicing solution, the charges and discounts on the purchase order are not copied to the invoice and you need to apply them manually based on the paper invoice received from the supplier. SAP Ariba can configure your site to copy tax, charge, and discount information from the purchase order by enabling feature SINV-6818: PO-based defaulting of taxes, charges, and discounts on manual invoices.

You can apply charges on invoices using the standard shipping and handling charge types as well as the charge types defined by the customer administrator. You cannot apply the same charge type on the invoice at both the header and line-item level. When invoices are sent to SAP Business Network, the charge types applied on the invoices are replaced by the charge types used in SAP Business Network based on the charge type mappings defined.

You can apply only one discount on an invoice at the header or on a line item. You must specify the discount as a negative amount to deduct it from the invoice amount.

Related Information

[PO-Based Defaulting of Taxes, Charges, and Discounts on Manual Invoices \[page 41\]](#)

Allowances in Invoice Reconciliation Documents from Merged Sites

PO-Based Defaulting of Taxes, Charges, and Discounts on Manual Invoices

SAP Ariba Buying and Invoicing sites can include PO-based defaulting of tax, charge, and discount information. Users entering invoices don't have to enter all tax, charge, and discount information manually.

With this feature, the tax, charge, and discount information for the line items is copied from the purchase order. To enable this feature, have your Designated Support Contact (DSC) submit a Service Request (SR). An SAP Ariba Support representative will follow up to complete the request by turning on feature SINV-6818.

ⓘ Note

This feature pertains to invoices the buyer enters on behalf of a supplier. For PO-based invoices submitted by suppliers, the behavior depends on how your SAP Business Network account is configured. A business rule you set in your SAP Business Network buyer account controls if tax information is copied from the order to the invoice, or if suppliers must manually add taxes to the invoice. The name of that rule is **Copy tax from purchase order to standard invoice**.

Prerequisites

Is for sites that support adding taxes, charges, and discounting to requisitions and purchase orders. This capability is controlled by the site parameter `Application.Procure.EnableTaxesChargesAndDiscount`, which SAP Ariba sets for you.

Restrictions

- This feature doesn't apply to invoices for POs that include service lines.
- The charge type is copied from the PO to the invoice, but the default charge amount on the invoice is always 0. Users fill it in manually.

Basic Workflow

1. A buyer user creates a requisition with tax, charge, and discount lines.
2. After the requisition is approved, the SAP Ariba solution creates the PO and sends it to the supplier.
3. The supplier sends the goods and sends a paper invoice to the buyer.
4. A buyer user creates a PO-based invoice on behalf of the supplier and selects the appropriate PO or POs.
5. The SAP Ariba solution copies the tax, charge, and discount information for each PO line onto the invoice:
 - Tax lines, with tax code, tax component, and tax amount

- Charge lines, with charge type (for example, shipping) and an amount of 0 (zero)

📌 Note

The buyer user fills in the charge amount on the invoice. It's not copied from the order.

- Discount lines, with the discount amount

6. The buyer user edits the invoice as needed and submits the invoice.

How Defaulting Works When There Are Multiple Invoices (Partial Invoicing)

- **Taxes:** The default amount is based on the quantity remaining for the line item and the tax rate associated with the tax code. "Quantity remaining" is the quantity that isn't already invoiced **and reconciled**.
- **Discounts:** The default amount is based on the discount amount remaining. "Amount remaining" is the amount that isn't already invoiced **and reconciled**.
- **Charges:** The default amount is always 0 on the invoice.

For example, a PO line item has the following quantity and tax, charge, and discount lines:

Purchase order
<u>Line 1 amounts</u>
Quantity: 160
Sales tax: \$360 USD
Shipping charge: \$200 USD
Discount: -\$220 USD

1. A buyer user creates an invoice on behalf of the supplier and selects the PO.
2. The tax and discount amounts are copied from the PO. The default charge amount on the invoice is \$0 USD.

Purchase order	Invoice 1 default tax, charge, discount
<u>Line 1 amounts</u>	<u>Line 1 default amounts</u>
Quantity: 160	Quantity: 160
Sales tax: \$360 USD	Sales tax: \$360 USD
Shipping charge: \$200 USD	Shipping charge: \$0 USD (charge type is copied, charge amount is always 0)
Discount: -\$220 USD	Discount: -\$220 USD

3. The buyer user edits the tax, charge, and discount lines on the invoice as follows:

Invoice 1 manual changes

Line 1 edited amounts

Quantity: **120**

Sales tax: **\$270 USD**

Shipping charge: **\$100 USD**

Discount: **-\$200 USD**

4. The buyer user fills in the rest of the invoice and submits it.
5. The invoice lines are reconciled.
6. A buyer user creates another invoice and adds the same PO.
7. On the new invoice, the default quantity and the default amounts for the tax, charge, and discount lines are as follows:

Invoice 2 default tax, charge, discount

Line 1 default amounts

Quantity: **40**

Sales tax: **\$90 USD**

Shipping charge: **\$0 USD**

Discount: **-\$20 USD**

8. The buyer user fills in the rest of the invoice and submits it.

What if POs Change Before the Invoice Is Submitted?

When a manual invoice is still in **Composing** state, and an associated PO changes, the taxes, charges, and discounts on the invoice are not updated automatically. Any manual edits made on the invoice are preserved.

If a user creates an invoice but doesn't submit it right away, they can choose the PO again on the **Invoice Entry** page. The latest values are copied from the PO to the invoice, replacing existing values. This ensures that the tax, charge, and discount information is in sync with the latest PO.

Price-Adjustment Debits and Credits

Buyers can reconcile line-item price adjustments from suppliers. Buyers can also enter price-adjustment debit and credit memos on behalf of suppliers.

A price adjustment results in a line-level debit memo or line-item credit memo against the original invoice. The line-item quantity on a price adjustment is the same as the line-item quantity on the original invoice.

In SAP ERP, price adjustments are represented as subsequent debits and subsequent credits.

Type of price adjustment	Invoice Type
Price reduction	Line-Item Credit Memo
Price increase	Line-Item Debit Memo

Once the price adjustment from the supplier is reconciled and approved in the SAP Ariba solution (often with no intervention from the buyer), it's sent to the external ERP system.

Price-adjustment credit memo for price reduction of \$2:

Document	Quantity	Item	Price	Change in price	Amount	Invoice amount after price adjustment
Order	100	Soap	\$10		\$1,000	
Invoice 1	50	Soap	\$10		\$500	\$400
Price- adjustment credit memo 1	50	Soap		-\$2	-\$100	

Result:

Invoiced amount is adjusted from \$500 to \$400 based on the change in price.

Invoiced quantity remains at 50. The quantity on price-adjustment credit memos doesn't affect the original invoiced quantity.

Figure 1: Example: Price-Adjustment Credit Memo

SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management support matching and exception handling for price-adjustment debit and credit memos.

The workflow supports all types of invoice lines on PO-based invoices, non-PO invoices, and contract-based invoices.

Note

SAP ERP doesn't support price adjustments for non-PO or contract-based invoices. Price-adjustment documents in SAP ERP (referred to as subsequent debits and credits) are always against purchase orders.

In reporting:

- Reports for invoices and invoice reconciliation documents include a **Price Adjustment** field for line-item debit memos and line-item credit memos to indicate whether they're price adjustments.
- Reports for invoices and invoice reconciliation documents include an **Invoice Purpose** field, which shows the invoice document type (standard, credit memo, line-item credit memo, or line-item debit memo).

Prerequisites

To allow suppliers to submit price-adjustment credit memos and debit memos through SAP Business Network, in your SAP Business Network account, check the following **General Invoice Rules** on the **Default Transaction Rules** page:

- **Allow suppliers to send line-item credit memo**
 - **Price Adjustment**
- **Allow suppliers to send line-item debit memo**
 - **Price Adjustment**

Buyers and suppliers that use their own cXML-enabled applications must upgrade to cXML 1.2.034 or later to support attributes added to the cXML standard.

Integration with External ERP Systems

In order for the ERP system to process the documents as price adjustments, it must be configured to process the price adjustment indicator and invoice type information included in the document.

Integration with external ERPs other than SAP ERP requires custom work.

Buyers integrated with SAP ERP using SAP Business Suite Add-On for SAP Business Network integration must have release SP15 or later.

Buyers integrated with SAP ERP using SAP Ariba Cloud Integration Gateway must have SAP Ariba Cloud Integration Gateway release 2018.09 or later for support of price-adjustment debits and credits.

If your external ERP system is SAP ERP:

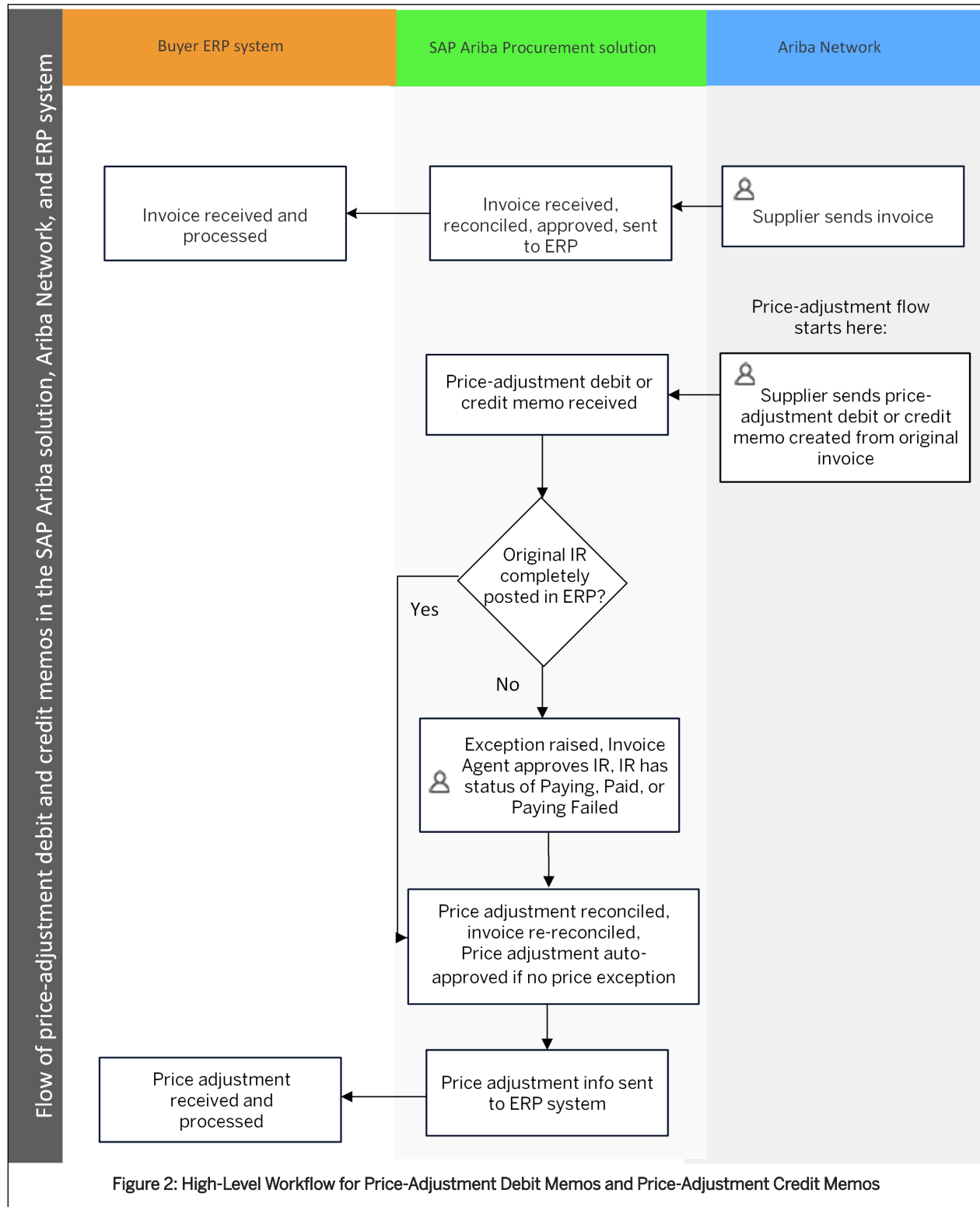
- This feature works with existing adapters without additional mapping.
- Price-adjustment debit memos become subsequent debits in the ERP system, and price-adjustment credit memos become subsequent credits.
- Price adjustments are supported for PO-based invoices only.

[Invoicing Workflow for Price-Adjustment Debits and Credits \[page 46\]](#)

[Enablement of Price Adjustment Debits and Credits \[page 48\]](#)

Invoicing Workflow for Price-Adjustment Debits and Credits

This diagram shows a high-level workflow for price-adjustment debit and credit memos. More detailed steps follow.



1. After sending an invoice, the supplier realizes the price of one of the items needs to be adjusted.
2. The supplier creates one of the following against a line in the original invoice:
 - For a reduction in the price of an item, a line-item credit memo marked as a price adjustment
 - For an increase in the price of an item, a line-item debit memo marked as a price adjustment

The supplier specifies the change in price, not the new price.

- For price-adjustment credit memos, the change in price is a negative number because the price is reduced.
- For price-adjustment debit memos, the change in price is a positive number.

The quantity for the item is the same as the invoiced quantity. The SAP Ariba solution applies the price adjustment to the full quantity of the invoiced item.

Note

Buyers can enter price-adjustment debit and credit memos in cases where the supplier sends a paper-based price adjustment.

3. Upon receiving the price-adjustment debit or credit memo, the SAP Ariba solution creates an invoice reconciliation document for the price adjustment.
4. The SAP Ariba solution checks the status of the original invoice.
 - If the IR for the original invoice has a status of **Paying**, **Paid**, or **Paying Failed**, the price-adjustment debit or credit memo is reconciled. Amount accumulators are updated on the order and contract (and on the goods receipt in sites that use goods receipt-based invoice verification).
Price-adjustment credit memos are automatically approved. Exceptions might be **raised** on a price-adjustment debit memo. Price-adjustment debit memos are automatically approved as long as the change in price doesn't raise a price exception.
 - If the IR for the original invoice does **not** have a status of **Paying**, **Paid**, or **Paying Failed**, an exception is raised on the price-adjustment debit or credit memo to prevent it from being sent to the ERP system before the ERP system receives the invoice. This exception can be cleared in two ways: by approving the original invoice or by rejecting the price-adjustment debit or credit memo.
If the original invoice is in **Reconciling** status, it's re-reconciled based on the change in price. Previously existing price exceptions might be cleared as a result of a price-adjustment credit memo.

Note

For line-item credit memos, individual lines are accumulated even if the **Credit Memo References Unapproved Invoice Reconciliation** exception is raised, because the exception occurs at the header level, not the line level. This makes it possible for lines on the credit memo to clear exceptions on the original IR. For example, suppose an IR has a price variance exception, and a line-item credit memo brings the price down within the tolerance. In this case, the exception on the original invoice is cleared even though the credit memo won't be fully processed until the ERP system receives the invoice.

5. Ariba sends the price-adjustment debit or credit memo to the external ERP system.

Note

If your external ERP system is SAP ERP, this feature works with existing adapters without additional mapping. Price-adjustment debit memos become subsequent debits. Price-adjustment credit memos become subsequent credits. Subsequent debits and credits in SAP are always against purchase orders. Therefore, you can't use price adjustments for non-PO invoices and contract invoices if your external ERP system is SAP ERP.

Prices Used in Reconciling Invoice Documents

The following table describes the prices used in reconciling the invoice documents involved with price adjustments.

Invoice document type	Price used for reconciliation
Original invoice	Price of line item on original invoice + price-adjustment credit This facilitates clearing of price exceptions on the original invoice. For example: Price on the order = \$10 Tolerance = 10% Price on the invoice = \$12, more than tolerance allows, exception raised on invoice Price-adjustment credit = -\$1, exception is cleared because \$11 is within tolerance
Price-adjustment credit	The value in the Price Change field
Price-adjustment debit	Price of line item on original invoice + line-item debit For example: Price on the order = \$10 Price on the invoice = \$10 Price tolerance = 10% Price-adjustment debit = \$2 Price adjustment price = \$12, more than tolerance allows Price exception is raised on price-adjustment debit memo

Disputing Price Variance Exceptions

Disputing price variance exceptions doesn't consider price adjustments. The flow works differently from how some users expect it to. For example, suppose:

- The price on the PO is 10 USD.
- The price on the invoice is 13 USD.
- A line-item credit memo has a price adjustment of -2 USD.

In this scenario, the original IR had a PO price variance (with the setting **Field Path To Validate** set to **PriceIncludingReferencedInvoiceAdjustments**) because the expected price = 10 USD and the invoice price = 11 USD (13 USD minus 2 USD). If a user disputes the exception and chooses **Accept Expected Price**, the price is set to 10 USD. The price-adjustment credit memo isn't considered.

Enablement of Price Adjustment Debits and Credits

Some of the functionality for this feature is controlled by site configuration parameters.

- Self-service parameters can be changed by your administrator in Ariba Administrator under **Intelligent Configuration Manager** > **Manage Configurations**.
- Parameters and other options that are not self-service are set by SAP Ariba and require a case to be submitted.

To enable price adjustment debits and credits, set the following parameter to **Yes**:

Application.Invoicing.EnableLineItemPriceAdjustmentInvoices (enabled for self-service)

Specifies whether the invoicing solution accepts and reconciles price-adjustment line-item credit memos and line-item debit memos from SAP Business Network. In addition, specifies whether buyers can manually enter line-item price-adjustment invoices. When this parameter is enabled, users entering line-item credit memos can choose between a price adjustment and a quantity adjustment.

To support reconciliation of price-adjustment credit memos, the following parameter must be set to **No**:

Application.Invoicing.SkipLineCreditMemoExceptions (set by SAP Ariba Support)

This legacy parameter specifies whether line-level credit memos raise exceptions during invoice reconciliation. Administrators can now configure this functionality themselves in the **Invoice Exception Types** UI. To fully enable customer configuration:

- Set `Application.Invoicing.LineCreditMemoExceptions` to **No**.
- Add all categories to `Application.Invoicing.LineCreditMemoExceptionLineCategories`.
- Configure the desired behavior in the **Invoice Exception Types** UI in Ariba Administrator.

ⓘ Note

When `Application.Invoicing.SkipLineCreditMemoExceptions` is set to **No**, customer administrators can still prevent specific exceptions on line-item credit memos by using the **Apply to Specific Invoice Types** field of the exception type.

To prevent people from accepting a price-adjustment debit or credit when the original invoice has not been approved, add the exception types `CreditMemoReferencesUnapprovedInvoice` and `DebitMemoReferencesUnapprovedInvoice` to the following parameter:

Application.Invoicing.DisallowAcceptOnExceptionTypes (enabled for self-service)

This parameter removes the **Accept Invoice** option from the **Action** menu in the invoice reconciliation user interface for the invoice exception types you specify in a comma-separated list. Enter the exact unique name of the invoice exception types for which to remove the **Accept Invoice** option on the **Action** menu. Example: `P0PriceVariance`.

By removing the option to accept the information provided by suppliers on their invoices for certain invoice exception, you can enforce that you only pay for what was ordered. Note that certain geographies require that invoices are paid in full or rejected if there are possible invoice errors.

Non-PO Invoices for One-Time Vendors

SAP Ariba Buying and Invoicing sites integrated with SAP ERP support one-time vendor invoices.

Buyers sometimes make one-time purchases from suppliers that aren't in their established list of suppliers. For example:

- A department manager might purchase a cake from a local baker or rent bicycles for a team outing.
- A buyer might use a temporary supplier if the usual supplier can't provide the required goods.

With one-time vendor support, when a supplier sends the invoice for such a one-time purchase, Accounts Payable (AP) can enter and process the non-PO invoice without adding a new supplier record to their master data. All the payment information is stored directly on the invoice.

This feature is for non-PO invoices entered by the buyer's AP department and for paper invoices converted via the buyer's invoice conversion service (also known as SAP Ariba Open ICS). The feature is supported on sites integrated with SAP ERP.

For information about configuring your site to support one-time vendor invoices, see [Non-PO Invoices for One-Time Vendors](#) in [Invoicing Data Import and Administration Guide](#).

[Workflows for One-Time Vendor Non-PO Invoices \[page 51\]](#)

[One-Time Vendors in SAP Ariba Solutions \[page 57\]](#)

Workflows for One-Time Vendor Non-PO Invoices

The following diagrams and steps explain the process for one-time vendor, non-PO invoices either entered by the buyer or sent from a buyer's invoice conversion service (SAP Ariba Open ICS).

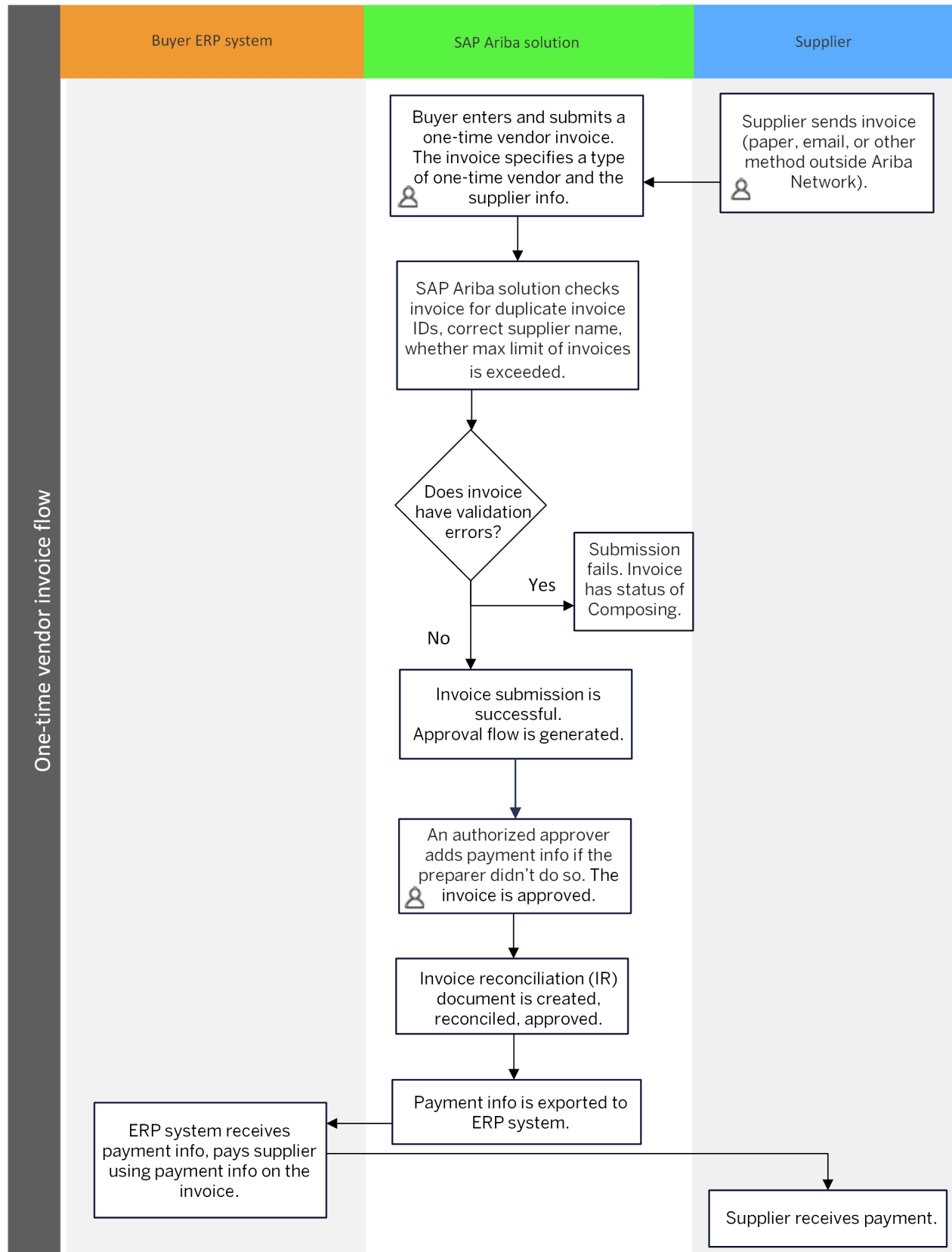


Figure 3: Typical One-Time Vendor Invoice Flow

Workflow for Invoices Entered by the Buyer

1. A member of the **Customer Administrator** group works with SAP Ariba to configure the site to support one-time vendor, non-PO invoices.
This includes configuring the one-time vendor, adding users to a group that allows editing of payment information on an invoice, modifying the invoice approval process, and working with SAP Ariba to determine which fields are used for supplier validation and which fields are mandatory for each payment method.
2. A user creates a non-PO invoice and selects the one-time vendor option, which allows the user to fill in the supplier information.
The user can enter payment information if authorized to do so.
3. The user submits the invoice for approval.
4. The SAP Ariba solution validates the invoice, checking the following:
 - Whether the maximum number of invoices allowed has already been reached for the specified supplier
 - Whether supplier information or payment information on the invoice has been used for previous one-time vendor invoices, and if so, whether the specified supplier name is consistent with the name on previous invoices
 - Whether the supplier invoice number has already been used for the specified supplier
5. When invoice submission is complete, the approval flow is generated.
6. If the user who created the invoice didn't enter payment information, an approver in the appropriate group does so and resubmits the invoice. Then, the SAP Ariba solution validates whether supplier or payment information on the invoice has been used for previous one-time vendor invoices, and if so, whether the specified supplier name is consistent with the name on previous invoices.
7. The invoice is approved.
8. The invoice reconciliation (IR) document is created.
9. The IR document is reconciled and approved.
10. In SAP Ariba Buying and Invoicing, a payment request is created and exported to the ERP system for payment.
Exported payment requests include the supplier and payment information.
11. The ERP system receives the payment information and pays the supplier.
12. The ERP system sends remittance information to SAP Ariba.

Workflow for ICS Invoices

1. A member of the **Customer Administrator** group configures the site to support one-time vendor, non-PO invoices. This includes configuring the one-time vendor, adding users to a group that allows editing of payment information on an invoice, and modifying the invoice approval process.
2. The buyer informs the ICS provider about the one-time vendor invoice process and gives the ICS provider the necessary information (one-time vendor IDs, cXML information).
3. ICS provider receives paper invoice from supplier, creates cXML invoice, and sends it to SAP Business Network.
4. SAP Business Network matches the invoice to the correct one-time vendor and sends the invoice to the SAP Ariba solution.
5. The SAP Ariba solution validates the invoice, checking the following:
 - Whether the maximum number of invoices allowed has already been reached for the specified supplier
 - Whether supplier or payment information on the invoice has been used for previous one-time vendor invoices, and if so, whether the specified supplier name is consistent with the name on previous invoices

- Whether the supplier invoice number has already been used for the specified supplier
- 6. If the invoice has validation errors, the status becomes **Submitted With Errors**, and it's routed to the invoice conversion specialist. The invoice conversion specialist corrects any errors.
- 7. The invoice is approved and continues through the flow in the same way as a paper invoice.

Examples

The examples in this section are based on the following setup.

Supplier configuration:

- One-time vendor name: One-off Expenses
- Unique identifier for suppliers on one-time vendor invoices: supplier VAT ID.
- Maximum number of invoices per supplier: 2. Additional invoices display a warning.

User configuration:

- Three invoice entry users: A, B, and C.
User A can't add payment information to a one-time vendor invoice.
Users B and C can add payment information to a one-time vendor invoice.
- One invoice conversion specialist to resolve ICS invoice errors: C (also an invoice entry user).
- One invoice manager: D.

Approval process configuration:

- An approval rule for one-time vendor invoices adds members of the group **Edit One Time Vendor Invoice Payment Information** if the preparer isn't authorized to enter payment information.
- An approval rule for one-time vendor invoices adds the **Invoice Manager** group for invoices with a total amount of \$500 USD or more.
- An approval rule adds the invoice conversion specialist for ICS invoices with a status of **Submitted With Errors**.

Example: Basic Paper Invoice

One-time vendor type:
One-off Expenses

Supplier invoice ID: 01

Supplier: Bakery Z

VAT ID: DE123456789

Amount: \$300 USD

Approvers: User B, to
add payment info

1. User A creates invoice 01 for supplier Bakery Z with VAT ID DE123456789 without specifying payment information. The invoice amount is \$300 USD.
2. The invoice is routed to user B for payment information and approval.
3. User B opens invoice 01, adds payment information, and approves the invoice.
4. Invoice 01 is fully approved, and the resulting IR document is approved.
5. Payment information is sent to the ERP system, which pays the supplier.

Example: ICS Invoice

One-time vendor type:
One-off Expenses

Supplier invoice ID: 02

Supplier: Bakery W

VAT ID: DE123456789

Amount: \$250 USD

Approvers: User C, invoice
conversion specialist, to
resolve errors

1. ICS provider sends invoice 02 via ICS cXML for supplier Bakery W with the same VAT ID as in invoice 01. The invoice amount is \$250 USD.
2. Because the VAT ID is the same as with invoice 01 but the supplier name is different, the invoice is routed to user C (invoice conversion specialist) to check the supplier name.
3. User C opens the invoice 02 and sees a message that a previously submitted invoice has the same supplier ID information but a different name.
4. User C changes the name to Bakery Z and approves invoice 02.
5. Invoice 01 is fully approved, and the resulting IR document is approved.
6. Payment information is sent to the ERP system, which pays the supplier.

Example: Paper Invoice That Exceeds the Maximum Number of Invoices Allowed

One-time vendor type:
One-off Expenses

Supplier invoice ID: 03

Supplier: Bakery Z

VAT ID: DE123456789

Amount: \$600 USD

Approvers:
User B, to add payment info
User D, to approve amount

1. User A creates invoice 03 for Bakery Z with VAT ID DE123456789. The invoice amount is \$600.
2. User A receives a warning that the maximum number of invoices has been exceeded for the specified VAT ID.
3. User A submits the invoice.
4. Invoice 03 is routed to user B for payment information and approval.
5. User B opens invoice 03, adds payment information, and approves invoice 03.
6. Invoice 03 is routed to user D (invoice manager) for approval due to the large amount.
7. User D approves the invoice.
8. Invoice 03 is fully approved, and the resulting IR document is approved.
9. Payment information is sent to the ERP system, which pays the supplier.

One-Time Vendors in SAP Ariba Solutions

In SAP Ariba solutions, a one-time vendor is a special type of supplier record. It's for a group of suppliers with whom you conduct business only once or rarely.

The typical process for one-time vendor invoices is to have a type of vendor record specifically for one-time vendor invoices (for example, a vendor record called "One-time Expenses," or several vendors for different types of expenses, such as "Catering" and "Charitable Donations"). A one-time vendor record represents an account from which the ERP system pays one-time vendor invoices. When the invoice entry user creates an invoice and checks the one-time vendor option, additional fields let the user choose the type of one-time vendor and enter the actual supplier name and payment information. The supplier and payment information is used for payments and

remittances as well as reporting, and the invoice is registered against the one-time vendor record. The invoice can then be routed for approval if required.

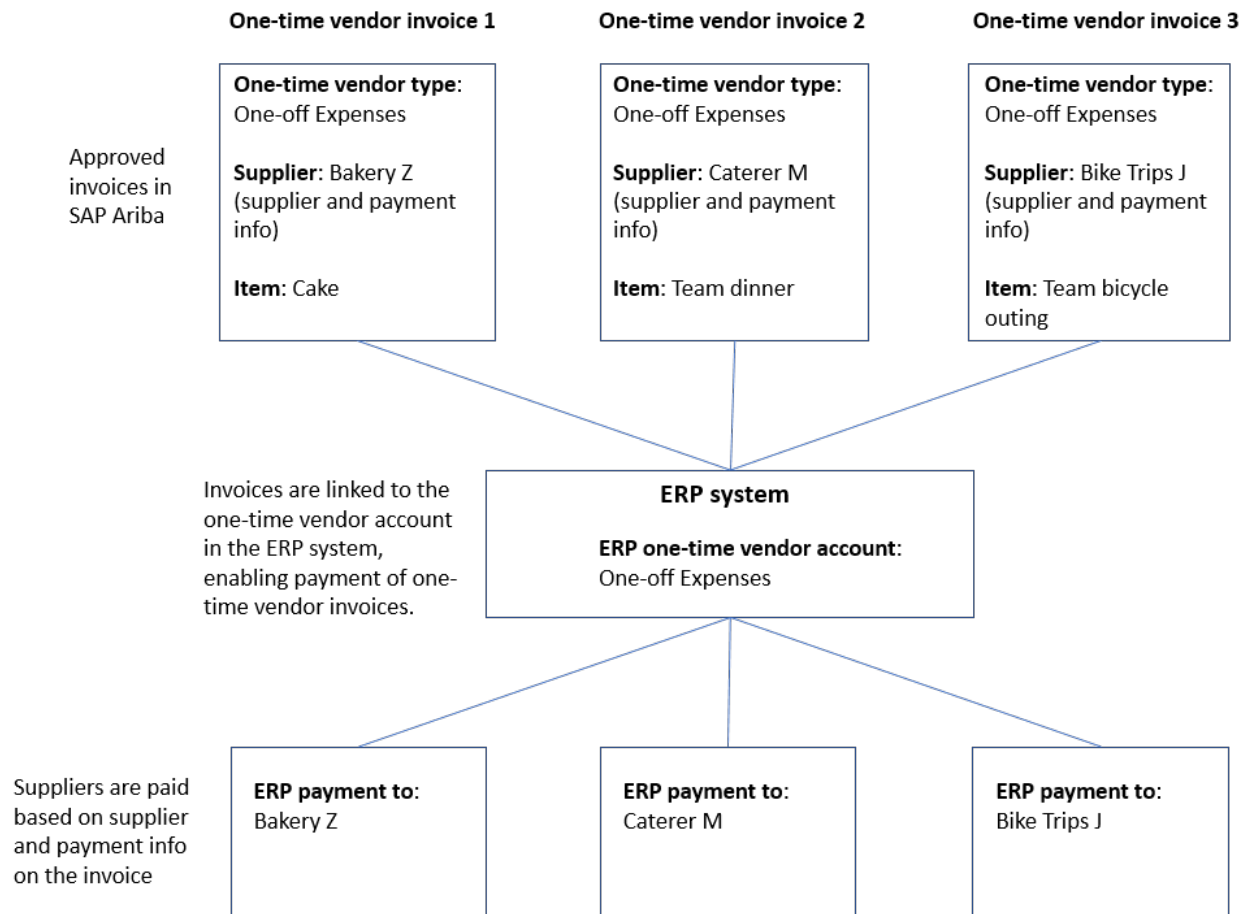
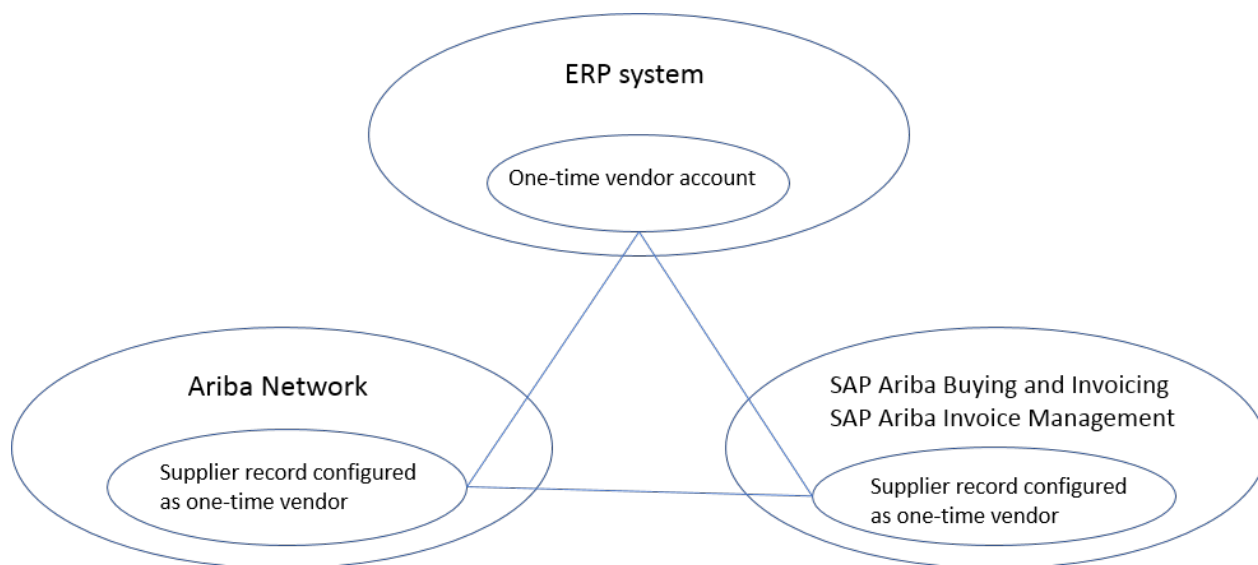


Figure 4: One-Time Vendor Invoices and Payments

In SAP Ariba, one-time vendors don't reference supplier-specific master data such as supplier name and payment information. Instead, users enter the supplier details directly on the invoice.

The one-time vendor record contains an ID that enables invoices to be routed to the appropriate one-time vendor account in your ERP system. One-time vendors are not actual suppliers. The suppliers aren't aware that the buyer is processing their invoices using SAP Ariba. They're just sending invoices and getting paid.

The ERP system, SAP Business Network, and SAP Ariba Buying and Invoicing must all have corresponding one-time vendor information for one-time vendor invoices and payments to flow correctly.



Supplier export from SAP Ariba Buying and Invoicing includes one-time vendor records.

Table 1: Regular Suppliers Versus the Individual Suppliers Listed on One-Time Vendor Invoices

	Regular supplier	Supplier on one-time vendor invoice
A record for the supplier exists in the buyer's ERP system master data and SAP Ariba solution as part of master data	Yes	No
Buyer's SAP Business Network account has a record for the supplier	Yes	No
Buyer has an SAP Business Network trading relationship with the supplier	Yes	No
Suppliers can be notified automatically when invoices are rejected	Yes	No
Payment information (for example, Remit To addresses, bank information) is master data associated with the supplier	Yes	No
Payment information is included in payment exports from the SAP Ariba solution so the ERP system can pay the supplier	Yes Payment information comes from the supplier record.	Yes Payment information comes from the invoice fields.
Invoice information can be included in reports	Yes	Yes

Related Information

[Configuration Overview for One-Time Vendor Invoicing](#)

[Configuring a One-Time Vendor in SAP Ariba Buying and Invoicing](#)
[Configuring SAP Business Network to Support One-Time Vendor ICS Invoices](#)

Invoices from SAP Central Invoice Management

If your SAP Ariba site is integrated with SAP Central Invoice Management, you can receive and process invoices from SAP Central Invoice Management.

📘 Note

For information about how to integrate an SAP Ariba site with SAP Central Invoice Management, see the SAP Central Invoice Management documentation on the SAP Help Portal.

Workflow

1. An invoice is created in SAP Central Invoice Management through an upload or from an email.
2. Invoice goes through the document information extraction process in SAP Central Invoice Management.
3. The invoice is sent to the SAP Ariba solution using an API. (The invoice doesn't go through the tax and account determination process in SAP Central Invoice Management.)

📘 Note

The API used in this scenario is an internal SAP Ariba API called the Invoice Management API.

4. A corresponding invoice is created in the SAP Ariba solution based on the invoice data received. Line items are created as non-catalog items.
If errors occur when the invoice is created, they're listed on the **History** tab with **Invoice API Error** in the **Action** column.
5. Additional data is filled in based on site configuration parameters, defaulting options, and supplier matching.
6. The invoice is submitted and has a status as follows:
 - If there are no validation errors, the invoice has a status of **Submitted**.
 - If the invoice has invalid or missing data based on the requirements of the SAP Ariba site, the status is **Submitted with Errors**.
7. The invoice, when opened, shows a message informing the user that the invoice was generated automatically and suggesting a verification of the information.
The **Invoice Submission Method** field contains either **Uploaded** or **Email**.
8. The invoice goes through the approval flow. Authorized users compare the invoice with the information in the attached image or invoice file, updating the invoice as needed.

Tax Calculation

Keep the following in mind regarding invoices from SAP Central Invoice Management:

- Invoices from SAP Central Invoice Management don't include a field for the taxable amount in the information sent by the API. In the SAP Ariba solution, the tax amount is calculated in based on line item amount.

This differs from the way taxes are calculated in SAP Central Invoice Management, where the tax amount is calculated based on the tax percentage of the taxable amount.

- On invoices from SAP Central Invoice Management header-level taxes aren't reflected at the line level as they are with regular SAP Ariba invoices.

Approval Process

We recommend that you update your invoice approval process to add an approver for invoices from SAP Central Invoice Management. The approver can compare the electronic invoice with the invoice attachment and ensure that the tax type and other fields are correct. For information, see [Creating an Approval Rule for Invoices from SAP Central Invoice Management \[page 63\]](#).

Configuration Options

We recommend setting the following parameters:

- Specify a user in the parameter **Default requester for invoices from invoice API** (`Application.Invoicing.InvoiceAPI.DefaultRequesterUniqueName`). Requester information isn't extracted in the document information extraction process in SAP Central Invoice Management. Configuring a default requester can help with auto-filling accounting information on the invoice.
- Set a default commodity code for noncatalog line items using the parameter **Commodity code for noncatalog invoice line items** (`Application.Invoicing.InvoiceCreationDefaultLineItemCommodityCode`).
- Set the parameter `Application.Approvable.MaxAttachmentSize` to at least 20 MB. Invoices sent from SAP Central Invoice Management to SAP Ariba have a maximum size of 20 MB. This parameter is controlled by SAP Ariba. Setting it requires submitting case (service request) to SAP Ariba Support.
- Make sure `Application.Invoicing.ViewableInvoiceAttachmentExtensions` includes all the formats supported in SAP Central Invoice Management: PDF, PNG, JPEG, and TIFF. This parameter is controlled by SAP Ariba. Setting it requires submitting a case (service request) to SAP Ariba Support.
- If your site uses the advanced currency precision and rounding feature, consider aligning your site with the precision and rounding used in SAP Central Invoice Management. Currency precision and rounding are controlled by the Enable advanced currency precision and rounding (`Application.Base.AdvancedCurrencyPrecisionHandling`).

The following parameter doesn't apply to invoices from SAP Central Invoice Management:
`Application.Invoicing.EnableTaxesOnShippingAndHandlingItems` (set by SAP Ariba Support).

Restrictions

- PO-based invoices aren't supported. PO-based invoices from SAP Central Invoice Management are treated as non-PO invoices in the SAP Ariba solution.

- Credit memos aren't supported. Credit memos from SAP Central Invoice Management are treated as regular invoices (with negative amounts) in the SAP Ariba solution.

📌 Note

In SAP Central Invoice Management, credit memos uploaded with a negative amount show a positive amount when viewed in the **Manage Supplier Invoices Centrally** app. When you view the corresponding invoices in the SAP Ariba solution, they have negative amounts. The discrepancy between positive and negative amounts is noted on the **History** tab.

Related Information

[Advanced Currency Precision and Rounding](#)

[Creating an Approval Rule for Invoices from SAP Central Invoice Management \[page 63\]](#)

[Default Requester for Invoices from Invoice API \[page 116\]](#)

[Commodity code for non-catalog invoice line items \[page 114\]](#)

Creating an Approval Rule for Invoices from SAP Central Invoice Management

You can add an approver for invoices loaded from another system into your SAP Ariba solution by an internal invoice management API, for example, invoices from SAP Central Invoice Management. Approvers can compare the newly created electronic invoice with the invoice image and ensure that the tax type and other fields are correct.

Prerequisites

Members of the **Customer Administrator** or **Invoicing Administrator** group can manage approval processes for invoicing.

This procedure assumes you're familiar with managing approval processes.

Context

With invoices from other systems, it's especially important for the approver to check and update the tax type. Tax types differ from one system to another. Also, some information can change due to the defaulting configured in the SAP Ariba site.

Note

The API used in this scenario is an internal SAP Ariba API called the Invoice Management API.

Procedure

1. Choose ► **Manage** ► **Approval Processes** ►.
2. Find and open the approval process you want to edit, and choose **Edit** in the approval process editor.
3. In the **Approval Process Diagram** section, add an approval rule, filling in a rule title and description.
4. In the **Condition** section, add a **Field Match** condition.
5. Choose ► **Select** ► **Select Field** ►.

The **Select Field** popup opens.

6. Scroll to find one of the following fields, and click **Select** for the field you want to use:

Option	Description
LoadedFrom	To define an approver to handle all invoices from SAP Central Invoice Management.
InvoiceSubmissionMethod	To define separate approvers based on how the invoice was created in SAP Central Invoice Management, that is, whether the invoice came from an email or from an upload.

7. From the second **Select** button, choose **Select Value**.
8. In the **Value** field, enter one of the following.
 - If your condition is based on the LoadedFrom field, enter **11**.
The value 11 represents invoices that were uploaded by the API.

The diagram shows a box labeled "All Are True" connected by a line to a larger box. Inside the larger box, the text "Invoice.LoadedFrom" is followed by a dropdown menu showing "is equal to" with a downward arrow, and then the value "11".

- If your condition is based on the InvoiceSubmissionMethod field, enter **Upload** or **Email**.
Enter **Upload** for invoices uploaded into SAP Central Invoice Management:

The diagram shows a box labeled "All Are True" connected by a line to a larger box. Inside the larger box, the text "Invoice.InvoiceSubmissionMethod" is followed by a dropdown menu showing "is equal to" with a downward arrow, and then the value "Uploaded".

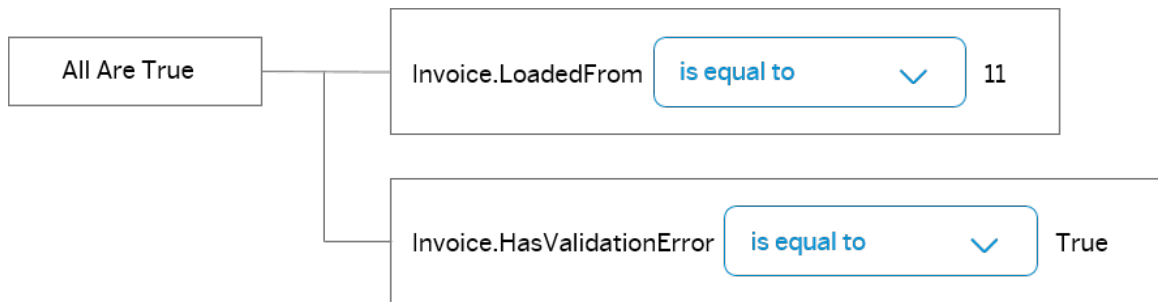
Or enter **Email** for invoices created in SAP Central Invoice Management from an emailed invoice:

The diagram shows a box labeled "All Are True" connected by a line to a larger box. Inside the larger box, the text "Invoice.InvoiceSubmissionMethod" is followed by a dropdown menu showing "is equal to" with a downward arrow, and then the value "Email".

9. (Optional) To apply the rule only to invoices with validation errors, in the **Condition** section, add another **Field Match** condition.
 - a. Select the HasValidationError field.
 - b. From the second **Select** button, choose **Select Value**.

c. In the **Value** window, select **True**.

The following example shows a condition to capture invoices that were loaded using the API and have at least one validation error.



10. Add an action for the approval rule.

Invoice Reconciliation Processes

Here's a list of topics that provide overviews of various processes related to invoice reconciliation.

[Automatic Reconciliation \[page 66\]](#)

[Re-Reconciliation \[page 68\]](#)

[Auto-Reconciliation of Invoices When Full Credit Is Received \[page 69\]](#)

[Two-Way Invoice Matching in SAP Ariba Invoice Management \[page 69\]](#)

[Tax and Charge Exception Calculations \[page 70\]](#)

[Supplier Bank Details Processing \[page 72\]](#)

[Goods Receipt-Based Invoice Verification \[page 74\]](#)

Automatic Reconciliation

Automatic reconciliation determines whether an invoice is automatically accepted, automatically rejected, or routed to exception handlers and approvers for further processing.

Your SAP Ariba invoicing solution automatically reconciles invoices as the first part of the reconciliation process. Automatic reconciliation consists of the following steps:

Step 1: Match

The matching process links each invoice reconciliation document (IR) to one or more orders or contracts and links each item on the IR to one or more line items on those orders or contracts.

Step 2: Determine Whether to Validate or Skip

The automatic reconciliation process determines whether the validation of the IR can be skipped. Validation is skipped if the total amount of the invoice is below a specified threshold amount. In the default configuration, the skip amount is set to 5, which represents an amount in the default currency for your site.

Note

The skip amount does not apply to credit memos. Your site might also be configured to skip exceptions in line-level credit memos entirely.

Step 3: Validate

Invoices that are not skipped during Step 2 are validated. During validation, invoice line item and amount values are compared to the corresponding line item and amount values on the associated purchase order or contract (or the receipt, in the case of goods receipt-based invoice verification), and discrepancies trigger invoice exceptions. The approval rules for IRs configured in your site are executed to draw an approval graph and route the IR to the appropriate exception handlers and approvers.

Step 4: Determine Whether to Auto-Accept

Invoices are automatically accepted if the header amount is less than a specified threshold amount **or** less than a specified percentage of the original order. Auto-accepted invoices are automatically reconciled, and your site's auto-acceptance configuration is based on your organization's business processes and policies for allocating resources to manually reconcile invoices that meet certain criteria for importance. In the default configuration, the auto-accept amount is set to 10, which represents an amount in the default currency for your site, and the auto-accept percentage is set to 15.

For example, suppose you have a \$100 purchase order that has not yet been invoiced, and an IR for \$11, which represents slightly more than 9% of the order amount. Since the auto-accept percentage is 15%, the invoice is automatically reconciled.

Note

Credit memos are never considered for auto-acceptance.

Step 5: Determine Whether to Auto-Reject

Invoices are automatically rejected if an invoice exception is triggered which is defined for automatic rejection. For example, in the default configuration, the **Invalid Invoice Date** exception causes an invoice to be auto-rejected. An **Invalid Invoice Date** exception is triggered if the invoice date is earlier than the associated purchase order date.

Auto-rejected invoices are sent back to the supplier with the status **Rejected**. Suppliers on SAP Business Network can resubmit rejected invoices there after correcting errors. Depending on your site's configuration, resubmitted invoices might use the same invoice number or a new unique invoice number. Resubmitted invoices re-enter the invoicing process at the beginning.

Note

Credit memos are never considered for auto-rejection.

If your site supports invoice rejection reason codes, for auto-rejected invoices, the rejection reason code is set to **AutoRejection**.

Step 6: Notify Exception Handlers/Approvers

If the invoice is not auto-rejected, the IR enters the approval process configured for your site. IRs show a status of **Reconciling** until they are fully reconciled. Your site's approval rules determine whether or not the IR requires manual approval, even if no exceptions are raised. They also determine which exception handlers are assigned to manually resolve different types of exceptions.

Related Information

[Re-Reconciliation \[page 68\]](#)

[SAP Ariba-Controlled Parameters for Reconciling Invoices \[page 119\]](#)

Re-Reconciliation

Re-reconciliation updates an invoice reconciliation (IR) document whenever you receive against an outstanding order or contract.

Unless your site is configured to prohibit re-reconciliation (determined by site configuration parameters that SAP Ariba sets), IR documents are automatically re-reconciled whenever you receive against an outstanding order or contract. An order or contract might have hundreds of unreconciled IRs; re-reconciliation allows to automatically update those IRs to clear exceptions as new data comes in so that invoice handlers only have to resolve exceptions that are valid at the time of reconciliation.

Updates to reconciled accumulators don't trigger re-reconciliation of IRs.

Updates to invoice exception types don't trigger automatic re-reconciliation, either. Members of the **Invoice Administrator** and **Customer Administrator** groups can manually re-reconcile an invoice against the latest invoice exception types using the **Update Exceptions** button.

The following example demonstrates the re-reconciliation process:

1. An order contains one line item with a quantity of 100.
2. The supplier creates an invoice (INV-1) against the order with a quantity of 20. No receipts have been submitted yet.
3. The supplier creates a second invoice (INV-2) with a quantity of 30.
At this point, both IR documents have the following **PO Received Quantity Variance** exceptions:
 - INV-1 shows **PO Received Quantity Variance - The invoice item's quantity, 20, is greater than the order item's received quantity, 0.**
 - INV-2 shows **PO Received Quantity Variance - The invoice item's quantity, 30, is greater than the order item's received quantity, 0.**
4. 21 items are received against the order, which causes re-reconciliation of the two IR documents associated with the order.

Now, both IRs have the following updated **PO Received Quantity Variance** exceptions:

- INV-1 shows the **PO Received Quantity Variance** exception as cleared.

- INV-2 shows **PO Received Quantity Variance** - The invoice item's quantity, 30, is greater than the order item's received quantity, 21.

If your site does not allow re-reconciliation, the original exceptions in Step 3 of the example continue to show on the IRs even as more items are received against the order.

Related Information

[Automatic Reconciliation \[page 66\]](#)

[Auto-Reconciliation of Invoices When Full Credit Is Received \[page 69\]](#)

Auto-Reconciliation of Invoices When Full Credit Is Received

If you receive a line-item credit memo for the full quantity of an invoice, any exceptions on the IR document are accepted automatically.

This is because line-item credit memos for the full invoiced quantity serve the purpose of reversing the invoice. Automatically accepting the exceptions on the IR document prevents users from having to resolve them manually.

Only a **single** line-item credit memo fully reverses invoice. If two line-item credit memos are received for the same invoice, and the second line-item credit memo has a credited quantity that is the full quantity of the invoice, any exceptions on the invoice must be resolved manually.

Note

If the **Ignore Auto Accept** option is enabled for an invoice exception type, exceptions of that type are **not** accepted automatically, even if a line-item credit memo for the invoiced quantity is received.

Two-Way Invoice Matching in SAP Ariba Invoice Management

Two-way matching between invoices and purchase orders allows you to reconcile invoices for items that do not require a receipt.

The default matching in invoice reconciliation is between invoice, purchase order, and receipt. However, many ERPs allow a two-way match between invoices and associated orders for line items that do not require a receipt. These ERP systems typically include an indicator on purchase order lines that specifies whether or not receiving is required for those lines (in SAP ERP, the indicator is the **GR Based IV** check box).

If you want to use two-way matching, your site must be configured to map the **ReceivingType** extrinsic in the cXML **OrderRequest** document to the **Purchase Order** page in your site. If a line item's **ReceivingType** is set to

4, it does not require a receipt and the invoice can be reconciled with two-way matching to the order only. If a line item's **ReceivingType** is set to any value other than 4, including a blank, it requires a receipt and reconciliation requires three-way matching between invoice, purchase order, and receipt.

On the **Order Details** page for purchase order lines with **ReceivingType** set to 4, the **Receipt Required** field is set to **No**.

Note

Some ERP systems indicate whether or not a receipt is required at the header level rather than the line level. If this is the case for your integrated ERP system, the custom mapping of **ReceivingType** to the **Purchase Order** page in your site must include a way to set the receipt required indicator at the line level in keeping with your company's business practices and needs.

Tax and Charge Exception Calculations

Invoice tax exceptions are generated in the invoice reconciliation document in the following cases:

- Tax amounts specified on the purchase order and invoice do not match.
- The tax amounts on the invoice do not match the tax amounts calculated using the tax tables and tax code lookup.
- The tax amount on the invoice is a buyer-payable tax. This case applies only to sites using **Enhanced third-party tax calculation for invoicing** (`Application.Procure.EnableTaxCalculationInExternalSystems`).

Tax Exceptions for Indirect Taxes

Two invoice exception types are used to capture variances in the tax amounts of purchase orders and invoices. The **PO Tax Amount Variance** invoice exception type captures the variances in the header-level tax amounts, while the **PO Line Tax Amount Variance** invoice exception type captures the variances in the line-level tax amounts. You can only accept the invoice tax amounts to resolve these exceptions. These invoice exception types are available only in SAP Ariba Buying and Invoicing.

The **Under Tax Variance** and **Over Tax Variance** invoice exception types capture variances in the tax amounts specified on invoices and those calculated using the tax tables. These invoice exception types validate the amounts against tolerances defined in your configuration.

The **Tax Calculation Failed** invoice exception type flags cases where the system cannot calculate the applicable taxes based on the tax code lookup and tax tables. This invoice exception type validates the amounts against tolerances defined in your configuration. Exceptions use a percentage tolerance. Absolute tolerances are not appropriate for this exception type.

Tax Exceptions for Withholding Taxes

Tax exceptions for withholding taxes are generated only when the withholding tax amount on the invoice does not match the calculated withholding tax amount.

The **Withholding Tax - Under Tax Variance** and **Withholding Tax - Over Tax Variance** invoice exception types capture variances in the withholding tax amounts specified in invoices and those calculated using the tax tables. The **Withholding Tax Calculation Failed** invoice exception type flags cases where the system cannot calculate the withholding tax based on the tax code lookup and tax tables. To resolve the **Withholding Tax Calculation Failed** exception, you need to update your tax code lookup and recalculate taxes on the invoice reconciliation document. If the tax code lookup has the correct tax data, it means that a withholding tax is not applicable on the invoice. In such cases, you can reject the invoice reconciliation. These invoice exception types are available in SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management.

As withholding taxes are entered as negative numbers on invoices, the system considers their absolute amounts when calculating tax variance exceptions. For example, if the withholding tax amount specified on an invoice is -20 and the expected tax amount is -30, the **Withholding Tax - Under Tax Variance** exception is generated.

Withholding taxes are calculated at either the header level or the line-item level as explained in the table below.

Invoice has withholding taxes at...	Withholding taxes are auto-generated in invoice reconciliation at...
Header level	Header level
Line-item level	Line-item level
Neither	Header or line-item level based on a site configuration parameter

Buyer-Payable Tax Exceptions

The **Buyer Payable Tax** exception applies only to sites using **Enhanced third-party tax calculation for invoicing** (`Application.Procure.EnhancedTaxCalculationInExternalSystems`). The exception means that the third-party tax calculation engine marked the tax as a buyer-payable tax.

Buyer-payable taxes are tax lines the buyer pays directly to tax authorities rather than paying the supplier. The amount owed to the supplier is 0. The calculated buyer-payable tax is accrued.

For more information, see the [Tax and Charge Configuration](#) topics.

Charge Exceptions

Charge exceptions are generated in invoice reconciliation documents when the charge amounts specified on purchase orders and invoices do not match.

Two invoice exception types are used to capture variances in the charge amounts of purchase orders and invoices. The **PO Charge Amount Variance** invoice exception type captures the variances in the header-level charge

amounts, while the **PO Line Charge Amount Variance** invoice exception type captures the variances in the line-level charge amounts. You can only accept the invoice charge amounts to resolve these exceptions. These invoice exception types are available only in SAP Ariba Buying and Invoicing.

Related Information

[Taxes on Invoices \[page 37\]](#)

[Charges and Discounts on Invoices \[page 39\]](#)

Supplier Bank Details Processing

Suppliers can send updated bank details in cXML invoices over the SAP Business Network to your SAP Ariba invoicing solution. Your site can be configured to receive these details and process them during invoice reconciliation. The details can also be included in approved and reconciled invoices transmitted to SAP Business Network.

To configure this functionality for your site, have your Designated Support Contact (DSC) log a Service Request (SR). SAP Ariba Support will follow up to complete the request by setting the parameter `Application.Invoicing.SupportSupplierBankInfoOnInvoices`.

The following bank details can be processed in your SAP Ariba solution:

- Bank ID Type
- Bank ID
- Bank Account ID
- Bank Account Type
- IBAN
- Branch Name
- Account Name

By default, the same bank details that are received in the incoming cXML invoices are included in the outgoing reconciled invoices. However, if a user edits the remittance location during the invoice reconciliation process, then the bank details associated with the selected remittance location (if available in the SAP Ariba solution) take precedence and are updated in the outgoing invoices. If bank details associated with the selected remittance location are not available, then no bank details are included in the outgoing reconciled invoices.

This feature helps the SAP Ariba solution find the correct remittance location. Following are more details about the processing of bank details if `Application.Invoicing.SupportSupplierBankInfoOnInvoices` is set to Yes:

- If the supplier SAP Business Network account has one payment method configured in their remittance information, the corresponding invoice created in the SAP Ariba solution uses the payment method and receiving bank information from the cXML invoice.
- If there's no remittance information configured in the supplier's SAP Business Network account, the SAP Ariba solution uses default values for the payment method and receiving bank on the invoice. To get the default values, the SAP Ariba solution finds the first remittance location of the supplier location, and then finds the

payment method with the smallest rank of all payment methods defined for that remittance location. This capability only works if the payment method is ACH or Wire.

- The SAP Ariba solution uses the following additional fields to look up right Remit To address: ABA Routing number, Swift ID, iBanID, Account ID.
- For IR documents, if there's no matching remittance location in the SAP Ariba solution, the remittance location on the invoice is used.
See also the self-service parameter `Application.Invoicing.RemittanceLocationUsingRemitToId`, **Remit To on invoice reconciliations is from invoice**.
- If an invoice from SAP Business Network doesn't have a remittance location, it's not rejected in the SAP Ariba solution.

Data import and export tasks that import invoicing and payment data include the following fields that specify bank details:

- iBanID
- BranchName
- AccountName

The following table lists the data import tasks and the associated CSV files that contain these fields:

Data Import/Export Task	CSV File(s)
Import Supplier Bank Payment Locations	SupplierPaymentBankLocation.csv
Export Supplier Bank Payment Locations	
Import Remittance Location Data (Consolidated File)	RemittanceLocationConsolidated.csv
Export Remittance Location Data (Consolidated File)	
Import Buyer Bank Payment Locations	BuyerPaymentBankLocation.csv
Export Buyer Bank Payment Locations	
Import Remittances	Remittance.csv
 Note Export of the bank details fields is currently supported only when using File channel. You cannot export these fields using Web services.	RemittanceDetails.csv

Related Information

[Remit To on invoice reconciliations is from invoice \[page 129\]](#)

[Supplier Location Matching on Invoices](#)

Goods Receipt-Based Invoice Verification

SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management support invoice verification based on goods receipts.

This feature is for businesses that require invoices for certain goods to be based on the price and quantity at the time of shipping the goods rather than when the purchase order was placed. Goods receipt-based invoice verification supports a delivery-based invoicing process, where suppliers create invoices based on ship notices, and invoice quantities and prices are reconciled against receipts. Buyers can create multiple receipts for one ship notice, so each invoice line can reference multiple receipts.

Optionally, you can enable users to edit the matched quantities when manually matching receipts to invoice lines. By default, the system determines matched quantities, and they're not editable.

There are two ways receipts are matched to invoice lines:

- Using ship notice IDs. Goods receipt-based invoice verification uses the ship notice ID on the invoice and the receipts as the common key to match receipts to invoice lines. This ID can be a ship notice, delivery note, or other unique identifier of the shipment. Suppliers can create one ship notice for multiple shipments using different shipping options, and you might create multiple receipts, so each invoice line can reference multiple receipts.
- In the absence of ship notice IDs, match invoices to receipts based on the purchase order they reference.

[Workflow for Goods Receipt-Based Invoice Verification in SAP Ariba Buying and Invoicing \[page 75\]](#)

[Workflow for Goods Receipt-Based Invoice Verification in SAP Ariba Invoice Management \[page 79\]](#)

[Workflows for Goods Receipt-Based Invoice Verification Without Ship Notice IDs \[page 82\]](#)

Related Information

[Configuring goods receipt-based invoice verification](#)

Workflow for Goods Receipt-Based Invoice Verification in SAP Ariba Buying and Invoicing

The diagram shows a high-level workflow of the goods receipt-based invoice verification process. More detailed steps follow.

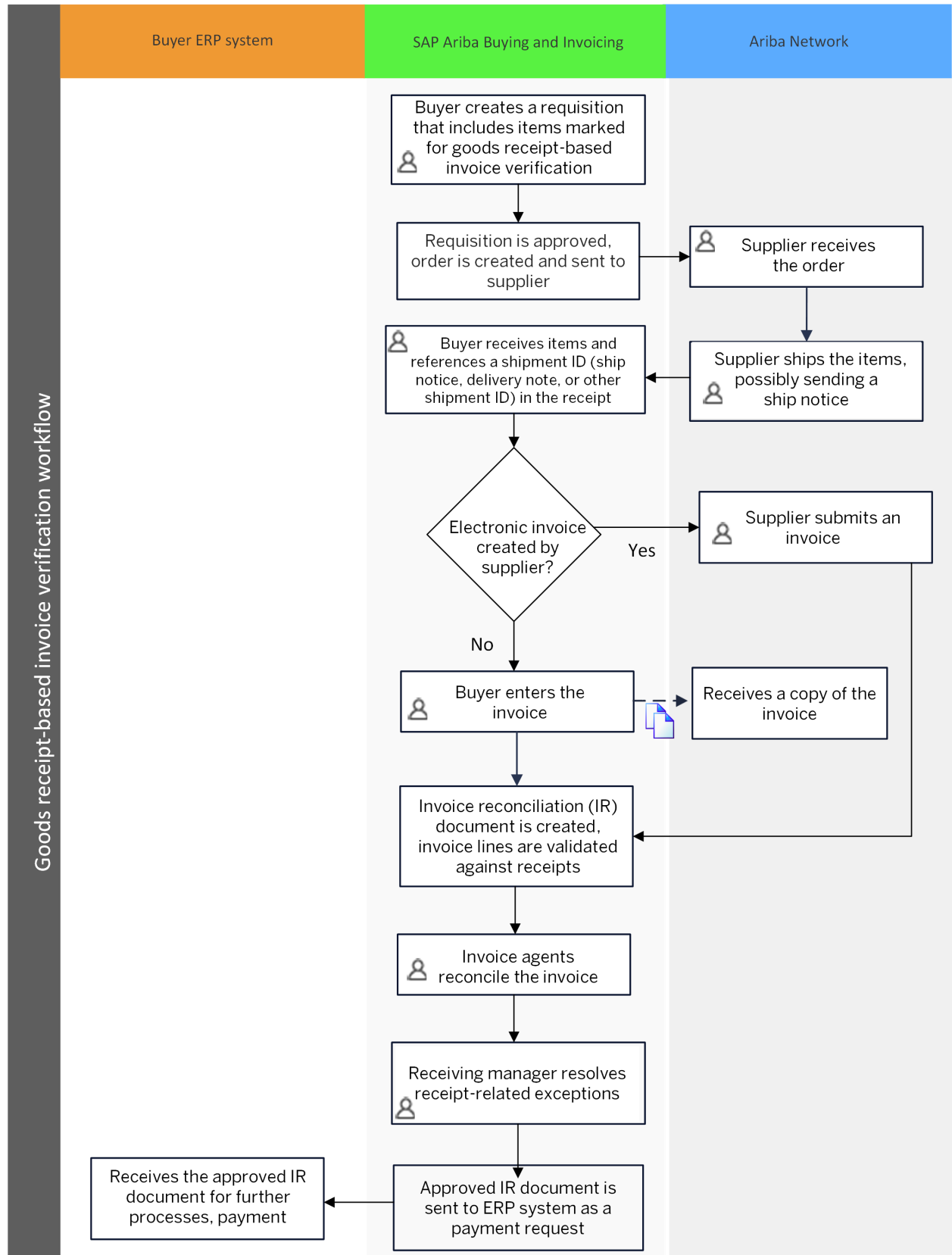


Figure 5: High-Level Workflow of Goods Receipt-Based Invoice Verification in SAP Ariba Buying and Invoicing

1. A customer administrator configures some suppliers for goods receipt-based invoicing. This setting is for supplier locations.
2. The buyer creates a requisition in SAP Ariba Buying and Invoicing.
Each requisition line item includes the field **Goods Receipt-based Invoice Verification**. The value of this field (**Yes** or **No**) is copied from the supplier location. Users can't edit this field.
3. The buyer submits the requisition, which goes through the approval process. When the requisition is approved, an order is generated and sent to SAP Business Network.
Purchase orders exported to external ERP systems include a field to indicate whether the supplier is configured for goods receipt-based invoice verification.
4. SAP Business Network receives the order and sends it to the supplier.
5. On SAP Business Network, the supplier optionally confirms the purchase order.
6. The supplier ships the ordered items. The supplier might also send a ship notice with reference to the order.
7. A receiving agent receives the items in SAP Ariba Buying and Invoicing, specifying an ID for the shipment in the **Ship Notice** field of the receipt header. The ID can be a ship notice ID, delivery note, or other shipment identifier.
8. For each receipt item marked for goods receipt-based invoice verification, the value in the **Ship Notice** field is copied to the receipt line.
9. The supplier invoices the buyer in one of the following ways:
 - By creating an invoice manually in their SAP Business Network account. SAP Business Network validates the invoice based on configured business rules. After the invoice passes validation, it's sent to SAP Ariba Buying and Invoicing.
 - By creating an invoice in their invoicing back-end system and sending it to the buyer through SAP Business Network as a cXML or EDI invoice. SAP Business Network validates the invoice based on configured business rules. After the invoice passes validation, it's sent to SAP Ariba Buying and Invoicing.
 - By sending a paper invoice to the buyer, who then enters the invoice as an electronic copy into SAP Ariba Buying and Invoicing. A **Receipts** chooser on the invoice lets buyers choose the receipts the invoice applies to.
10. When an electronic invoice arrives from the supplier, SAP Ariba Buying and Invoicing checks whether at least one associated receipt exists.
If an associated receipt exists, SAP Ariba Buying and Invoicing creates an invoice reconciliation (IR) document. (This step might be delayed if your site is configured with a delay period using the parameter **Application.Invoicing.DaysToDelayIRCreation**.)
If no associated receipts exist, and if a reconciliation delay period is configured, the invoice status is set to **Awaiting Receipts** until one of the following has occurred:
 - A receipt is created in SAP Ariba Buying and Invoicing.
 - The invoice reconciliation delay period has expired.
 - An invoice administrator has manually started the reconciliation process for the invoice.
11. SAP Ariba Buying and Invoicing creates an IR document and verifies the following for any invoice line where the associated order line indicates that goods receipt-based verification is required:
 - The quantity of items on the invoice and the receipts match within the defined tolerance limits.
 - The unit price of items on the invoice and the receipts match within the defined tolerance limits.
 - The amount for items on the invoice and the receipts match within the defined tolerance limits.
12. Invoice agents reconcile exceptions in SAP Ariba Buying and Invoicing. Receiving managers can reconcile exceptions related to missing receipt references, receipt quantity variances, and missing shipment references.
If no matching receipts are found based on the **Ship Notice** field, the invoice line items can be manually matched to available receipts for the order. One reason that SAP Ariba Buying and Invoicing might not find

associated receipts is because of user error, where an incorrect shipment identifier was entered on the receipts or the invoice.

13. When the IR document is approved, SAP Ariba Buying and Invoicing sends a payment request, including associated receipt references, to the external ERP system for payment.

Returns and Line-Item Credit Memos

Returns are processed as negative receipts that are linked to an existing receipt. When SAP Ariba Buying and Invoicing receives a return, it recalculates the **Available Qty** for the original receipt. For example, if receipt R1 has a quantity of 10 boxes, and the receiving agent rejected 2 boxes, the available quantity for R1 now is 8.

Line-item credit memos include a reference to the original invoice, which means any receipts attached to the original invoice are used when matching the credit memo. Line-item credit memos affect goods receipts as follows:

- The invoiced quantity, or allocated quantity, decrements based on a negative quantity in the line-item credit memo.
- The available quantity increments.

Overallocation and Underallocation of Receipts to Invoice Lines

SAP Ariba Invoice Management handles overallocation and underallocation of available receipts to invoice lines as follows:

- If the exception handler selects more receipts than required based on the invoiced quantity, SAP Ariba Buying and Invoicing drops any overallocated receipts. If the last receipt in the list leads to a greater total received quantity than the invoiced quantity, SAP Ariba Buying and Invoicing matches only the required quantity. The remaining (not matched) quantity is available for allocation to other invoices.
- If the exception handler selects fewer receipts than required to match the invoice quantity, SAP Ariba Buying and Invoicing accepts the underallocation after confirmation by the user and generates a **Receipt Quantity Variance** exception. Subsequent exception handlers can then either add additional matching receipts, or resolve the exception by accepting the invoiced quantity.

Related Information

[Workflows for Goods Receipt-Based Invoice Verification Without Ship Notice IDs \[page 82\]](#)

Workflow for Goods Receipt-Based Invoice Verification in SAP Ariba Invoice Management

The diagram shows a high-level workflow of the basic goods receipt-based invoice verification process. More detailed steps follow.

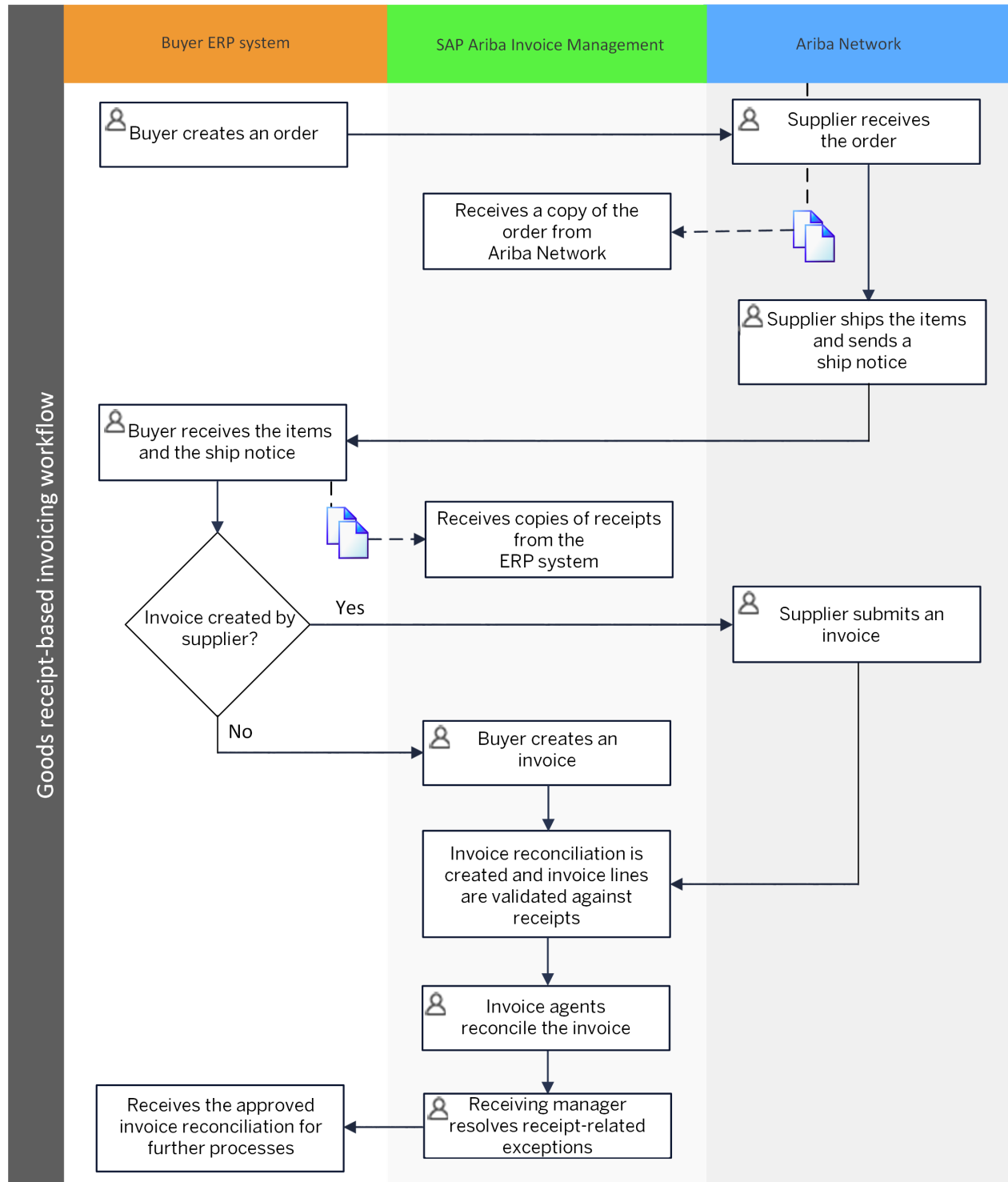


Figure 6: High-Level Workflow of Goods Receipt-Based Invoice Verification

1. The buyer sends an approved purchase order for one or more items from an integrated ERP system to SAP Business Network.
2. SAP Business Network receives the order, sends it to the supplier, and sends a copy of the order to SAP Ariba Invoice Management.
3. On SAP Business Network, the supplier optionally confirms the purchase order.
4. The supplier ships the ordered items and sends a ship notice with reference to the order.
5. The buyer receives the items in the ERP system, and the ERP system sends a copy of the receipt to SAP Ariba Invoice Management. The copy of the receipt must include the ship notice number, which might be manually entered by the receiving agents.
6. The supplier invoices the buyer by using one of the following options:
 - By creating an invoice manually in their SAP Business Network account. In this case, the business rules ensure that suppliers can only invoice for shipped quantities when creating the invoice from the purchase order. The rules also ensure that the invoice includes the ship notice reference. After the invoice passes the SAP Business Network validation, it's sent to SAP Ariba Invoice Management.
 - By creating an invoice in their invoicing backend system and sending it to the buyer via SAP Business Network as a cXML or EDI invoice. SAP Business Network validates the invoice based on the business rules. For example, if the supplier referenced an incorrect ship notice on the invoice or if the ship notice ID is missing, SAP Business Network rejects the invoice.
 - By sending a paper invoice to the buyer, who then enters the invoice as an electronic copy into SAP Ariba Invoice Management. After the invoice is approved, an invoice copy is sent to the suppliers to allow them to track the invoice and payment approval process.
7. SAP Ariba Invoice Management checks if at least one associated receipt exists for the invoice.
 If an associated receipt exists, SAP Ariba Invoice Management creates an invoice reconciliation document (unless your site is configured with a delay period using the parameter **Days to delay creating an IR document**(`Application.Invoicing.DaysToDelayIRCreation`)).
 If no associated receipts exist, and if a reconciliation delay period is configured, the invoice is set to the status **Awaiting Receipts** until one of the following has occurred:
 - SAP Ariba Invoice Management has received one or more applicable receipts from the ERP system.
 - The invoice reconciliation delay period has expired.
 - An invoice administrator has manually started the reconciliation process for the invoice.

Note

As with all status changes, the change from **Submitted** to **Awaiting Receipts** might take some time, depending on how many documents your site is processing.

8. SAP Ariba Invoice Management creates an invoice reconciliation document and verifies the following for any invoice line where the associated order line indicates that goods receipt-based verification is required:
 - The quantity of items on the invoice and the receipts match within the defined tolerance limits.
 - The unit price of items on the invoice and the receipts match within the defined tolerance limits.
9. Invoice agents reconcile exceptions in SAP Ariba Invoice Management. If matching receipts based on the ship notice ID can't be found, invoice agents can manually match the line item on the invoice to available receipts for the order. One reason that SAP Ariba Invoice Management might not find associated receipts is because of user error, where the incorrect ship notice ID was entered on the receipts or the invoice.
10. SAP Ariba Invoice Management includes a member of the **Receiving Manager** group to reconcile exceptions related to missing receipt references, receipt quantity variances, and missing ship notice references.
11. SAP Ariba Invoice Management sends the invoice reconciliation to the external ERP system. In the ERP system, the invoice reconciliation lines are split based on matching receipt lines (multiple `InvoiceDetailOrder` segments for each line item on the invoice reconciliation).

Line-level ship notice information isn't included for items marked for goods receipt-based invoice verification.

12. If no external approval of the invoice reconciliation is required, the invoice is approved for payment in SAP Ariba Invoice Management, an invoice status update is sent to the supplier on SAP Business Network, and SAP Business Network sends the approved invoice to the ERP system.

If external approval of the invoice reconciliation is required, a user in the ERP system reconciles any exceptions and approves the invoice reconciliation there. The ERP system then sends the status update to SAP Business Network, which updates the invoice status for suppliers and sends the status update to SAP Ariba Invoice Management.

Returns and Line Item Credit Memos

Returns are processed as negative receipts that are linked to an existing receipt. When SAP Ariba Invoice Management receives a return, it recalculates the **Available Qty** for the original receipt. For example, if receipt R1 has a quantity of 10 boxes, and the receiving agent rejected 2 boxes, the available quantity for R1 now is 8.

Line item credit memos include a reference to the original invoice, which means any receipts attached to the original invoice are used when matching the credit memo. Line item credit memos affect goods receipts as follows:

- The invoiced quantity, or allocated quantity, decrements based on a negative quantity in the line item credit memo.
- The available quantity increments.

Overallocation and Underallocation of Receipts to Invoice Lines

SAP Ariba Invoice Management handles overallocation and underallocation of available receipts to invoice lines as follows:

- If the exception handler selects more receipts than required based on the invoiced quantity, SAP Ariba Invoice Management drops any overallocated receipts. If the last receipt in the list leads to a greater total received quantity than the invoiced quantity, SAP Ariba Invoice Management matches only the required quantity. The remaining (not matched) quantity is available for allocation to other invoices.
- If the exception handler selects fewer receipts than required to match the invoice quantity, SAP Ariba Invoice Management accepts the underallocation after confirmation by the user and generates a **Receipt Quantity Variance** exception. Subsequent exception handlers can then either add additional matching receipts, or resolve the exception by accepting the invoiced quantity.

Related Information

[Workflows for Goods Receipt-Based Invoice Verification Without Ship Notice IDs \[page 82\]](#)

Workflows for Goods Receipt-Based Invoice Verification Without Ship Notice IDs

The following workflows illustrate how invoices are matched to receipts when the invoice doesn't include a ship notice ID.

These workflows apply to sites that allow invoices without ship notice IDs to be automatically matched to receipts based on purchase order. The SAP Ariba solution matches the invoice to the receipt for the same purchase order. If there are multiple available receipts, they are picked in the ascending order based on when the receipts were created.

Basic Flow

1. The buyer sends the supplier an order for items marked for goods receipt-based invoice verification.
2. The buyer receives the items and creates a receipt that includes a ship notice ID.
3. The supplier sends an invoice for the items.
4. The SAP Ariba solution checks the invoice for a ship notice ID.
5. If the invoice doesn't include a ship notice ID, the SAP Ariba solution looks for a receipt for the purchase order that's referenced on the invoice, and matches the invoice to that receipt.
6. The SAP Ariba solution raises quantity variance or price variance exceptions as appropriate.

When the Invoice Comes in Before the Receipt Is Created

In this workflow, the buyer manually matches additional receipts to the invoice to resolve the exception. If a quantity variance exception is raised after the invoice is matched to receipts for the same PO, the only way to resolve it is to manually match any additional receipts to the invoice.

1. The buyer sends the supplier an order for items marked for goods receipt-based invoice verification.
2. The supplier sends an invoice for the items. The invoice doesn't include a ship notice ID.
3. Upon receiving the invoice, the SAP Ariba solution looks for but doesn't find a matching receipt.
4. The SAP Ariba solution raises a **Matching Receipt Not Found** exception against the invoice because the receipt doesn't exist yet.
5. The buyer creates a receipt for the order. The receipt includes a ship notice ID.
6. The SAP Ariba solution matches the invoice to the receipt and clears the **Matching Receipt Not Found** exception.

When There Are Multiple Receipts for the Purchase Order That's Referenced on the Invoice

1. The buyer sends the supplier an order for an item marked for goods receipt-based invoice verification. The quantity of the item is 100.
2. The buyer receives 20 of the items and creates a receipt. The receipt includes a ship notice ID.

3. The buyer receives 20 more of the items and creates a receipt. The receipt includes a ship notice ID. (The ship notice ID can be either the same as or different from the one on the previous receipt.)
4. The supplier sends an invoice for 30 of the items. The invoice doesn't include a ship notice ID.
5. The SAP Ariba solution matches the invoice to both receipts, matching a quantity of 20 for the first receipt and a quantity of 10 for the second receipt.

When a Quantity Variance Exception Is Raised After the Invoice Is Matched to Receipts for the Same Purchase Order

1. The buyer sends the supplier an order for an item marked for goods receipt-based invoice verification. The quantity of the item is 100.
2. The buyer receives 20 of the items and creates a receipt. The receipt includes a ship notice ID.
3. The supplier sends an invoice for 30 of the items. The invoice doesn't include a ship notice ID.
4. The SAP Ariba solution matches the invoice to the receipt.
5. A **Receipt Quantity Variance** exception is raised.
6. The buyer receives 20 more of the items and creates a receipt. The receipt includes a ship notice ID. (The ship notice ID can be either the same as or different from the one on the previous receipt.)
7. The SAP Ariba solution continues to match the invoice to the first receipt only. It doesn't automatically match the invoice to the second receipt. The invoice reconciliation document still has a **Receipt Quantity Variance** exception.
8. The buyer manually matches the second receipt to the invoice.
9. The SAP Ariba solution clears the **Receipt Quantity Variance** exception.

Payment Processes

Here's a list of topics that provide overviews of various processes related to the payment of invoices.

[External System Payment Model \[page 84\]](#)

[Invoices from Subcontractors \[page 85\]](#)

[Payment Terms \[page 87\]](#)

[Discount Management \[page 89\]](#)

External System Payment Model

Payment models determine where payments are scheduled. SAP Ariba supports the External System payment model, which means payments are scheduled and processed through an external ERP system.

The previously available Ariba Pay payment model option is no longer available to customers who are not already using it.

The payment process consists of the following phases:

- The payment scheduling phase, in which you review and finalize a payment request
- The payment settlement phase, in which the actual payment is executed

In the external system payment model, initial scheduling of payments occurs in the SAP Ariba invoicing solution, but the final payment scheduling and payment processing occurs in the external system. The following steps describe the payment process for external system payments:

1. The SAP Ariba invoicing solution initially schedules the payment based on the [payment terms \[page 87\]](#) defined in the invoice.
2. SAP Ariba Invoice Management sends invoices approved for payment through your SAP Business Network account in cXML format to your external ERP system. SAP Ariba Buying and Invoicing send approved invoices in OK-to-Pay files to the external system.
3. The external system creates a matching invoice record and schedules the payment.
4. Remittance information is imported from the external system into your SAP Ariba solution, and the invoice reconciliation is marked **Paid** after the remittance data is received and the clearance period defined for the payment method has passed for all payment (remittance) transactions associated with the invoice.

When the external system creates a matching invoice record, it sends an update back to SAP Ariba, where the invoice reconciliation is updated with the external system invoice ID. Your external system can submit payment request updates and remittance information through the payment integration toolkit to SAP Business Network to ensure that payment-related information is synchronized between SAP Business Network, your SAP Ariba invoicing solution, and the external system.

When an IR is approved, the associated payment request status changes to **Scheduled**. If you get back payment remittance data from your external system, the system then generates a payment transaction with a status of **Paid**. If the data indicates that the invoice was not paid in full (underpayment), the system creates a new payment

request document for you to track and process payment of the outstanding balance. The ID of the new payment request is the same as the original payment request, plus a suffix, such as -1.

Underpayments and overpayments are noted on the **History** tab of the IR document.

If the payment is canceled by the external system, when that cancellation data is received, a payment transaction with the status **Cancelled** is created in the SAP Ariba invoicing solution.

If your external system fails to create an associated invoice for the payment, the payment request remains in **Scheduled** status and the IR status changes to **Push Failed**. The **History** tab of the payment also notes that the push has failed.

Payments for advance payment documents in SAP Ariba Buying and Invoicing

The payment process for advance payment documents is similar to that of invoices. Approved advance payments are exported to the external system for payment processing, using the web services or file channel. The status of the advance payment document changes to **Paying** when the external system sends an acknowledgment for the advance payment document. The external system then processes the payment and sends the remittance information. The status of the advance payment document changes to **Paid** when remittance information is received for its entire amount.

Related Information

[Payment Document Status Flow \[page 92\]](#)

[Advance Payment Workflow \[page 9\]](#)

[Advance Payment Status Flow \[page 99\]](#)

Invoices from Subcontractors

Businesses in some regions are required to categorize their suppliers as subcontractors to ensure timely payments of the orders placed with such suppliers. To ensure that subcontractors are paid on time, invoices from subcontractors have payment schedules tied to the date of delivery.

If your site supports subcontractor information on receipts, the **Date Delivered** field from the receipt is used to calculate payment due date. The **Date Delivered** field is shown on the payment request.

The following parameters control support for subcontractor information in the procurement process:

- **Identify purchase orders for subcontractors**
(Application.Procure.EnableSupplierAsSubContractor)
- **Include subcontracting details in receipts**
(Application.Procure.EnableSubcontractingForReceiving)

When buyers receive an item from a supplier marked as a subcontractor, they fill in the **Date Delivered** field on the receipt. That date is then used to calculate the payment schedule.

If a receipt has multiple items with different delivery dates, the payment request uses the **earliest** delivery date. More specifically, the payment request uses the earliest date of all approved receipts and their receipt items (including rejected items) at the time the invoice reconciliation (IR) document was fully reconciled and approved. This is the case regardless of which PO items are on the invoice.

If the buyer reconciles and approves an invoice from a subcontractor **before** receiving the items, the payment schedule is determined in the same way as for non-subcontractor invoices. Receipts approved after an invoice has been reconciled and approved don't affect the payment schedule.

⚠ Restriction

Subcontractor information is not supported for summary (or multi-PO) invoices. A summary invoice is an invoice associated with multiple purchase orders. The payment schedule for multi-PO invoices from subcontractors is not based on delivery date.

❖ Example

Payment flow for a receipt with multiple delivery dates

1. A purchase order contains Item 1 and Item 2.
2. On the receipt, **Date Delivered** for Item 1 is July 3, 2020. **Date Delivered** for Item 2 is August 15, 2020.
3. The supplier sends an invoice for one or both items.
4. The IR document is reconciled and approved.
5. On the payment request, the **Date Delivered** is July 3, 2020, the earliest delivery date of both items.

❖ Example

Payment flow for items received **after** the first invoice is reconciled and approved

1. A purchase order contains Item 1, Item 2, and Item 3.
2. The receipt has multiple delivery dates:
 - **Date Delivered** for Item 1 is October 2, 2020.
 - **Date Delivered** for Item 2 is October 11, 2020.
 - Item 3 hasn't been received yet.
3. The supplier invoices for one or two of the items.
4. The IR document is reconciled and approved.
5. On the payment request, the **Date Delivered** is October 2, 2020, the earliest delivery date on the receipt.
6. Item 3 is received. On the receipt, **Date Delivered** for Item 3 is September 30, 2020.
7. The supplier sends a second invoice for the order. The IR document is reconciled and approved.
8. On the payment request for the second invoice, **Date Delivered** is September 30, 2020.

Related Information

[Subcontractor Information for Suppliers on Requisitions](#)
[Receipts for Orders from Subcontractors](#)

Payment Terms

Payment terms specify when a supplier must be paid for an invoice and define any discounts available for early payment.

An administrator configures payment terms in your site. They are stored with supplier information and appear on purchase orders, invoices, and IRs. Payment terms typically include:

- A unique ID, such as PT1
- A title, such as Net 45, 2%/30, 3%/20
- A description that can indicate the number of days within which the payment must be made and related information, such as discounts offered for early payments or other incentives

For example, you might see payment terms displayed as:

ID	PT1
Title	Net 45, 2%/30, 3%/20
Description	Net amount due in 45 days, 2% discount if paid in 30 days, 3% discount if paid in 20 days
Terms	Pay in days Discount 45 0% 30 2% 20 3%

The system compares payment terms that appear on invoices with payment terms defined in the related purchase order or contract. If the payment terms do not match, the system creates an invoice exception that must be reconciled. (If you want to avoid these exceptions and enforce the payment terms on the PO or contract, you can have SAP Ariba set the site parameter `Application.Invoicing.InvoiceTypesThatOverridePaymentTerms`.)

⚠ Caution

All payment terms are assumed to be NET payment terms and are displayed as such to suppliers on SAP Business Network. Support for non-NET payment terms, such as EOM payment terms, can be configured through a customization project.

ℹ Note

In the default configuration, only standard line items (not additional charges such as taxes or shipping) are included when payment discounts are calculated. Your site might be configured to include additional line item types in discount calculations.

If the default payment terms at the header level of the initial purchase order to be updated when the subsequent version of the purchase order is created, enable the **Update default payment terms at the header level of the initial purchase order when the subsequent version of the purchase order is created** (`Application.Purchasing.UpdateDefaultPaymentTermsOnPOHeader`) parameter to prevent the mismatch in the payment terms between the initial and subsequent versions of the purchase orders. For more information,

see [Update default payment terms at the header level of the initial purchase order when the subsequent version of the purchase order is created.](#)

Payment Date and Due Date Calculations

Payment date and due date are calculated based on your site's configuration and the payment terms on the invoice.

The payment terms on the invoice and the payment policy configuration for your site determine the payment date and the due date for a payment request. The payment date determines when the payment is processed, taking into account any available discounts, and the due date determines the last day the payment can be made without becoming overdue.

The following settings control payment date and due date calculations:

- Your payment policy configuration: take maximum discount, take no discount, or take applicable discount
- Your site's configuration: by default the effective date for the payment due date calculations is the invoice reconciliation approval date, but your site might use the invoice delivery date or due date instead.

The following examples demonstrate how the due date and payment date are calculated based on the payment terms and system configurations.

Example: No Discount, Effective Date Is Approval Date

Payment terms are Net 30, no discount, and the invoice reconciliation is approved on June 1.

In this example, the payment date and the due date are set to July 1.

Example: No Discount, Effective Date Is Delivery Date

Payment terms are Net 30, no discount, and the item is delivered on June 1.

In this example, the payment date and the due date are set to July 1.

If there are multiple items on the receipt with different delivery dates, the earliest delivery date is used as the effective date.

Example: Take Maximum Discount, Effective Date Is Approval Date

The payment terms are Net 30 days, 20 days 2%, 15 days 3%. The invoice reconciliation is approved on June 1.

In this example, the due date is set to July 1, the payment date is June 16, and the discount applied to the payment is 3%.

Example: Take Applicable Discount, Effective Date Is Invoice Date

The payment terms are Net 30 days, 20 days 2%, 15 days 3%. The invoice date is May 15. The invoice reconciliation is approved on June 1.

In this example, the due date is July 1, the payment date is June 4, and the discount applied to the payment is 2%.

Example: Take No Discount, Effective Date Is Approval Date

The payment terms are Net 30 days, 20 days 2%, 15 days 3%. The invoice date is May 15. The invoice reconciliation is approved on June 1.

In this example, the due date and the payment date are set to July 1 and no discount is applied.

Example: Take No Discount, Effective Date Is Invoice Date

The payment terms are Net 30 days, 20 days 2%, 15 days 3%. The invoice date is May 15. The invoice reconciliation is approved on June 1.

In this example, the due date and the payment date is set to June 14 and no discount is applied.

Related Information

[SAP Ariba-Controlled Parameters for Managing Payment Documents \[page 137\]](#)

[SAP Ariba-Controlled Parameters for Creating and Managing Invoices \[page 101\]](#)

[Invoices from Subcontractors \[page 85\]](#)

Discount Management

Discount management allows you and your suppliers to agree to early payment in exchange for discounts.

Discount management is a process that allows you and your suppliers to request or offer early payment in exchange for discounts from the supplier. Early payment can be initiated by your organization and offered to selected or all suppliers, or by the supplier.

In order to take advantage of discount options, your external system must be configured to flag payment proposals for early discount, and your SAP Business Network account must be enabled and configured for discount management.

Discount management requires ERP integration using the payment integration toolkit. The discount management process flow depends on the features enabled in your site and the integration options you have implemented. Ariba provides the following options:

- Integration using the Payment Request file (OK-to-pay file) generated in SAP Ariba Procurement solutions. If your site is configured for SAP Ariba Buying and Invoicing only, then this is the only integration option.
- Integration through cXML. If your site is configured for SAP Ariba Invoice Management only, then this is the only integration option.

[Discount Process with OK-to-Pay File Integration \[page 90\]](#)

[Discount Process with for CXML Integration \[page 91\]](#)

Discount Process with OK-to-Pay File Integration

The following steps describe the discount management process in sites with payment request file (OK-to-pay file) integration:

1. After an invoice is fully reconciled and approved, your SAP Ariba invoicing solution sends a payment request (payment proposal) to SAP Business Network.
2. The payment request file (OK-to-pay file) is exported from your SAP Ariba invoicing solution and imported into an external ERP system.
3. Depending on the ERP implementation, payment managers review the payment requests in the external ERP system and flag invoices allowed for discounting, or invoices are automatically selected for discount management in the ERP.
4. When the payment request is created in the ERP, and every time the payment request is updated in the ERP, a payment request update operation is sent to SAP Business Network from the ERP through the payment integration toolkit. Payment requests that are allowed for dynamic discounting have the cXML extrinsic element `immediatepay` set to `yes` in the `PaymentProposalRequest` document you send to SAP Business Network.
5. When SAP Business Network detects that an invoice is allowed for early payment, it sends email notifications to alert the supplier (if buyer-initiated) or the payment manager in your organization (if supplier-initiated) to reject or accept the offer. Discount negotiations are managed entirely on SAP Business Network.
6. Once the offer is accepted, a payment request download operation is sent to the ERP from SAP Business Network through the payment integration toolkit.

Note

Neither the updated nor the negotiated payment proposals will be available in your SAP Ariba invoicing solution.

7. After the payment has been made in the ERP, the payment remittance transactions are sent to SAP Business Network through the payment integration toolkit.
8. SAP Business Network sends the payment remittance information to your SAP Ariba invoicing solution.

Related Information

[Discount Management \[page 89\]](#)

Discount Process with for CXML Integration

The following steps describe the discount management process in sites with cXML integration:

1. After an invoice is fully reconciled and approved, the SAP Ariba solution sends an invoice status update to SAP Business Network.
2. The cXML invoice is downloaded from SAP Business Network to the external ERP through an adapter, which creates a payment proposal (payment request) in the ERP.
3. Depending on the ERP implementation, payment managers review the payment requests in the external ERP system and flag payment requests allowed or discounting or payment requests are automatically selected for discount management in the ERP. Payment requests that are allowed for dynamic discounting have the cXML extrinsic element `immediatepay` set to `yes` in the `PaymentProposalRequest` document you send to SAP Business Network.
4. The adapter pulls the payment proposals (Pay Me Now for invoices proposed for early payment) from the ERP and sends them to SAP Business Network, which creates a new payment proposal transaction on SAP Business Network.
5. When SAP Business Network detects that an invoice is allowed for early payment, it sends email notifications to alert the supplier (if buyer-initiated) or the payment manager in your organization (if supplier-initiated) to reject or accept the offer. Discount negotiations are managed entirely on SAP Business Network.
6. Once the offer is accepted, a payment proposal update operation is sent to the external system from SAP Business Network through the adapter and the payment request is updated in the SAP Ariba solution. Users can view the payment requests, but they cannot update them.
7. After the payment has been made in the ERP, the payment remittance transactions are sent to SAP Business Network through the payment integration toolkit (the payment integration toolkit allows submitting payment batch information, which is not available if payment remittance information is transmitted through an adapter.)
8. SAP Business Network sends the payment remittance information to your SAP Ariba invoicing solution.

Related Information

[Discount Management \[page 89\]](#)

Payment Document Status Flow

Your invoicing solution updates the status of payment documents at various points in the invoice reconciliation and payment process.

The status flow described in the following table is for the External Pay payment model only.

Activity	Invoice Reconciliation (IR) Status	Payment Request Status	Payment Transaction Status	SAP Business Network routing status/invoice status
An invoice is approved	Reconciling	Processing	n/a	Acknowledged/Sent
Reconcile an invoice reconciliation (IR) document	Reconciling -> Approving	Processing	n/a	Acknowledged/Sent
An IR document is approved	Paying	Scheduled	n/a	Acknowledged/ Approved
Approve an IR (IR sent to ERP for additional reconciliation or approval. Not applicable in SAP Ariba Buying and Invoicing-only sites)	Approving -> Awaiting External Reconciliation	Processing	n/a	Acknowledged/ Approved
ERP fails to create invoice reconciliation (not applicable in SAP Ariba Buying and Invoicing-only sites)	Awaiting External Reconciliation -> Push Failed	Processing	n/a	Acknowledged/ Approved
ERP fails to create invoice for scheduled payment (SAP Ariba Invoice Management)	Paying -> Push Failed	Processing	n/a	Acknowledged/ Approved
ERP fails to create invoice for scheduled payment (SAP Ariba Buying and Invoicing-only sites that use the Asynchronous or Direct Push payment request sending option)	Paying -> Paying Failed	Sending		Acknowledged/ Approved

Activity	Invoice Reconciliation (IR) Status	Payment Request Status	Payment Transaction Status	SAP Business Network routing status/invoice status
ERP reconciles IR and sends Invoice Status Update Request (SUR) (not applicable in SAP Ariba Buying and Invoicing-only sites)	Awaiting External Reconciliation -> Paying	Processing -> Scheduled	n/a	Acknowledged/ Approved
ERP moves reconciled invoice back to Processing in the ERP (invoice in SAP Ariba Invoice Management is an ERP invoice copy) (SAP ERP and Oracle ERP only)	Paying -> Awaiting External Reconciliation	Processing -> Scheduled	n/a	n/a
(Optional and depending on your site's configuration) SAP Business Network receives a payment proposal request update from the ERP system	Paying	Scheduled	n/a	Acknowledged/ Approved
Payment remittance data is received	Paying	Scheduled -> Paying	Paid	Acknowledged/Paid
Payment clearance period has passed (depending on your site's configuration, either the clearance period is specified per payment method or your site receives a payment remittance update with status Cleared through SAP Business Network)	Paying -> Paid	Paying -> Paid	Paid -> Cleared	Acknowledged/Paid
Deny a cancel invoice	Canceling -> Reconciling	Processing	n/a	Acknowledged/Sent

Activity	Invoice Reconciliation (IR) Status	Payment Request Status	Payment Transaction Status	SAP Business Network routing status/invoice status
Invoice is canceled or reversed in ERP system while the IR document is in Paying or Paying Failed status	Paying or Paying Failed -> Rejected	Paying->Rejected Payment requests can also be rejected when they have a status of On Hold , Sending , Scheduling , or Scheduled .	n/a	Acknowledged/Rejected
ERP cancels invoice while the IR document is in Paid status	Paid -> Paying -> Rejected	Paid->Rejected	Paying	
ERP cancels invoice (invoice in SAP Ariba Invoice Management is an ERP invoice copy) (SAP ERP and Oracle ERP only)	Paying ->Rejected	Rejected		n/a

Related Information

[External System Payment Model \[page 84\]](#)

Invoice and Invoice Reconciliation Status Flow

Your SAP Ariba invoicing solution updates the status of invoice and invoice reconciliation documents, and associated payment requests, at different stages of the invoice and invoice reconciliation workflow.

Activity	Invoice status	Invoice reconciliation status	Payment request status	SAP Business Network routing status/invoice status
Receive an invoice from the ERP	Submitted	n/a	n/a	Acknowledged/Sent
Create an invoice in your SAP Ariba solution	Submitted	n/a	n/a	n/a
Receive an invoice from SAP Business Network (not sent by an invoice conversion service)	Submitted or Submitted with Errors (if there are validation errors, for example, due to policies configured in the SAP Ariba solution)	n/a	n/a	Acknowledged/Sent
Receive an invoice that was sent to SAP Business Network by an invoice conversion service (ICS)	Submitted or Submitted with Errors (if there are validation errors, for example, incomplete or image-only invoices)	n/a	n/a	Depends on the situation. See Invoice Validation and Exception Handling on SAP Business Network .
Import an external cXML invoice using an HTTP API	Submitted or Submitted with Errors (if there are validation errors)	n/a	n/a	n/a
Receive an invoice from SAP Central Invoice Management through an API	Submitted or Submitted with Errors (if there are validation errors, for example, incomplete or image-only invoices)	n/a	n/a	n/a
Receive an information-only invoice from SAP Business Network ¹	Loaded	n/a	n/a	n/a

Activity	Invoice status	Invoice reconciliation status	Payment request status	SAP Business Network routing status/invoice status
Approve an invoice	Submitted -> Approved -> (CC Invoice to AN ²) -> Reconciling	Reconciling	Processing	Acknowledged/ Sent
Reconcile an invoice reconciliation (IR)	Reconciling	Reconciling -> Approving	Processing	Acknowledged/Sent
Reject an IR	Reconciling -> Reconciled	Rejected	n/a	Acknowledged/ Rejected
Receive a cancel invoice from SAP Business Network	Loaded -> Canceling	Reconciling -> Canceling	n/a	Acknowledged/Sent
Approve a cancel invoice	Canceling -> Canceled	Canceling -> Canceled	n/a	n/a
Deny a cancel invoice	Canceling -> Reconciling	Canceling -> Reconciling	Processing	Acknowledged/Sent
Invoice is automatically canceled after the corresponding service sheet is rejected.	Submitted -> Canceled	n/a	n/a	Acknowledged/ Canceled
Approve an IR (no additional external ERP reconciliation required) (For sites that use the Default payment request sending option)	Reconciling -> Reconciled	Approving -> Approved -> Paying	Processing -> Scheduled	Acknowledged/ Approved
Approve an IR (no additional external ERP reconciliation required) (SAP Ariba Buying and Invoicing-only sites that are configured to use the <i>Asynchronous</i> or <i>Direct Push</i> payment request sending option)	Reconciling -> Reconciled	Approving -> Approved -> Paying	Processing -> Sending -> Scheduled	Acknowledged/ Approved

Activity	Invoice status	Invoice reconciliation status	Payment request status	SAP Business Network routing status/invoice status
ERP fails to create invoice for scheduled payment (SAP Ariba Invoice Management)	Reconciled	Paying -> Push Failed	Processing	Acknowledged/Approved
ERP fails to create invoice for scheduled payment (SAP Ariba Buying and Invoicing-only sites that use the Asynchronous or Direct Push payment request sending option)	Reconciled	Paying -> Paying Failed	Sending	Acknowledged/Approved
Approve an IR (IR sent to ERP for additional reconciliation or approval. Not applicable in SAP Ariba Buying and Invoicing-only sites)	Reconciling	Approving -> Awaiting External Reconciliation	Processing	Acknowledged/Sent
ERP fails to create invoice reconciliation (not applicable in SAP Ariba Buying and Invoicing-only sites)	Reconciling	Awaiting External Reconciliation -> Push Failed	Processing	Acknowledged/Approved
ERP reconciles IR and sends Invoice Status Update Request (SUR) (not applicable in SAP Ariba Buying and Invoicing-only sites)	Reconciling -> Reconciled	Awaiting External Reconciliation -> Paying	Processing -> Scheduled	Acknowledged/Approved
ERP cancels invoice (invoice in SAP Ariba Invoice Management is an ERP invoice copy) (SAP ERP and Oracle ERP only) ³	Reconciled	Paying -> Canceled	Canceled	n/a

Activity	Invoice status	Invoice reconciliation status	Payment request status	SAP Business Network routing status/invoice status
ERP moves reconciled invoice back to Processing in the ERP (invoice in SAP Ariba Invoice Management is an ERP invoice copy) (SAP ERP and Oracle ERP only) ³	Reconciled -> Reconciling	Paying -> Awaiting External Reconciliation	Processing	n/a
ERP cancels invoice while the IR document is in Paying or Paying Failed status	Reconciled -> Rejected	Paying or Paying Failed -> Rejected (Rejected automatically in SAP Ariba Invoice Management. In SAP Ariba Buying and Invoicing, rejected when Force Reject button is clicked.)	Paying -> Rejected	Acknowledged/ Rejected
ERP cancels payment transaction while the IR document is in Paid status	Reconciled -> Paying	Paid -> Paying	Paying	n/a

¹Information-only invoices can only be submitted by suppliers through SAP Business Network. Typically, a supplier will cancel an information-only invoice after submitting a final invoice.

² The **CC Invoice to AN** status applies only for invoices created manually in your invoicing solution on behalf of a supplier who is enabled on SAP Business Network. The supplier can view the CC invoice and track its status on SAP Business Network.

³ERP invoice copies are information-only copies of invoices that are managed and reconciled entirely in the external ERP system. Each ERP invoice copy has a corresponding information-only invoice reconciliation. Neither document is editable. ERP invoice copies are only available in sites enabled for SAP Ariba Invoice Management and for SAP Fieldglass invoices in SAP Ariba Buying solutions integrated with SAP Fieldglass .

Related Information

[Forced Reconciliation of CC Invoices](#)

[Invoice Reconciliation for Documents in Paying or Paying Failed Status](#)

[Invoice Reconciliation for Documents in Rejecting Status](#)

[Invoice Reconciliation for Documents Awaiting External Reconciliation](#)

[Invoice Reconciliation for Documents in Approved Status](#)

Advance Payment Status Flow

The status of an advance payment document is updated at different stages of its workflow.

Action	Status
Create an advance payment	Composing
Submit the advance payment	Composing to Submitted
Approve the advance payment	Submitted to Approved
Export the advance payments to the ERP system	Approved
Errors received from the ERP system	Approved to Composing
Cancel an advance payment in the Approved state.	Approved to Canceling
Receive the acknowledgment for an advance payment from the ERP system	Approved to Paying
Receive the remittance information from ERP system	Paying to Paid
Force pay an approved advance payment if an acknowledgment is not received from ERP system	Approved to Paid
One of the following actions apply: - Receive the remittance information for all line items on an advance payment from the ERP system. - Force pay an advance payment in the Paying state if remittance information is not received from the ERP system.	Paying to Paid
Cancel an advance payment in Approved state	Approved to Canceling
One of the following actions apply: - Receive the acknowledgment for a cancelled advance payment from the ERP system. - Force cancel an advance payment in the Cancelling state an acknowledgment for the cancelled advance payment is not received.	Canceling to Canceled
Force cancel an advance payment in Canceling state if acknowledgment is not received for the cancelled advance payment	Canceling to Canceled

Action	Status
Remittance information for an advance payment has been received from the ERP system, while the advance payment is marked for cancellation.	Canceling > Paying > Paid
Cancel invoice while the IR document is in Paid status.	Paid > Paying

SAP Ariba-Controlled Parameters for Creating and Managing Invoices

Some of the functionality for supplier contacts is controlled by configuration options that SAP Ariba Support sets for you. These parameters apply to SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management.

Application.Invoicing.AdaptAmountFromANForAmountBasedReceivingWithAdvancedPricing (set by SAP Ariba Support)

Ensures that the item amount is calculated correctly for items with advanced pricing and amount-based receiving on invoices from SAP Business Network. This parameter affects items with both of the following:

- Advanced pricing details (also known as PBQ)
- Amount-based receiving

For example, a quantity-based service item might have advanced pricing to show how the price is calculated, and amount-based receiving because the item is provided as a service. When set to **Yes**, this parameter adapts the item amount calculation to compensate for the fact that SAP Business Network always sends quantity = 1 for items with amount-based receiving.

Application.Invoicing.AdjustSplitAllocationOnQtyChange (set by SAP Ariba Support)

For invoice line items split by quantity and amount, this parameter determines whether split allocations adjust proportionately to reflect quantity changes. This parameter is for invoices entered by the buyer when lines are split by quantity and amount. If this parameter is set to **Yes**, when a user changes the quantity of a line item, the split quantities are automatically adjusted in a way that maintains the original split proportions. For example, suppose an item quantity of 10 is split 3 ways into 4, 2, and 4. If the item quantity changes to 5, and this parameter is set to **Yes**, the splits become 2, 1, and 2. If this parameter is set to **No**, when a user changes the quantity of a line item, the split quantities doesn't change. The user has to update the allocation manually.

Application.Invoicing.IgnoreZeroLineShipping (set by SAP Ariba Support)

This parameter specifies whether zero amount line level shipping lines are allowed on cXML invoices. When this parameter is set to **Yes**, zero amount shipping lines are not created at the line level. When set to **No**, zero shipping lines are retained. Ariba Support can also set the parameter to **No** to retain zero amount shipping lines in IRs. The default value for this parameter is **Yes**.

Application.Contract.MasterAgreement.AllowCollaborativeInvoicing (set by SAP Ariba Support)

This parameter specifies whether suppliers on SAP Business Network can punch in to your invoicing solution to create invoices against no-release-order contracts directly in your invoicing solution. The default setting is No. When this parameter is set to Yes, contract agents can override the value on the contract request (allow invoicing against contract). This field is only displayed for contracts where **Release Required** is set to **No**.

Application.Invoicing.AllowReusingInvoiceNumberAcrossCalendarYear (set by SAP Ariba Support)

Specifies whether supplier invoice numbers from the previous year can be reused in a new year. The yearly end date is determined by the supplier location's fiscal year. This parameter applies to invoices that have one of the statuses listed in the self-service parameter **Application.Invoice.AllowReusingInvoiceNumber**. This parameter is ignored if the parameter **Application.Base.AribaNetworkOrganizationSyncOption** (set by SAP Ariba) is set to **NoSync** or if the fiscal year end date is missing for the supplier on SAP Business Network.

Application.Invoicing.UseSupplierLocationFromOrderOnInvoice (set by SAP Ariba Support)

Specifies whether PO-based invoices always use the supplier location of the matching order. If this parameter is set to **Yes**, the supplier location on the matching order overrides any user edits to supplier location on the invoice. If this parameter is set to **No**, users' edits to the supplier location on the invoice are retained.

Application.Invoicing.AllowSupplierToCreateCompliantContractInvoice (set by SAP Ariba Support)

This parameter specifies whether or not suppliers can create a contract invoice in their SAP Business Network account and punch into the invoicing solution from SAP Ariba to retrieve the contract and add items. The invoice is validated according to SAP Business Network country/region-based rules and buyer-specified contract pricing. The default setting is **Yes** for sites enabled on or after Release 12s2.

Application.Invoicing.AllowLegalEntityCodeAtSplitLevel (set by SAP Ariba Support)

This parameter specifies whether or not line-level accounting distributions on invoices include the **Company Code** field in SAP-integrated sites. If enabled, the **Company Code** field does not show at the header level of the invoice; it shows at the line level instead. The default setting is **No**.

Application.Invoicing.AutoInvoiceLineCreation

Enables the automatic creation of invoice line items from the PO details or receipt information in ICS invoices. Setting this parameter to **Yes** allows customers to submit electronic invoices that do not contain any line item information to SAP Business Network. By default, this parameter is set to **No**.

Application.Invoicing.Enabled (set by SAP Ariba Support)

Determines whether the site includes functionality for viewing and reconciling invoices. When set to **Yes**, authorized users can view and reconcile invoices. When set to **No**, users cannot view or reconcile invoices.

Note

This parameter does not control the ability to create or edit invoices. That is controlled by group membership.

Application.Invoicing.EnableTaxesOnShippingAndHandlingItems (set by SAP Ariba Support)

This parameter specifies whether or not users can add shipping and special handling lines on invoices and specify taxes for those lines. When this parameter is set to **Yes**, the **Add Shipping Item** and **Add Special Handling Item** buttons appear on the **Add Items** page when users are creating invoices. To add taxes to a shipping or special handling line, the user selects **Add Taxes at Line Level**, which causes the **Add Taxes** button to appear next to each line. The default setting is **No**.

Restriction

Taxes cannot be added to charges at header-level.

Application.Invoicing.CalculateTaxesOnNetAmount (set by SAP Ariba Support)

Specifies whether line-level discounts are taken into account when percentage taxes are calculated on invoices. This parameter does not apply to invoice reconciliation (IR) documents.

- When set to Yes, percentage taxes are calculated on the invoice net amount (the invoice base amount minus the discount). The taxable amount includes the discount.
- When set to No, percentage taxes are calculated on the invoice base amount.

Application.Invoicing.UseTLCTaxEngine (set by SAP Ariba Support)

This parameter is used to specify if you want to use the enhanced tax computation engine or a third-party tax calculation engine for taxes applied on invoices.

Note

If `Application.Invoicing.CopyTaxCodesFromInvoiceToIR` is set to Yes, the tax code on an invoice tax line is copied to the corresponding IR tax line regardless of whether the site is using the enhanced tax computation engine.

Application.Procure.EnableAccountingForWithholdingTaxInInvoiceAndIR (set by SAP Ariba Support)

This parameter specifies whether users can manage accounting information for withholding taxes on invoices and invoice reconciliation documents. If set to Yes, users can perform tasks, such as configure accounting splits for withholding taxes and mass edit tax accounting information for withholding taxes.

The default value of this parameter is No.

Note

To manage withholding taxes on invoices and invoice reconciliation documents, the `Application.Invoicing.UseTLCTaxEngine` parameter must be enabled.

Application.Invoicing.SkipAmount (set by SAP Ariba Support)

This parameter specifies a threshold amount below which the system skips validation of an invoice. The value represents an amount in the default currency. This parameter is used by the invoice validation rules in the default configuration. If a site's configuration defines custom validation rules, they might or might not use this parameter. The default value is 5.

Note

By default, validation of credit memos is never skipped. If an invoice has a negative amount (and therefore is a credit memo), it always raises an invoice exception. If the parameter `Application.Invoicing.SkipLineCreditMemoExceptions` is set to Yes, only header-level credit memos raise exceptions.

Application.Settlement.PaymentRequestSendMethodOption (set by SAP Ariba Support)

This parameter specifies a method for sending payment requests, which in turn defines whether or not the status of invoice reconciliation and payment request documents in your

invoicing solution depends on the success or failure of invoices in integrated ERP systems. The following values are valid settings for this parameter:

- **Default**: the default value for the parameter. In this case, the status of the invoice reconciliation and payment request in your invoicing solution does not change based on the success or failure of the invoice in the ERP system. You must use this setting if you export payment requests using SAP Integration Suite, managed gateway (formerly SAP Ariba Cloud Integration Gateway).
- **Asynchronous Push**: the recommended setting for sites that use file-based integration between SAP Ariba Buying and Invoicing and the ERP system. In this case, the status of the invoice reconciliation and payment request in SAP Ariba Buying and Invoicing changes based on the success or failure of the invoice in the ERP system. This value is not applicable to SAP Ariba Invoice Management.
- **DirectPush**: the recommended setting for sites that use web services-based integration between SAP Ariba Buying and Invoicing and the ERP system. In this case, the status of the invoice reconciliation and payment request in SAP Ariba Buying and Invoicing changes based on the success or failure of the invoice in the ERP system. This value is not applicable to SAP Ariba Invoice Management.

Application.Invoicing.InvoiceTypesThatOverridePaymentTerms (set by SAP Ariba Support)

Specifies the types of cXML invoices for which the payment terms are always defaulted from the invoice source (the PO or contract, depending on the type of invoice). The payment terms passed in the cXML are ignored for such invoices. Valid values for this parameter are **POInvoice** and **ContractInvoice**. The default value is empty list.

This parameter enables buyers to enforce that the payment term they specified for a PO or contract is the payment term that ends up on invoices related to that PO or contract. If the supplier specifies a different payment term on the invoice, it's overridden by the payment term the buyer specified for the PO or contract. When this parameter isn't set, if an invoice from the supplier contains payment terms that differ from those in the PO or contract, an exception is raised.

Application.Invoicing.MaxInvoiceAttachmentPagesToPNG (set by SAP Ariba Support)

This parameter specifies the maximum number of pages of an attachment file on the **Invoice Entry** page that can be converted to PNG format when users choose to view the attachment. By default, this value is set to 15.

Application.Invoicing.AttachmentsInApprovalNotifications (set by SAP Ariba Support)

Determines whether users can receive attachments in email approval notifications for invoice reconciliation documents, cancel invoice requests, and invoices. Setting this parameter to **Yes** adds the checkbox **Exclude attachments from approval notifications** to invoice-related email notification preferences. By default, attachments are included. If attachments total more than 10MB, no attachments are included.

Setting this parameter to **Yes** may affect email approval performance.

This parameter is applicable when the parameter **Application.Base.EmailApprovalEnabled** is set to **Yes**.

Application.Invoicing.EnforcePurchaseOrgSupplierValidation (set by SAP Ariba Support)

This parameter specifies whether or not the supplier field in invoices and invoice reconciliations is validated against the list of suppliers associated with the invoice purchasing organization. This parameter is only applicable for sites integrated with SAP.

When this parameter is set to Yes, the search for suppliers when creating an invoice or invoice reconciliation is filtered, so that the list includes only suppliers associated with the same invoice purchasing organization as the user viewing the list.

Application.Invoicing.AllowOneTimeVendorInvoices (set by SAP Ariba Support)

Enables the one-time vendor invoicing feature, which allows buyers to enter invoices for infrequent or one-time vendors that don't have a supplier record in the SAP Ariba solution. Buyers can also receive one-time vendor invoices via SAP Ariba invoice conversion services (ICS). When this parameter is set to Yes:

- Customers can configure the one-time vendor invoicing feature, with the help of SAP Ariba.
- The invoice entry page for non-PO invoices includes fields for creating one-time vendor invoices.

Application.Invoicing.RespectEditabilityForCopyAccounting (set by SAP Ariba Support)

Determines whether copying line item accounting depends on field editability conditions such as group membership. If set to **Yes**, when the user clicks **Copy Accounting**, the system checks the editability of the split accounting fields and only copies the values if the editability conditions are met.

Application.Invoicing.SupportSupplierBankInfoOnInvoices (set by SAP Ariba Support)

Determines whether the SAP Ariba solution processes the supplier bank details in cXML invoices (in the payment method extrinsic) and whether the supplier bank details in cXML invoices from SAP Business Network are used on invoice reconciliation (IR) documents. Setting this parameter to Yes helps the SAP Ariba solution find the correct remittance location.

Suppliers might send updated bank details in cXML invoices over SAP Business Network.

This parameter applies to cXML invoices transmitted between SAP Business Network and the SAP Ariba invoicing solution. It's most likely to pertain to SAP Ariba Invoice Management sites and merged sites that include both SAP Ariba Invoice Management and SAP Ariba Buying and Invoicing.

If this parameter is set to No, the SAP Ariba solution doesn't process updated bank details in invoices sent by suppliers. Supplier-specified bank details are not included in the reconciled invoices sent to SAP Business Network for payment processing.

If this parameter is set to Yes, the following bank details can be received and processed during the invoice reconciliation process and are included in the reconciled invoices sent to SAP Business Network:

- Bank ID Type
- Bank ID
- Bank Account ID
- Bank Account Type
- IBAN
- Branch Name
- Account Name

Self-Service Site Configuration Parameters for Creating and Managing Invoices

- [Allow editing of taxes and charges on invoices \[page 106\]](#)
- [Generate invoices for evaluated receipt settlement \[page 107\]](#)
- [Enable evaluated receipt settlement and automatic invoicing for service items \[page 108\]](#)
- [Apply account determination rules to ERS invoices \[page 109\]](#)
- [Generate short invoice numbers for ERS invoices \[page 109\]](#)
- [Empty Reference Date field for contract punch-in items \[page 110\]](#)
- [Support price-adjustment credit and debit memos \[page 111\]](#)
- [Get latest catalog prices for contract-based invoices \[page 111\]](#)
- [Allow split accounting \[page 112\]](#)
- [Allow export and import of accounting distribution \[page 112\]](#)
- [Copy tax codes from invoice to IR document \[page 113\]](#)
- [Commodity code for non-catalog invoice line items \[page 114\]](#)
- [Allow invoice number reuse \[page 114\]](#)
- [Send attachments associated with documents to ERP system \[page 115\]](#)
- [Default Requester for Invoices from Invoice API \[page 116\]](#)
- [Require comments to supplier for invoice denial \[page 116\]](#)
- [Reuse existing invoice payload ID for copy requests to Ariba Network \[page 117\]](#)

Allow editing of taxes and charges on invoices

Specifies whether users can add, edit, and delete taxes and charges on invoices from SAP Business Network. Setting this parameter to **No** prevents editing taxes and charges on all SAP Business Network invoices except Italy SDI invoices and invoices sent by an invoice conversion service (ICS).

ID	<code>Application.Invoicing.AllowEditingTaxesAndChargesOnAribaNetworkInvoices</code>
Name	Allow editing of taxes and charges on invoices
Default value	No

This parameter provides a way to handle invoices from suppliers who can't provide accurate tax information. For example, some buying organizations enter withholding taxes manually on invoices from certain geographical locations.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Generate invoices for evaluated receipt settlement

Determines whether invoices are automatically generated from approved receipts for suppliers that are configured for evaluated receipt settlement (ERS).

ID	<code>Application.Procure.EnableERS</code>
Name	Generate invoices for evaluated receipt settlement
Default value	No

The evaluated receipt settlement (ERS) feature enables buyers to settle goods receipts without receiving invoices from suppliers. This helps to reduce invoice variances and close purchasing transactions more quickly.

- If this parameter is set to **Yes**, invoices are automatically created when receipts are fully approved (SAP Ariba Buying and Invoicing) or imported from the external system (SAP Ariba Invoice Management). Also, the `ERSAllowed` flag becomes available in the `SupplierLocation.csv` (legacy supplier import) and `SupplierLocationConsolidated.csv` import files to allow buyers to configure suppliers for ERS.
- If this parameter is set to **No**, invoices must be created manually from approved receipts.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Parameters

To enable ERS for service items, in addition to the `Application.Procure.EnableERS` parameter, set the following parameter to **Yes**:

Enable evaluated receipt settlement and automatic invoicing for service items,

`Application.Procure.EnableERSForServiceItems`

If your site uses approvable details determination rules, see also the parameter [Apply account determination rules to ERS invoices \[page 109\]](#), `Application.Invoicing.ApplyApprovableDeterminationRulesToERS`.

Contracts That Consist a Mix of ERS and Non-ERS Items

Manual invoicing is supported on contracts that have a mix of ERS and non-ERS items. To have your site configured to support manual invoicing against contracts with a mix of ERS and non-ERS items, have your Designated Support Contact (DSC) file a Service Request (SR). SAP Ariba Support will follow up to complete the request by turning on feature SINV-8138.

Related Information

[Enable evaluated receipt settlement and automatic invoicing for service items \[page 108\]](#)

[Intelligent Configuration Manager Administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Enable evaluated receipt settlement and automatic invoicing for service items

Determines whether invoices are generated automatically from approved service sheets for suppliers that are configured for Evaluated Receipt Settlement (ERS). This parameter is effective only if the `Application.Procure.EnableERS` parameter is set to **Yes**.

ID	<code>Application.Procure.EnableERSForServiceItems</code>
Name	Enable evaluated receipt settlement and automatic invoicing for service items
Default value	No

If both this parameter and the `Application.Procure.EnableERS` parameter is set to **Yes**, invoices are created automatically when service sheets are fully approved (SAP Ariba Buying and Invoicing) or imported from external systems (SAP Ariba Invoice Management). In addition, users can create correction service sheets with reference to invoiced service sheets for ERS items or a mix of ERS and non-ERS items.

Note

For planned child items, taxes are not defaulted to service invoices from service purchase requisitions. When creating an invoice, users must also enter tax, charge, and discount information.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Generate invoices for evaluated receipt settlement \[page 107\]](#)

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Apply account determination rules to ERS invoices

On sites that use approvable details determination rules (advanced defaulting based on lookup tables, line-item fields, and expressions), specifies whether the rules apply to invoices generated automatically through the evaluated receipt settlement (ERS) feature.

ID	<code>Application.Invoicing.ApplyApprovableDeterminationRulesToERS</code>
Name	Apply account determination rules to ERS invoices
Default value	No

This parameter applies to sites that use both of the following features:

- Evaluated receipt settlement
- Advanced defaulting based on lookup tables, line-item fields, and expressions. This advanced defaulting is a way to determine the accounting values for each accounting field in an approvable.

Possible values for this parameter are **Yes** and **No**.

- When set to **Yes**, the account defaulting set by your approvable details determination rules is applied to ERS invoices.
- When set to **No**, the rules do not apply to ERS invoices.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Generate invoices for evaluated receipt settlement \[page 107\]](#)

[Enable SAP ERP evaluated receipt settlement \(ERS\)](#)

[Enable evaluated receipt settlement and automatic invoicing for service items \[page 108\]](#)

[Intelligent Configuration Manager Administration](#)

[Advanced Defaulting Based on Lookup Tables, Line-Item Fields, and Expressions](#)

[Parameter Management in Intelligent Configuration Manager](#)

Generate short invoice numbers for ERS invoices

Specifies how to generate invoice numbers for ERS invoices, which affects their length. By default, invoice numbers for scheduled fee invoices are created by combining the unique IDs of the receipt and the invoice, such as: RCXXXXINVYYYY. If this parameter is set to **Yes**, the invoice numbers are based on receipt unique ID only, such as: RCXXXX.

ID	<code>Application.Invoicing.GenerateERSInvoiceNumberByReceiptIDOnly</code>
----	--

Name	Generate short invoice numbers for ERS invoices
Default value	No

If your ERP system requires short invoice numbers, you can set this parameter to **Yes**.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Generate short invoice numbers for ERS fee invoices](#)

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Empty Reference Date field for contract punch-in items

When suppliers punch in to the customer catalog to add line items to an invoice, determines whether the **Reference Date** field is empty by default. If set to **No**, the **Reference Date** field is set to the current date.

ID	<code>Application.Invoicing.DefaultEmptyReferenceDateForContractPunchInLineItems</code>
Name	Empty Reference Date field for contract punch-in items
Default value	No

When set to , suppliers must set the reference date manually.

We recommend customizing your SAP Business Network account to validate reference dates before invoice submission.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Support price-adjustment credit and debit memos

Specifies whether your site accepts and reconciles price-adjustment line-item credit memos and line-item debit memos from SAP Business Network and whether buyers can enter line-item price-adjustment invoices. When set to **Yes**, users entering line-item credit memos choose between a price adjustment and a quantity adjustment.

ID	Application.Invoicing.EnableLineItemPriceAdjustmentInvoices
Name	Support price-adjustment credit and debit memos
Default value	No

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Prevent acceptance of specific invoice exceptions \[page 127\]](#)

[Intelligent Configuration Manager administration](#)

[Price-Adjustment Debits and Credits \[page 44\]](#)

[Parameter Management in Intelligent Configuration Manager](#)

Get latest catalog prices for contract-based invoices

Determines whether contract-based invoices get pricing for items from the current customer catalog or from the contract. If set to **Yes**, when a contract-based invoice is created, the invoice gets the latest item prices from the customer catalog. If set to **No**, the invoice uses the prices set in the contract.

ID	Application.Invoicing.RepriceItemsForContractBasedInvoices
Name	Get latest catalog prices for contract-based invoices
Default value	No

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Allow split accounting

Enables or disables split accounting on line item level. If set to **Yes**, users can create accounting distributions at the line level in requisitions, service sheets, invoices, and invoice reconciliation documents.

ID	Application.Approvable.AllowSplitAccounting
Name	Allow split accounting
Default value	Yes

This parameter doesn't apply to non-PO invoices created in guided buying.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Allow export and import of accounting distribution

Determines whether export and import of accounting distributions is allowed on requisitions, service sheets, invoices, and invoice reconciliations.

ID	Application.Procure.AllowAccountingExportAndImport
Name	Allow export and import of accounting distribution
Default value	No

Possible values for this parameter are **Yes** and **No**.

- If set to **Yes**, users authorized to edit a document can export the accounting distributions from the document to an Excel file to edit or add accounting distributions offline, and then import the edited file to update the accounting information on the document.
- If set to **No**, users cannot import or export accounting distributions on documents.

This parameter is applicable for sites enabled for split accounting, which is controlled by the parameter **Allow split accounting**, `Application.Approvable.AllowSplitAccounting`.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Copy tax codes from invoice to IR document

Determines whether the tax codes for tax lines on invoice reconciliation (IR) documents originate from the corresponding tax line on the invoice.

ID	<code>Application.Invoicing.CopyTaxCodesFromInvoiceToIR</code>
Name	Copy tax codes from invoice to IR document
Default value	No

Possible values for this parameter are **Yes** and **No**.

- If set to **Yes**, the tax code on an invoice tax line is copied to the corresponding IR tax line. If there's no valid tax code that matches the invoice line, tax calculation fails on the IR.
If an invoice tax line has no tax code specified, the tax code for the IR is determined by a tax code lookup.
- If set to **No** (the default), the tax code on the IR might be different from that on the invoice. The tax code is calculated using a lookup. The lookup used depends on which tax computation engine your site is using, as determined by `Application.Invoicing.UseTLCTaxEngine`.

Note

If the tax code on an IR is different from what's expected, it might be because the site's tax configuration needs correcting. Address any tax configuration issues before you consider setting this parameter to **Yes**.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager Administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Commodity code for non-catalog invoice line items

Specifies the default commodity code value for non-catalog line items on invoices. Accounting values associated with the commodity code are also set for the non-catalog line items. The commodity code must be a valid value for the system commodity code domain set for your site.

ID	<code>Application.Invoicing.InvoiceCreationDefaultLineItemCommodityCode</code>
Name	Commodity code for non-catalog invoice line items
Default value	Not applicable

This parameter applies to any invoice sent from SAP Business Network or created manually that includes non-catalog line items.

If the value of this parameter is blank, users must enter a valid commodity code for non-catalog line items on invoices.

When a non-PO, PO-based, or contract-based invoice line uses the default commodity code defined by this parameter, the header-level line accounting value gets its default value from the commodity export map entry (CEME) settings, unless your site is configured to prevent that behavior. This behavior is controlled by feature toggle `CDN-13865, Prevent Header Level Charges Accounting Defaulting From CEME`.

The system commodity code domain for your site is set by the parameter `Application.ClassificationCode.SystemCommodityCodeDomainName`, which is set by SAP Ariba.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Allow invoice number reuse

Determines whether users can reuse invoice numbers for failed, canceled, denied, and rejected invoices. Specify the statuses for which you allow invoice number reuse. Valid values are: **Failed, Canceled, Denied, Rejected**.

ID	<code>Application.Invoicing.AllowReusingInvoiceNumber</code>
Name	Allow invoice number reuse
Default value	An empty list

This parameter pertains to the **Supplier Invoice Number** field on invoices received from the supplier through SAP Business Network.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

A related parameter allows the reuse of invoice numbers from the previous year. For more information, refer to [Allow invoice number reuse in subsequent years](#)

Related Information

[Case-insensitive matching for payment updates](#)
[Intelligent Configuration Manager Administration](#)
[Parameter Management in Intelligent Configuration Manager](#)

Send attachments associated with documents to ERP system

Determines whether attachments associated with documents are sent to the ERP system.

ID	Application.Procure.AllowAttachmentToERP
Name	Send attachments associated with documents to ERP system
Default value	No

If set to **Yes**, when documents, such as service sheets or invoices are sent to the external ERP system for reconciliation action, file attachments associated with those documents are also sent to the external system.

If set to **No**, file attachments are not included when the associated documents are sent to the external system.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)
[Parameter Management in Intelligent Configuration Manager](#)

Default Requester for Invoices from Invoice API

Specifies a default requester for invoices created through an invoice management API. Enter a valid user name. The requester is used in determining the default purchasing unit or business unit on the invoice. If you don't set this parameter, the requester value is `AribaSystem`.

ID	<code>Application.Invoicing.InvoiceAPI.DefaultRequesterUniqueName</code>
Name	Default requester for invoices from invoice API
Default value	Not applicable

This parameter is applicable to invoices from SAP Central Invoice Management.

The requester of an invoice is the user specified in the **On Behalf Of** field. Configuring a default requester can help with auto-filling accounting information on the invoice. Users with the appropriate permissions can change the requester as needed.

Note

The API used to create invoices based on invoices from SAP Central Invoice Management is an internal SAP Ariba API called the Invoice Management API.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager Administration](#)
[Parameter Management in Intelligent Configuration Manager](#)
[Invoices from SAP Central Invoice Management \[page 61\]](#)

Require comments to supplier for invoice denial

Specifies whether an approver must add comments to the supplier when denying an invoice document.

ID	<code>Application.Invoicing.RequireCommentsToSupplierOnInvoiceDenial</code>
Name	Require comments to supplier for invoice denial
Default value	No

This parameter is applicable to invoices created on SAP Business Network.

Regardless of this parameter setting, users who deny an invoice (INV) document can enter comments for the supplier in the **Comments to Supplier** field in the user interface. Setting this parameter to **Yes** turns on the following additional functionality:

- Users can include comments to suppliers when denying invoices through email approval. Comments can be entered in the space provided in the message body of the email notification.
- Comments to the supplier are mandatory for invoice denials.

The points in the following table pertain to comments submitted through email approval.

Parameter Setting	Approval Notification Format (User's Preference)	Behavior
Yes	Compact text	When the user enters a comment while denying the invoice in email, those comments are treated as comments to the supplier and meet the requirement.
No	Compact text	When the user enters a comment while denying the invoice in email, those comments are treated as internal.
Yes	Plain text	The user must enter a comment in the Comments to Supplier field to meet the requirement.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager Administration](#)
[Parameter Management in Intelligent Configuration Manager](#)
[Require comments to supplier for invoice rejection \[page 128\]](#)
[Approval Notification Format Preferences](#)

Reuse existing invoice payload ID for copy requests to Ariba Network

Determines whether SAP Ariba reuses the existing invoice payload ID to prevent duplicate invoice creation on SAP Business Network when the copy from central invoice (CC) to Ariba Network (AN) step fails.

ID	<code>Application.Invoicing.ReuseExistingInvoicePayloadIdForCCToAN</code>
Name	Reuse existing invoice payload ID for copy requests to Ariba Network
Default value	No

When set to **Yes**, the existing invoice payload ID is reused for subsequent CC to AN attempts.

When set to **No** (default), a new invoice payload ID is generated for each CC to AN attempt.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager Administration](#)
[Parameter Management in Intelligent Configuration Manager](#)

SAP Ariba-Controlled Parameters for Reconciling Invoices

Some of the functionality for supplier contacts is controlled by configuration options that SAP Ariba Support sets for you. These parameters apply to SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management.

Application.Invoicing.RequireApprovalOnSequentialNodeWithSameApprover (set by SAP Ariba Support)

On invoice reconciliation (IR) documents, determines the behavior of the approval flow when a user who's in two subsequent approval group nodes edits the IR and approves it on behalf of the first group. This parameter is applicable when the edit rule **Edit With Resubmit** is enabled. For example, suppose the approval flow includes Group A and Group B in sequential approval nodes, and user 1 belongs to both groups. When User 1 approves on behalf of Group A, the approval node for Group B either requires approval or is automatically approved, depending on how this parameter is set.

Application.Invoicing.InvoiceEntryAllowEditLineDescription (set by SAP Ariba Support)

This parameter controls whether or not users are allowed to edit item descriptions on PO-based invoices. The default setting is No.

Application.Invoicing.AllowLegalEntityCodeAtSplitLevel (set by SAP Ariba Support)

This parameter specifies whether or not line-level accounting distributions on invoices include the **Company Code** field in SAP-integrated sites. If enabled, the **Company Code** field does not show at the header level of the invoice; it shows at the line level instead. The default setting is No.

Application.Invoicing.AutoAcceptAmount (set by SAP Ariba Support)

This parameter specifies a threshold for auto-accepting invoice reconciliation documents based on the total amount of the IR. If the IR amount is less than or equal to the value specified in this parameter, the reconciliation engine auto-accepts the IR. The value for this parameter is an amount in the default currency. The default value is 10.

Application.Invoicing.AutoAcceptPercentage (set by SAP Ariba Support)

This parameter specifies a threshold for auto-accepting invoice reconciliation documents based on the total amount of the IR as a percentage of the total amount left to invoice on the associated purchase order. The value of this parameter is a decimal value, such as .10. The default value is .15, meaning that the reconciliation engine auto-accepts an IR if its total is 15% or less of the amount left to invoice on the purchase order amount.

Application.Invoicing.SkipAmount (set by SAP Ariba Support)

This parameter specifies a threshold amount below which the system skips validation of an invoice. The value represents an amount in the default currency. This parameter is used by the invoice validation rules in the default configuration. If a site's configuration defines custom validation rules, they might or might not use this parameter. The default value is 5.

Note

By default, validation of credit memos is never skipped. If an invoice has a negative amount (and therefore is a credit memo), it always raises an invoice exception. If the

parameter `Application.Invoicing.SkipLineCreditMemoExceptions` is set to Yes, only header-level credit memos raise exceptions.

Application.Invoicing.SkipLineCreditMemoExceptions (set by SAP Ariba Support)

This legacy parameter specifies whether line-level credit memos raise exceptions during invoice reconciliation. Administrators can now configure this functionality themselves in the **Invoice Exception Types** UI. To fully enable customer configuration:

- Set `Application.Invoicing.LineCreditMemoExceptions` to **No**.
- Add all categories to `Application.Invoicing.LineCreditMemoExceptionLineCategories`.
- Configure the desired behavior in the **Invoice Exception Types** UI in Ariba Administrator.

Application.Invoicing.LineCreditMemoExceptionLineCategories (set by SAP Ariba Support)

This legacy parameter specifies which categories of line items are validated for exceptions in line-item credit memos. It's applicable if legacy parameter `Application.Invoicing.SkipLineCreditMemoExceptions` is set to **No**. Administrators can now configure this functionality themselves in the **Invoice Exception Types** UI. To fully enable customer configuration:

- Set `Application.Invoicing.SkipLineCreditMemoExceptions` to **No**.
- Add all categories to `Application.Invoicing.LineCreditMemoExceptionLineCategories`. Valid values (not case sensitive): `RegularLine`, `HandlingCharge`, `SpecialCharge`, `Discount`, `FreightCharge`, `TaxCharge`, `WHTTax`
- Configure the desired behavior in the **Invoice Exception Types** UI in Ariba Administrator.

Application.Invoicing.UseTLCTaxEngine (set by SAP Ariba Support)

This parameter is used to specify if you want to use the enhanced tax computation engine or a third-party tax calculation engine for taxes applied on invoices.

Note

If `Application.Invoicing.CopyTaxCodesFromInvoiceToIR` is set to Yes, the tax code on an invoice tax line is copied to the corresponding IR tax line regardless of whether the site is using the enhanced tax computation engine.

Application.Invoicing.RejectRequiresNoMoreApprovals (set by SAP Ariba Support)

This parameter specifies whether or not invoice reconciliation document approvers are deactivated after one approver rejects the IR. When this parameter is set to Yes, IR documents are finally rejected when any approver used the **Reject** button. When this parameter is set to No, rejected IRs must be approved (in other words, an approver must approve the rejection) before it is finally rejected, and the **Cancel Reject** button is available. The default value is Yes.

Application.Invoicing.DisableRereconciliationOfRelatedIRsForContract (set by SAP Ariba Support)

This parameter specifies whether or not related invoice reconciliations are automatically re-reconciled when contract accumulators are updated. When this parameter is set to No, updates to accumulators in contracts trigger re-reconciliations of related IRs based on those updated. The default value is No.

Application.Invoicing.DisableRereconciliationOfRelatedIRsForOrder (set by SAP Ariba Support)

This parameter specifies whether or not related invoice reconciliations are automatically re-reconciled when purchase order accumulators are updated. When this parameter is set to No, updates to accumulators in purchase orders trigger re-reconciliations of related IRs based on those updates. The default value is No.

Application.Invoicing.EnableTaxesOnShippingAndHandlingItems (set by SAP Ariba Support)

This parameter specifies whether or not users can add shipping and special handling lines on invoices and specify taxes for those lines. When this parameter is set to Yes, the **Add Shipping Item** and **Add Special Handling Item** buttons appear on the **Add Items** page when users are creating invoices. To add taxes to a shipping or special handling line, the user selects **Add Taxes at Line Level**, which causes the **Add Taxes** button to appear next to each line. The default setting is No.

Restriction

Taxes cannot be added to charges at header-level.

Application.Procure.EnableAccountingForWithholdingTaxInInvoiceAndIR (set by SAP Ariba Support)

This parameter specifies whether users can manage accounting information for withholding taxes on invoices and invoice reconciliation documents. If set to Yes, users can perform tasks, such as configure accounting splits for withholding taxes and mass edit tax accounting information for withholding taxes.

The default value of this parameter is No.

Note

To manage withholding taxes on invoices and invoice reconciliation documents, the `Application.Invoicing.UseTLCTaxEngine` parameter must be enabled.

Application.Invoicing.EnableEnhancedManualMatch (set by SAP Ariba Support)

This parameter specifies whether the enhanced user interface for manual matching of invoice lines with order or contract lines is enabled.

The default value of this parameter is **Yes**.

Application.Invoicing.MaxInvoiceAttachmentPagesToPNG (set by SAP Ariba Support)

This parameter specifies the maximum number of pages of an attachment file on the **Invoice Entry** page that can be converted to PNG format when users choose to view the attachment. By default, this value is set to 15.

Application.Budget.EnableFundsManagement (set by SAP Ariba Support)

(Applicable for sites integrated with SAP ERP) The `Application.Budget.EnableFundsManagement` parameter specifies whether the **Get Funds Management Details** option is visible on requisitions and invoice reconciliation documents.

When set to **Yes**, the **Get Funds Management Details** option is available on requisitions and invoice reconciliation documents. When users select this option, Funds Management account assignment fields are populated with relevant accounting information fetched from the external ERP system.

When set to **No**, the **Get Funds Management Details** option is not visible on requisitions and invoice reconciliation documents.

The default value for this parameter is **No**.

Self-Service Site Configuration Parameters for Reconciling Invoices

- [Include accounting info for charge lines in IR cXML \[page 123\]](#)
- [Invoice exception types for accrued tax payments \[page 124\]](#)
- [Generate default withholding tax at the header level \[page 125\]](#)
- [Always display Reject button for IRs in Approving \[page 125\]](#)
- [Require reason codes for invoice rejection \[page 126\]](#)
- [Prevent dispute of invoices \[page 126\]](#)
- [Prevent acceptance of specific invoice exceptions \[page 127\]](#)
- [Require comments to supplier for invoice rejection \[page 128\]](#)
- [Require invoice reconciliation in the ERP system \[page 129\]](#)
- [Remit To on invoice reconciliations is from invoice \[page 129\]](#)
- [Enable goods receipt-based invoice verification \[page 131\]](#)
- [Match receipts to invoices without ship notices \[page 131\]](#)
- [Allow edits to matched quantity in receipt matching \[page 132\]](#)
- [Days to delay creating an IR document \[page 133\]](#)
- [Third-party tax calculation for buying and invoicing \[page 134\]](#)
- [Enhanced third-party tax calculation for invoicing \[page 134\]](#)
- [Enhanced warnings for force actions on invoices and payments \[page 135\]](#)
- [Use receipt unit price to validate invoice unit price \[page 135\]](#)

Include accounting info for charge lines in IR cXML

Determines whether accounting information is included in tax, shipping, special handling, and discount lines in the exported cXML for invoice reconciliation (IR) documents. When set to **Yes**, accounting information for invoice charge lines is included cXML invoice exports from sites that send IR documents to SAP Business Network.

ID	<code>Application.Invoicing.AccountingOnChargeLinesInIRCXML</code>
Name	Include accounting info for charge lines in IR cXML
Default value	No

This parameter is applicable for sites that route invoice reconciliation (IR) documents to SAP Business Network and is effective only when the **Send invoice reconciliations to SAP Business Network** (`Application.Invoicing.SendIRToAN`) parameter is enabled.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Invoice exception types for accrued tax payments

Lists unique names of the invoice exception types for which accrued tax payments are tracked in payment requests. Applicable on sites that process payments for tax accrual, set by the parameter **Process tax accrual payments**, `Application.Invoicing.ProcessPaymentsForTaxAccrual`.

ID	<code>Application.Invoicing.TaxAccrualExceptions</code>
Name	Invoice exception types for accrued tax payments
Default value	<code>UnderTaxVariance,AccrualTaxVariance</code>

The parameter value is a comma-separated list of strings, each of which represents the unique internal identifier of an invoice exception type in the site. Enter the unique name of the invoice exception types that trigger tracking of accrual taxes.

To get the unique internal identifiers of the preloaded invoice exception types, either export the invoice exception types from your site or see the **Invoicing Default Data** worksheet in the [Reference Data Workbooks](#).

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Process tax accrual payments \[page 140\]](#)

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Generate default withholding tax at the header level

By default, computed withholding taxes are added at the header level of invoice reconciliation documents. If this parameter is set to **No**, withholding taxes are added at the line level instead. This parameter is applicable if the parameter `Application.Invoicing.UseTLCTaxEngine` is set to **Yes**.

ID	<code>Application.Invoicing.DefaultWithholdingTaxOnIRHeader</code>
Name	Generate default withholding tax at the header level
Default value	No

The parameter `Application.Invoicing.UseTLCTaxEngine`, which SAP Ariba sets for you, specifies whether to use the enhanced tax computation engine or a third-party tax calculation engine for taxes applied on invoices. To change the setting, have your Designated Support Contact (DSC) submit a Service Request (SR).

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Always display Reject button for IRs in Approving

Specifies whether the **Reject** button on invoice reconciliation documents is available to all users or only to invoice exception handlers and members of the **Invoice Manager** group. This parameter affects the **Exceptions** tab of invoice reconciliation documents in **Approving** status.

ID	<code>Application.Invoicing.AlwaysDisplayRejectButtonForIRsInApproving</code>
Name	Always display Reject button for IRs in Approving
Default value	No

Possible values for this parameter are **Yes** and **No**.

- When set to **Yes**, the **Reject** button on invoice reconciliation documents is available to all users.
- When set to **No**, the **Reject** button is only available for exception handlers and members of the **Invoice Manager** group.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Require reason codes for invoice rejection

Specifies whether users must select one or more reason codes from a list of custom-defined options when rejecting an invoice during invoice reconciliation. The rejection reason is visible to suppliers.

ID	<code>Application.Invoicing.UseInvoiceRejectionReasonCodes</code>
Name	Require reason codes for invoice rejection
Default value	No

For information about configuring rejection reason codes for invoices, see [Rejection Reason Codes for Invoices](#).

If you configure rejection reason codes for invoices, you might want to make comments to suppliers optional. To do so, set the following parameter to **No: Require comments to supplier for invoice rejection**, `Application.Invoicing.SupplierRejectionCommentsRequired`.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Require comments to supplier for invoice rejection \[page 128\]](#)

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Prevent dispute of invoices

Determines whether to hide the **Accept Expected** option on the **Action** menu of invoice reconciliation documents. If the option is hidden, invoice exception handlers can't dispute invoices. They must either accept the information on the invoice or reject the entire invoice.

ID	<code>Application.Invoicing.DisallowDispute</code>
Name	Prevent dispute of invoices
Default value	No

The **Accept Expected** action indicates that the approver does not agree to pay the amount specified on the invoice. Instead, the approver agrees to pay ("accepts") the amount specified on the associated reference document, such as the purchase order, contract, or receipt, or the amount calculated by the tax calculation engine.

ⓘ Note

This parameter is provided for European sites. European regulations require that invoices be rejected entirely or paid in full. The **Accept Expected** action allows "short pay" on invoices, which violates this regulation.

Possible values for this parameter are **Yes** and **No**.

- When this parameter is set to **No**, invoice exception handlers can dispute the information on invoices by choosing the **Accept Expected** action when resolving an exception.
- When this parameter is set to **Yes**, the **Action** menu for invoice exceptions doesn't include an **Accept Expected** option.
- To prevent dispute for an individual exception type, set this parameter to **No**, and set the **Prevent Invoice Dispute** option for the exception type in Ariba Administrator.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Prevent acceptance of specific invoice exceptions \[page 127\]](#)
[Intelligent Configuration Manager administration](#)
[Parameter Management in Intelligent Configuration Manager](#)

Prevent acceptance of specific invoice exceptions

Prevents users from accepting specific types of invoice exceptions by hiding the **Accept Invoice** actions for those exceptions. Enter the unique names of exception types.

ID	<code>Application.Invoicing.DisallowAcceptOnExceptionTypes</code>
Name	Prevent acceptance of specific invoice exceptions
Default value	Empty list

This parameter removes the **Accept Invoice** option from the **Action** menu in the invoice reconciliation user interface for the invoice exception types you specify. By removing the option to accept the information provided by suppliers on their invoices for specific invoice exceptions, you can enforce that you only pay for what was ordered.

The parameter value is a comma-separated list of strings, each of which represents the unique internal identifier of an invoice exception type in the site. Enter the unique name of the invoice exception types for which to remove the **Accept Invoice** option. For example: `POPriceVariance`.

ⓘ Note

Certain countries/regions require that invoices are paid in full or rejected if there are possible invoice errors.

To get the unique internal identifiers of the preloaded invoice exception types, either export the invoice exception types from your site or see the **Invoicing Default Data** worksheet in the [Reference Data Workbooks](#).

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Prevent dispute of invoices \[page 126\]](#)

[Intelligent Configuration Manager Administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Require comments to supplier for invoice rejection

Specifies whether an approver must add comments to the supplier when rejecting an invoice reconciliation document.

ID	Application.Invoicing.SupplierRejectionCommentsRequired
Name	Require comments to supplier for invoice rejection
Default value	No

When set to **Yes**, the approver must enter comments that are visible to the supplier. Comments can be entered in the **Comments** field in the user interface or, in sites enabled for email approvals, in the space provided in the message body of an email notification.

If you configure rejection reason codes for invoices, you might want to make comments to suppliers optional.

The following points pertain to comments submitted through email approval:

- If the parameter is set to **Yes**, and a user has opted to receive email notifications in compact text format, when the user enters a comment while rejecting the IR in email, those comments are treated as comments to the supplier and meet the requirement.
- If the parameter is set to **No**, and a user has opted to receive email notifications in compact text format, when the user enters a comment while rejecting the IR in email, those comments are treated as internal.
- If the parameter is set to **Yes** and a user has not opted to receive email notifications in compact text format, the user must enter a comment in the **Comments to Supplier** field to meet the requirement.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Require reason codes for invoice rejection \[page 126\]](#)

Require invoice reconciliation in the ERP system

Specifies whether invoices require a final reconciliation step in your ERP system before they can progress to **Paying** status. This parameter applies to SAP Ariba Invoice Management.

ID	<code>Application.Invoicing.ExternalReconciliationEnabled</code>
Name	Require invoice reconciliation in the ERP system
Default value	Yes

When set to **Yes**, and an invoice reconciliation document is finally approved, the status changes to **Awaiting External Reconciliation** instead of **Paying**.

When set to **No**, and an invoice reconciliation document is finally approved, the status changes to **Paying**.

If your invoices require reconciliation in the ERP system, you must enable **Send invoice reconciliations to SAP Business Network** (`Application.Invoicing.SendIRtoAN`) parameter.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

Remit To on invoice reconciliations is from invoice

Determines whether the default **Remit To** address on invoice reconciliation (IR) documents is the **Remit To** address on the invoice or the first **Remit To** address found for the supplier. This parameter applies to sites that process supplier bank details in invoices during invoice reconciliation (`Application.Invoicing.SupportSupplierBankInfoOnInvoices` is set to Yes).

ID	<code>Application.Invoicing.RemittanceLocationUsingRemitToId</code>
Name	Remit To on invoice reconciliations is from invoice
Default value	No

This parameter applies to cXML invoices transmitted between SAP Business Network and the SAP Ariba invoicing solution, as with SAP Ariba Invoice Management sites and merged sites that include both SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management.

In sites that process bank details in invoices, if the invoice doesn't have a payment method specified, and there are multiple **Remit To** addresses configured for the supplier location, the parameter **Remit To on invoice reconciliations is from invoice** works as follows:

- If set to **Yes**, IR documents use the **Remit To** address on the invoice.
- If set to **No**, IR documents use the first remittance address of the supplier location.

Your site uses the following bank information to find the right **Remit To** address, adding only the IDs or numbers and omitting fields such as account type and branch name: ABA routing number, Swift ID, iBan ID, account ID.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Parameter

Application.Invoicing.SupportSupplierBankInfoOnInvoices (set by SAP Ariba Support)

Determines whether the SAP Ariba solution processes the supplier bank details in cXML invoices (in the payment method extrinsic) and whether the supplier bank details in cXML invoices from SAP Business Network are used on invoice reconciliation (IR) documents. Setting this parameter to Yes helps the SAP Ariba solution find the correct remittance location.

Suppliers might send updated bank details in cXML invoices over SAP Business Network.

This parameter applies to cXML invoices transmitted between SAP Business Network and the SAP Ariba invoicing solution. It's most likely to pertain to SAP Ariba Invoice Management sites and merged sites that include both SAP Ariba Invoice Management and SAP Ariba Buying and Invoicing.

If this parameter is set to No, the SAP Ariba solution doesn't process updated bank details in invoices sent by suppliers. Supplier-specified bank details are not included in the reconciled invoices sent to SAP Business Network for payment processing.

If this parameter is set to Yes, the following bank details can be received and processed during the invoice reconciliation process and are included in the reconciled invoices sent to SAP Business Network:

- Bank ID Type
- Bank ID
- Bank Account ID
- Bank Account Type
- IBAN
- Branch Name
- Account Name

Related Information

[Intelligent Configuration Manager administration](#)

Enable goods receipt-based invoice verification

Specifies whether goods receipt-based invoice verification is enabled. If set to **Yes**, for order lines that require receipt-based invoice verification, invoice quantities and prices are reconciled against receipts.

ID	<code>Application.Procure.EnableGRBasedInvoice</code>
Name	Enable goods receipt-based invoice verification
Default value	No

When this parameter is enabled, the parameter `Application.Procure.EnablePriceDateControl (Use receipt unit price to validate invoice unit price)` must also be set to **Yes** to ensure that the invoicing solution verifies the prices for line items on invoices based on the prices specified for the items on the associated receipts.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Goods Receipt-Based Invoice Verification \[page 74\]](#)

[Match receipts to invoices without ship notices \[page 131\]](#)

[Intelligent Configuration Manager Administration](#)

[Allow edits to matched quantity in receipt matching \[page 132\]](#)

[Parameter Management in Intelligent Configuration Manager](#)

Match receipts to invoices without ship notices

On sites enabled for goods receipt-based invoice verification, determines whether invoices must include ship notice IDs in order to be matched to receipts automatically.

ID	<code>Application.Invoicing.MatchReceiptToInvoiceWithoutShipNotice</code>
Name	Match receipts to invoices without ship notices
Default value	No

Possible values for this parameter are **Yes** and **No**.

- When set to **Yes**:
 - Invoices **without** ship notice IDs are matched to goods receipts based on purchase order.
 - Invoices **with** ship notice IDs are matched to goods receipts that have the same ship notice ID as the invoice.

- When set to **No**, automatic matching of invoices to receipts is based solely on ship notice ID. Invoices without a ship notice ID are not matched to receipts.

This parameter is applicable if the following parameter is set to **Yes**: **Enable goods receipt-based invoice verification**, `Application.Procure.EnableGRBasedInvoice`.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Enable goods receipt-based invoice verification \[page 131\]](#)

[Intelligent Configuration Manager Administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

Allow edits to matched quantity in receipt matching

Determines if users can edit the matched quantity when manually matching receipts to invoice lines.

ID	<code>Application.Invoicing.AllowMatchedReceiptQuantityEdit</code>
Name	Allow edits to matched quantity in receipt matching
Default value	No

Some accounts payable departments need the ability to choose specific quantities from multiple receipts when matching receipts to invoice lines. When this parameter is set to **Yes**, the system determines the **default** matched quantity, but users can change the value.

Matched Receipts

	Qty	Matched Qty
☐	10	3

The values entered for matched quantity are validated as follows. If the user tries to submit invalid changes, an error message appears.

- The total matched quantity for all matched receipts must be less than or equal to the invoice quantity. If the total matched quantity is **less than** the invoice quantity, there's an informational warning, but the user can still proceed.
- The matched quantity for a receipt must be 0 or more.
- The matched quantity for a receipt must not exceed the receipt's available quantity.

When this parameter is set to **No**, the system determines the matched quantity, and users can't change the value.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Match receipts to invoices without ship notices \[page 131\]](#)
[Enable goods receipt-based invoice verification \[page 131\]](#)
[Intelligent Configuration Manager Administration](#)
[Parameter Management in Intelligent Configuration Manager](#)

Days to delay creating an IR document

In sites enabled for goods receipt-based invoice verification, specifies the number of days to delay the creation of the invoice reconciliation (IR) document after an invoice has been approved if the supporting documents haven't arrived yet. Set this parameter to prevent premature invoice exceptions due to missing receipts.

ID	<code>Application.Invoicing.DaysToDelayIRCreation</code>
Name	Days to delay creating an IR document
Default value	0

When a goods receipt-based invoice is approved in the SAP Ariba solution, and receipts are still outstanding, the invoice remains in **Awaiting Receipts** status during the delay period. The invoice reconciliation document is created within 6 hours after the specified number of days has elapsed.

Members of the **Invoice Administrator** group can manually start the reconciliation process during the delay period.

This parameter is applicable if the following parameter is set to **Yes: Enable goods receipt-based invoice verification**, `Application.Procure.EnableGRBasedInvoice`.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Enable goods receipt-based invoice verification \[page 131\]](#)
[Intelligent Configuration Manager Administration](#)
[Parameter Management in Intelligent Configuration Manager](#)

Third-party tax calculation for buying and invoicing

Specifies if your site is integrated with a third-party tax calculation engine to calculate taxes for approvable documents such as requisitions and invoice reconciliations. If set to **Yes**, taxes are calculated when tax managers initiate tax calculation for the documents or when users submit the documents for approval. If set to Yes, you can set another parameter to turn on enhanced third-party tax calculation for invoicing, `Application.Procure.EnhancedTaxCalculationInExternalSystems`.

ID	<code>Application.Procure.EnableTaxCalculationInExternalSystems</code>
Name	Third-party tax calculation for buying and invoicing
Default value	No

If you set this parameter to **Yes**, we recommend that the parameter `Application.Procure.EnableTaxesChargesAndDiscount` be set to Yes to ensure that taxes for requisitions are calculated in the third-party tax calculation engine. SAP Ariba sets `Application.Procure.EnableTaxesChargesAndDiscount` for you.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager Administration](#)
[Enhanced third-party tax calculation for invoicing \[page 134\]](#)
[Third-Party Tax Calculation Overview](#)
[Parameter Management in Intelligent Configuration Manager](#)

Enhanced third-party tax calculation for invoicing

On sites integrated with a third-party tax calculation engine, specifies if tax calculation includes enhanced tax information for reconciliation and payment processes. Enhancements include improved handling of summary and granular tax details, buyer-payable taxes, and accrual taxes. Applicable if **Third-party tax calculation for buying and invoicing** (`Application.Procure.EnableTaxCalculationInExternalSystems`) is set to **Yes**.

ID	<code>Application.Procure.EnhancedTaxCalculationInExternalSystems</code>
Name	Enhanced third-party tax calculation for invoicing
Default value	No

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager Administration](#)
[Third-party tax calculation for buying and invoicing \[page 134\]](#)
[Third-Party Tax Calculation Overview](#)
[Enhanced Third-Party Tax Calculation for Invoices](#)
[Parameter Management in Intelligent Configuration Manager](#)

Enhanced warnings for force actions on invoices and payments

Determines whether to show enhanced warnings when users force an invoice or payment document to the next status. Enhanced warnings explain that the force action doesn't send the document to any other system, such as SAP Business Network or the ERP system. It only changes the document status.

ID	<code>Application.Approvable.EnableEnhancedWarningsForForceInvoiceAndPaymentActions</code>
Name	Enhanced warnings for force actions on invoices and payments
Default value	Yes

This parameter applies to the following actions: **Force Reconcile** on invoices, **Force Pay** and **Force Reject** on invoice reconciliations, **Force Send** on payment requests, and **Force Pay** and **Force Cancel** on payment transactions and advance payments.

If this parameter is set to **Yes**, the enhanced warnings are displayed.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager Administration](#)
[Parameter Management in Intelligent Configuration Manager](#)

Use receipt unit price to validate invoice unit price

Determines whether the SAP Ariba solution uses the unit price on the receipt for price verification on invoices.

ID	<code>Application.Procure.EnablePriceDateControl</code>
----	---

Name	Use receipt unit price to validate invoice unit price
Default value	No

When this parameter is set to **Yes**, for invoice items that reference an order item marked as **Ship Notice Required**, the SAP Ariba solution compares the price on the invoice with the price on the receipt, not the order. For sites that use goods receipt-based invoice verification, the recommended setting is **Yes**.

To enable goods receipt-based invoice verification, you must also set the parameter **Enable goods receipt-based invoice verification** (Application.Procure.EnableGRBasedInvoice) to **Yes**.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Enable goods receipt-based invoice verification \[page 131\]](#)

[Intelligent Configuration Manager Administration](#)

[Receipt Dispute for Variance Exceptions](#)

[Parameter Management in Intelligent Configuration Manager](#)

SAP Ariba-Controlled Parameters for Managing Payment Documents

Some of the functionality for managing payment documents is controlled by configuration options that SAP Ariba Support sets for you. These parameters apply to SAP Ariba Buying and Invoicing and SAP Ariba Invoice Management.

Application.Invoicing.ShowInvoiceAndPaymentsToRequisitionCreator (set by SAP Ariba Support)

This parameter specifies whether or not requisition requesters and preparers can view related invoices and payments on the requisition's **Summary** tab. When this parameter is set to Yes, requisition requesters and preparers can click the order number link for each requisition line item, and then click the **Invoice** and **Payment** tabs on the order to view related invoices and payments. The default setting is No.

Application.Invoicing.ShowPaymentsToInvoiceCreator (set by SAP Ariba Support)

This parameter specifies whether or not invoice requesters and preparers can view related payments. When this parameter is set to Yes, invoice requesters and preparers can view related payments on the **Payment** tabs of the **Order** and **Invoice** pages. The default setting is No.

Application.Settlement.DynamicDiscountsEnabled (set by SAP Ariba Support)

This parameter specifies whether or not the discounting capability is enabled in a site. Discounting capabilities enable buyers to pay suppliers early in exchange for discounts. The default value is No.

Note

This parameter only affects suppliers that send payment requests through SAP Business Network. Suppliers that use the External System payment model can use dynamic discounting if discount management is enabled for them in the buyer's SAP Business Network account, regardless of the setting for this parameter.

Application.Settlement.LocalPaymentModelSupported

This parameter determines whether the local payment model is supported. A local payment model sends the reconciled invoice to SAP Business Network to be processed, not to the buyer's external ERP system.

When this parameter is set to **Yes**, the **Pay Via** dropdown in searches for invoice reconciliation documents includes the value **Local**. (**Pay Via** means payment model.) Also, if a payment doesn't include a supplier or supplier location, then **Pay Via** is set to **Local** in that payment.

If a supplier location for the payment is configured with a local payment model, this parameter has no effect. The reconciled invoice is sent to SAP Business Network for processing.

The default value of this parameter **No**.

Application.Settlement.PaymentDiscountSelectionPolicy (set by SAP Ariba Support)

This parameter specifies one of a set of predefined discount policies for payments. The value must be one of the following keys:

- **TakeDiscountNone**, which selects the payment schedule corresponding to the net term, with no discounts applied.
- **TakeDiscountMaximum**, which selects the payment schedule that offers the largest discount.
- **TakeDiscountApplicable**, which selects a payment schedule based on the transaction date, using the best discount that is available for the given transaction date.

The default value is **TakeDiscountMaximum**.

Application.Settlement.PaymentTermsLineTypeCategories (set by SAP Ariba Support)

This parameter defines which line types are to be considered when evaluating payment discounts. For example, you might choose to exclude tax items or shipping charges when calculating payment discounts. The value is a comma-separated list of integers, where each integer represents a standard line category. The default value is 1. Valid integer values are:

- 1 - Procurement line items
- 2 - Tax charges
- 4 - Freight charges
- 8 - Handling charges
- 16 - Special charges
- 32 - Discounts

Application.Settlement.PaymentModel (set by SAP Ariba Support)

This parameter specifies the preferred payment model for the site. For new sites, the **External Pay** payment model is the only supported option. In the default configuration, this parameter is set to **ExternalPay**. There is no default value.

Note

The payment model specified with the **AribaPay** setting is deprecated and will be de-supported in a future release; it is only available in older implementations of SAP Ariba Invoice Management and SAP Ariba Buying and Invoicing.

Payment models can also be associated with specific suppliers (in the **SupplierSupplement.csv** file) and supplier locations (in the **SupplierLocationSupplement.csv** file).

Application.Settlement.PaymentRequestSendMethodOption (set by SAP Ariba Support)

This parameter specifies a method for sending payment requests, which in turn defines whether or not the status of invoice reconciliation and payment request documents in your invoicing solution depends on the success or failure of invoices in integrated ERP systems. The following values are valid settings for this parameter:

- **Default**: the default value for the parameter. In this case, the status of the invoice reconciliation and payment request in your invoicing solution does not change based on the success or failure of the invoice in the ERP system. You must use this setting if you export payment requests using SAP Integration Suite, managed gateway (formerly SAP Ariba Cloud Integration Gateway).

- **Asynchronous Push:** the recommended setting for sites that use file-based integration between SAP Ariba Buying and Invoicing and the ERP system. In this case, the status of the invoice reconciliation and payment request in SAP Ariba Buying and Invoicing changes based on the success or failure of the invoice in the ERP system. This value is not applicable to SAP Ariba Invoice Management.
- **DirectPush:** the recommended setting for sites that use web services-based integration between SAP Ariba Buying and Invoicing and the ERP system. In this case, the status of the invoice reconciliation and payment request in SAP Ariba Buying and Invoicing changes based on the success or failure of the invoice in the ERP system. This value is not applicable to SAP Ariba Invoice Management.

Application.Settlement.EnableAdvancePayment (set by SAP Ariba Support)

This parameter enables or disables the functionality to create advance payments. By default, this parameter is disabled. For SAP Ariba Buying and Invoicing, also enable the enhanced invoicing user interface to adjust advance payments against invoices.

Application.Settlement.EnableAdvancePaymentForCopyOrders (set by SAP Ariba Support)

This parameter specifies whether users can create advance payments for copy orders.

The default value of this parameter is **No**.

Application.Settlement.TransactionPush.AdvancePayment.Enabled (set by SAP Ariba Support)

This parameter specifies whether the site should push advance payment documents to a pending queue for export. Advance payments documents are exported to a CSV file only if this parameter is enabled. This parameter does not affect the web services export of advance payments.

By default, this parameter is enabled.

Application.Settlement.TransactionPush.AdvancePayment.Statuses (set by SAP Ariba Support)

This parameter enables you to specify a list of status strings that, upon status change, will cause an advance payment to be queued for export. For example, if the value of this parameter is set to *Submitted, Approved, Canceling*, an advance payment document will get queued for export when its status changes to **Submitted**, **Approved**, or **Canceling**.

The default value of this parameter is **Approved** and **Canceling**.

Application.Invoicing.AllowExportingTaxSplitAccountings (set by SAP Ariba Support)

In SAP variants, specifies whether tax line split accounting is included in exported payment requests. When set to Yes, split accounting information for all tax lines in the invoice reconciliation document is included. This parameter applies to the following export tasks: **Export Payment Requests**, **Export Payment Requests with Advance Payments**, **Export Payment Requests Asynchronously**, **Export Payment Requests with Receipts Asynchronously**. It's also applicable to sites using SAP Integration Suite, managed gateway for spend management and SAP Business Network.

Self-Service Site Configuration Parameters for Managing Payment Documents

[Process tax accrual payments \[page 140\]](#)

[ERP errors that trigger auto-resend of documents \[page 140\]](#)

Process tax accrual payments

When set to **Yes**, tax difference is accrued for invoice exceptions listed in the parameter **Invoice exception types for accrued tax payments** (`Application.Invoicing.TaxAccrualExceptions`) if the computed tax amount is more than invoice tax, and the invoice exception handler disputes the invoice tax amount by accepting the expected tax amount. Payment request documents contain accrual tax amounts.

ID	<code>Application.Invoicing.ProcessPaymentsForTaxAccrual</code>
Name	Process tax accrual payments
Default value	Yes

When set to **No**, tax difference is not accrued.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

ERP errors that trigger auto-resend of documents

Lists the ERP errors for which you want the SAP Ariba solution to try resending documents automatically. For example, if sending a payment to the ERP system causes ERP error 123, and error 123 is in this list, the payment is automatically resent. Add the errors using IDs from the `ErrorNumber` or `ErrorCode` element of the WSDL.

ID	<code>Application.Invoicing.ERPErrorsThatTriggerAutoResend</code>
Name	ERP errors that trigger auto-resend of documents

Default value **Empty list**

Typically, this parameter is used for errors that are quickly resolved in the ERP system, such as temporary push errors. When the ERP system sends an error that's in this list, SAP Ariba Buying and Invoicing tries resending the payment request for up to 5 tries.

Payment requests that currently have an error are listed on a **Failed Payments** tab of the **Payments** page (under **► Manage ► Payments ►**). To see the error code, open the payment request and check the **ERP Error Code** field.

For SAP variants, the errors are identified in the WSDL by `ErrorNumber`. For other ERP systems, the errors are identified by `ErrorCode`.

Note

This feature uses web services to transfer information to and from the ERP system. This feature doesn't support the OK-to-pay file.

A member of the **Customer Administrator** group sets this parameter in the **Intelligent Configuration Manager** workspace.

Related Information

[Intelligent Configuration Manager administration](#)

[Parameter Management in Intelligent Configuration Manager](#)

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